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Report No: 41202 - BO

PROJECT APPRAISAL DOCUMENT

ON A

PROPOSED CREDIT

IN THE AMOUNT OF SDR 12.80 MILLION
(US\$ 20 MILLION EQUIVALENT)

TO THE

REPUBLIC OF BOLIVIA

FOR A

SECOND PARTICIPATORY RURAL INVESTMENT PROJECT

NOVEMBER 19, 2007

Sustainable Development Department
Country Management Unit for Bolivia, Ecuador, Peru and Venezuela
Latin America and the Caribbean Region

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CURRENCY EQUIVALENTS

Exchange Rate Effective October 24, 2007

Currency Unit =
= US\$1
SDR 1 = US\$ 1.56

FISCAL YEAR

January 1 – December 31

ABBREVIATIONS AND ACRONYMS

AMDES	Departmental Municipal Associations
APG	Guarani Peoples Assembly (<i>Asamblea del Pueblo Guaraní</i>)
POA	Annual Operating Plan (<i>Plan Operativo Anual</i>)
CDAP	Departmental Project Approval Committee (<i>Comité Departamental de Aprobación de Proyectos</i>)
CEPESC	Federation of Indigenous Peoples of Santa Cruz (<i>Central Pueblos Indígenas Santa Cruz</i>)
CIDOB	Indigenous Confederation of Bolivia (<i>Confederación Indígena de Bolivia</i>)
CIROBO	Indigenous Coordination Office for the Bolivian Amazon Region (<i>Coordinadora Indígena de la Región Amazónica de Bolivia</i>)
CODEL	Local Economic Development Committee
CONADES	National Council for Decentralization
CONAMAQ	National Council of Markas and Ayllus of Qullasuyu
CPIB	Federation of Indigenous Peoples of Beni (<i>Central Pueblos Indígenas del Beni</i>)
CUT	Single Treasury Account
CUT – ME	Single Treasury Account in US Dollars
DA	Designated Account
DANIDA	Danish International Development Agency
DILPE	Local Economic Promotion Directorates
DUF	Consolidated Bureau of Funds (<i>Directorio Unico de Fondos</i>)
EA	Environmental Assessment
EMF	Environmental Management Framework
FAM	Federation of Municipal Associations (<i>Federación de Asociaciones Municipales</i>)
GOB	Government of Bolivia
FDC	Small-Farmer Development Fund (<i>Fondo de Desarrollo Campesino</i>)
FPS	Productive and Social Investment Fund (<i>Fondo de Inversión Productiva y Social</i>)
HIPC-II	Second debt-reduction program
IADB	Inter-American Development Bank
ICR	Implementation Completion Report
IDH	Human Development Index
IFR	Interim Financial Report
IRR	Internal Rate of Return
ISN	Interim Strategy Note
LIL	Learning and Innovation Loan

MAS	Movement Toward Socialism (<i>Movimiento al Socialismo</i>)
MMs	Group of municipalities - municipal associations (<i>mancomunidades</i>)
MP	Ministry of the Presidency
M&E	Monitoring and Evaluation
PDM	Municipal Development Plan
MG	Municipal Government
NDP	National Development Plan
NDL	National Dialogue Law
NSRD	National Secretariat of Rural Development (<i>Secretaría Nacional de Desarrollo Rural</i>)
NPV	Net Present Value
NGOs	Non-governmental Organizations
NOU	National Operating Unit
OECA	Small-farmer Economic Organizations
O&M	Operations and Maintenance
OM	Operations Manual
PRI	First Participatory Rural Investment Project (also, <i>PDCR II</i>)
PRI II	Second Participatory Rural Investment Project
PPL	Popular Participation Law
PMIS	Project management information system
RCDP	Rural Communities Development Project (<i>PDCR</i>)
SAP	Administrative Subprojects System (<i>Sistema de Administración de Proyectos</i>)
SDC	Swiss Development Corporation
SERNAP	National Protected Areas Service
SME	Small and Medium Enterprises
SNDR	National Secretariat of Rural Development
SNPP	Secretariat for Popular Participation
SOE	Statement of Expenditure
TA	Technical Assistance
OTBs	Territorially-based Organizations
TOU	Territorial Operating Unit
UEAF	Administrative Financial Liaison Unit
VIPFE	Viceministry for Public Investment and External Finance
VMD	Viceministry of Decentralization
WHO	World Health Organization

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BOLIVIA
Second Participatory Rural Investment

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BOLIVIA

SECONDARY PARTICIPATORY RURAL INVESTMENT

PROJECT APPRAISAL DOCUMENT

LATIN AMERICA AND CARIBBEAN

LCSAR

Date: November 16, 2007 Country Director: Carlos Felipe Jaramillo Sector Manager/Director: Laura Tuck Project ID: P101298 Lending Instrument: Specific Investment Loan	Team Leader: Mark A. Austin Sectors: Irrigation and drainage (25%); General agriculture, fishing and forestry sector (25%); Sub-national government administration (25%); Roads and highways (25%) Themes: Rural services and infrastructure (P); Participation and civic engagement (P); Indigenous peoples (S); Other environment and natural resources management (S) Environmental screening category: Partial Assessment		
Project Financing Data			
☐ Loan ☒ Credit ☐ Grant ☐ Guarantee ☐ Other: For Loans/Credits/Others: Total Bank financing (US\$m.): 20.00 Proposed terms: Standard with 35 years maturity			
Financing Plan (US\$m)			
Source	Local	Foreign	Total
BORROWER/RECIPIENT	0.14	0.00	0.14
International Development Association (IDA)	16.20	3.80	20.00
Donors	13.31	2.21	15.51
Local Govts. (Prov., District, City) of Borrowing Country	30.75	5.11	35.86
Local Communities	6.58	0.00	6.58
Total:	66.97	11.12	78.09
Borrower: Responsible Agency: Ministry of Planning and Development Mr. Gabriel Loza Telleria			

Av. Mariscal St. Cruz esq. Oruro Piso 5
 La Paz
 Bolivia
 Tel: (591) 2 2330704 Fax: (591) 2 231 2641
 Fondo de Inversion Productiva y Social
 Bolivia
 Viceministerio de Descentralizacion
 Bolivia

Estimated disbursements (Bank FY/US\$m)

FY	2008	2009	2010	2011	2012	0	0	0	0
Annual	6.12	5.39	4.74	3.75	0.00	0.00	0.00	0.00	0.00
Cumulative	6.12	11.51	16.25	20.00	0.00	0.00	0.00	0.00	0.00

Project implementation period: Start March 14, 2008 End: September 28, 2012

Expected effectiveness date: August 15, 2008

Expected closing date: March 16, 2013

Does the project depart from the CAS in content or other significant respects? ☐ Yes ☒ No
Ref. PAD A.3

Does the project require any exceptions from Bank policies? ☐ Yes ☒ No
Ref. PAD D.7

Have these been approved by Bank management? ☐ Yes ☐ No

Is approval for any policy exception sought from the Board? ☐ Yes ☐ No

Does the project include any critical risks rated “substantial” or “high”? ☒ Yes ☐ No
Ref. PAD C.5

Does the project meet the Regional criteria for readiness for implementation? ☒ Yes ☐ No
Ref. PAD D.7

Project development objective **Ref. PAD B.2, Technical Annex 3**

Pilot the consolidation of institutional arrangements between the national, prefecture and municipal governments and civil society for sustainable management of subnational public investment in selected productive sectors with an emphasis on territorial development.

Project description *[one-sentence summary of each component]* **Ref. PAD B.3.a, Technical Annex 4**

Component 1 (Institutional Strengthening) will facilitate to increase the scale of planning, investments and O&M activities, while establishing clear and non-discretionary rules for coordination and cofinancing between prefectures and municipalities.

Component 2 (Productive Investments) will provide support for the implementation of plans prepared under component 1. The component would provide national (IDA and bilateral) cofinancing solely for eligible investments that fall under the competencies of municipal governments as well as for improving poor communities' access to productive assets.

Component 3 (Project Management) will finance technical teams, studies, and related administrative costs which will support the operation of a National Operations Unit (NOU) integrated within VMD's structure, and up to nine Territorial Operating Units (TOU) in the

departments of the Borrower.

Which safeguard policies are triggered, if any? **Ref. PAD D.6, Technical Annex 10**

Environmental Assessment (OP/BP 4.01);

Natural Habitats (OP/BP 4.04);

Pest Management (OP 4.09);

Physical Cultural Resources (OP/BP 4.11);

Indigenous Peoples (OP/BP 4.10);

Forests (OP/BP 4.36).

Significant, non-standard conditions, **if any**, for:

Ref. PAD C.7

Board presentation:

None.

Loan/credit effectiveness:

- (a) The Subsidiary Agreement has been executed on behalf of the Recipient and FPS.
- (b) The Operational Manual and Project Implementation Plan have been adopted in a manner satisfactory to the Association.

Covenants applicable to project implementation:

- (a) Not later than March 31, 2008, FPS shall have completed the modifications of the first phase of the SAP, agreed with the Association.
- (b) Not later than December 31, 2008, FPS shall have completed all SAP modifications agreed with the Association.
- (c) Not later than April 30, 2008, FPS shall have established its public web page with the register of all companies, supervisors, and contracts awarded by FPS and Municipalities regardless of the financing source.
- (d) The Recipient shall cause FPS to carry out all the necessary actions to implement the FPS Action Plan.
- (e) The Recipient and the Association shall assess semiannually FPS institutional performance to confirm compliance with FPS Action Plan.

I. STRATEGIC CONTEXT AND RATIONALE

A. Country and sector issues

Country Issues

1. Bolivia faces persistently high levels of poverty and inequality. In 2003, poverty in rural areas stood at 82 percent, compared to 54 percent in urban areas, with nearly 55 percent of the rural population considered to be in extreme poverty. Overall, Bolivia is one of the poorest countries in Latin America with a per capita gross national income of \$1,100 in 2006. In the 1980's Bolivia successfully halted hyperinflation, stabilized its economy, and then, in the 1990's, launched a series of second-generation reforms. Nevertheless, economic growth and poverty reduction during the past twenty years have been disappointing, and social unrest has remained high. Growth averaged 3.5 percent from 1985 to 1995, and dropped to 2.9 percent during the subsequent ten years (1995 to 2005). In the last two years, however, growth has recovered to a rate of 4.0 percent.

2. In the last six years, Bolivia was ruled by five presidents, two of whom resigned due to social protests. Following the election of Evo Morales as president with a solid majority vote in December 2005, government initiated a fundamental redrafting of the national constitution as a way of resolving conflicts of policies on natural resources, decentralization and other topics. The Constitutional Assembly is still underway and uncertainty remains about the nature of forthcoming constitutional changes. Independent of that process, government is exploring multiple strategies to achieve poverty reduction, especially in rural areas.

Rural Development Sector Issues

3. Current efforts in rural development build directly on decentralization initiated through the Popular Participation Law (PPL), which was passed in 1994. That law resulted in the transfer of substantial resources and responsibilities to local governments, most of them newly created. With the law, municipal governments incorporated rural areas into their jurisdictions. Government functions in health, education, basic sanitation and the promotion of rural development were devolved to municipalities, and resources provided through a formula based fiscal transfer system. In addition, territorially-based organizations (OTBs) within municipalities were recognized by the law and its regulation as legitimate representatives of communities, and were given a voice in local government, through participation in municipal planning and oversight processes.

4. In the years following the approval of the PPL, the country experienced a decline in economic growth largely as a result of external shocks. Social unrest grew, and rural poverty remained high. In response, the national government conducted a national dialogue in 1997 and then again in 2000. The second dialogue culminated in the 2001 National Dialogue Law (NDL) which established a formula for additional transfers of resources to local governments for poverty reduction investment, with resources available from the second debt-reduction program (HIPC II).

5. In response to the persistent level of poverty in rural areas and the need for effective local governments, a series of IDA-financed projects were implemented starting in 1995, including the Rural Communities Development Project (RCDP), the first Participatory Rural Development Project (PRI), the Indigenous LIL, and the Rural Alliances Project. These projects have supported the government in developing a strategy for supporting rural development through a combination of: (i) investment in economic infrastructure (especially roads, bridges and small scale irrigation); (ii) strengthening the capacity of local governments and indigenous organizations and the participation of rural communities in local government decision-making; and (iii) supporting the development of productive endeavors by *campesino* and indigenous groups. Each incoming government has supported this approach to addressing the persistent poverty in Bolivia's rural area.

6. Several key challenges still face the sector, including: (i) the allocation and management of increased public resource flows to rural areas in the absence of coherent national and local policies and institutional capacity; (ii) lack of an effective framework and incentives relating to operations and maintenance of rural infrastructure; (iii) lack of productive investment in rural areas; and (iv) lack of coordinated infrastructure planning and programs among local and prefectural authorities. Below is a summary of each of these challenges; for more details on these issues see Annex 1.

7. Managing increased resource flows. Due to changes in revenue-sharing and increased income from hydrocarbons, in the past 12 years, the resources available to municipal government in Bolivia have skyrocketed, from US\$ 6.7 million in 1994 to US\$205 million in 2006. Prefectures also benefited, with their resources increasing from US\$179 million in 2004 to US\$581 million in 2006. Fifty Eight percent of public investment in Bolivia is now being managed by subnational governments. This dramatic change has not been accompanied by: (i) clarity in the devolution of responsibilities to subnational governments; (ii) policies and rules to guide public investment at subnational levels; or (iii) needed increase in institutional capacity to manage these resources. Lack of institutional capacity is a significant problem, especially in rural areas. In a recent assessment, 83 percent of the municipalities in the project area were rated as having low administrative and financial capacity on a standard municipal rating system. Issues of devolution and institutional coordination are also significant as lack of clarity and rules have led, in many cases, to greater inequities in allocation of resources and to uncoordinated and inefficient investment programs.

8. Operations and maintenance. Currently, maintenance of public infrastructure presents serious deficiencies. Municipalities and prefectures do not budget sufficient resources for operations and maintenance (O&M) and institutional arrangements tend to be dispersed and their reach uneven. In 2005, only 29 percent of all municipalities budgeted for O&M and the amount budgeted by those municipalities was very limited, less than 2 percent of their total budgets. Also lacking is post-investment technical assistance and follow-up training on operations and maintenance schemes. This issue is a vital one, as without adequate O&M the substantial investments being made in rural areas will not be sustainable.

9. Lack of productive investment in rural areas. While municipalities have played an increasingly important role in local investment, over half of their investment funding is being allocated to social infrastructure (education, health, and basic sanitation). In 1995 only 10

percent of all municipal investment went to productive sectors (roads, energy, irrigation, other productive infrastructure and technical assistance), compared to 86 percent for social sectors. While these percentages changed somewhat by 2006 (productive at 28 percent and social at 59 percent), support to productive investment still remains low. This relative low investment in productive sectors is in spite of a strong demand for such investments arising from the participatory planning processes in each municipality, where, in rural municipalities, the predominant demand has been for roads and other productive investments. Some of the barriers experienced by rural municipalities to investing in productive areas are: difficulties in accessing cofinancing for these kinds of investments, greater complexity in design and implementation, and difficulty in accessing needed technical assistance.

10. Coordinating infrastructure planning and programs among local and prefectural authorities. The fragmentation of local investment--arising in part from intra-municipal pressures to allocate resources to as many actors as possible, and to difficulties in supra-municipal coordination--reduces the efficiency and impact of development actions. Also, investment fragmentation increases the difficulty of organizing and allocating resources for O&M activities. The potential impacts of investments are reduced by lack of coordination among municipalities and prefectures, which affect particularly those investments which would benefit from network considerations and economies of scale. This situation holds for many areas of municipal investment. It is most clearly obvious in the area of rural transport, where planning for the improvement and O&M of rural roads must be done on a network basis for it to be efficient and effective. While initial efforts have been made in supramunicipal planning by number of municipalities, *mancomunidades* (association of municipalities) and prefectures, this is an area of great potential for improving the quality and impact of rural investment.

11. In order to help to address these key sectoral issues, the government has requested a *Proyecto de Desarrollo Concurente Regional (PDCR)* in Spanish and in English, Second Participatory Rural Investment Project (PRI II).

B. Rationale for Bank involvement

12. The proposed project will pilot the strengthening of institutional arrangements between the national, prefecture and municipal governments and civil society for sustainable management of subnational public investments in selected productive sectors with an emphasis on territorial development, in selected areas ("territories") of each of Bolivia's nine departments.

13. The Bank is well positioned to finance this project given its: (i) extensive experience and strong track record in supporting rural development through decentralization with the first PRI project; (ii) ability to draw upon extensive experience in decentralized rural investment programs in other countries and regions; and (iii) continued involvement and contribution to the development of government's decentralization and fiscal policies through policy oriented dialogue and lending, including its support for policy formulation during the critical transitional period to a new or modified Constitution. In addition, in both the first PRI project and the proposed project, the Bank has been able to contribute from its experience in many other countries with decentralized rural road development and maintenance, and decentralized small scale water and other natural resource development.

14. The project is conceived both in the Bank's Interim Strategy for Bolivia (ISN), dated October 24, 2006, and by the Bolivian government as part of a package of initiatives, including the proposed Land for Agricultural Development Project and the existing Rural Alliances Project, which would complement each other in responding to key rural development priorities. The follow-on operation has been included by government in the ISN, as part of the Fostering Jobs Through Growth strategic area. It is also being envisioned as an instrument for improving local governance.

C. Higher level objectives to which the project contributes

15. Government's policy has been articulated in the recently issued National Development Plan (NDP), which contains three broad objectives: (i) fostering jobs through inclusive growth; (ii) promoting social inclusion; and (iii) improving institutions, governance, and accountability. While the PRI II project would help meet all three goals, its principle focus will be on promoting more inclusive growth for rural areas. The project supports the NDP's economic strategy by channeling productive investments and services to small rural indigenous and *campesino* producer associations and communities, and its social inclusion strategy by providing more equitable opportunities that would help eliminate discrimination and poverty. The project would also help to achieve improved capacity and accountability of municipal and prefectural governments and provide incentives for municipalities to join together to conduct territorial planning and coordinate their actions and investment plans.

II. PROJECT DESCRIPTION

A. Lending instrument

16. The project will be financed by a credit of SDR 12,800,000 (equivalent \$20 million) from IDA, \$4.5 million from the Swiss Confederation, Danish Crowns \$63 million (equivalent \$10.9 million) from the Kingdom of Denmark, \$36.0 million from the government of Bolivia, including departmental and local governments, and an anticipated \$6.6 million in cash and in-kind cofinancing from beneficiary families and producers.

B. Program objective and Phases (NA)

C. Project development objective and key indicators

17. The development objective of PRI II would be to pilot the strengthening of institutional arrangements between the national, prefecture and municipal governments and civil society for sustainable management of subnational public investments in selected productive sectors with an emphasis on territorial development.

18. It will: (a) facilitate participatory planning at the municipal and regional level, to help coordinate the policies, activities, and financing of local, departmental, and national institutions; (b) promote the consolidation of local municipal associations (*mancomunidades*) to create and implement territorial development strategies and achieve economies of scale in administering funds; (c) provide cofinancing for investments in basic infrastructure, natural resource management and promotion of economic activities; (d) provide technical assistance and training

to agencies involved in operation and maintenance; and (e) strengthen local public and civil society actors involved in defining and implementing territorial development strategies. The project brings a renewed emphasis on increasing the scale of planning and development management, focusing on “regions” agreed to among groups of municipalities and between them and their departmental prefecture. These regions would function as intermediate planning and coordination spaces. Departmental consensus will determine the shape of these regions. In some cases, they may be equivalent to the existing provinces; in others, municipalities and prefectures may agree on a different spatial arrangement. Ideally, prefectures would formally deconcentrate their local operations to these regions, and these would coincide with municipal *mancomunidades*, thus consolidating the ordered framework for coordination with local governments.

19. In practice, the project envisages piloting flexible processes whereby all subnational actors gradually build and consolidate the terms and arrangements for coordination and cofinancing (*conurrencia*), as well as the spaces (regions) where these will be applied. Departmental cofinancing arrangements, territorial planning and support to the implementation of these plans are the key instruments for piloting the institutional arrangements in this project. Some advances have already been made by subnational actors in these types of experiences, either by prefectural deconcentration efforts, or through the constitution of *mancomunidades* as potential instances for regional/supramunicipal planning. Support will be provided to facilitate the convergence between these two levels of government, and between these and national government instances.

20. Key indicators for project performance and outcomes include:

- 100 percent of productive investments executed by the project have been cofinanced by prefectures and/or municipalities, under the framework of their competencies.
- 30 percent increase in the benefits of public investments co-financed by the project.
- 70 percent of the public investments cofinanced and coordinated by the project are properly maintained and operated.
- 18 inter-municipal plans with a territorial focus have been consolidated as a mechanism for local development.
- Validated models for ordering subnational public investment have been tested for replication in other sectors and territories.

D. Project components

21. The project includes three components. For a detailed description of these components see Annex 4.

- **Component 1 (Institutional Strengthening)** will finance technical assistance, training, and capacity building activities to: (a) develop the capacities of municipal governments (and their *mancomunidades*, or associations) to coordinate the actions of a variety of governmental, social and private actors, and to increase funding for, and improve the administration of, investments; (b) facilitate the process of coordination among municipalities and between them and departmental prefectures; and (c) support the

national government's capacity to formulate enabling regulations and cofinance subnational investments .

- **Component 2 (Productive Investments)** will provide financing for priority investments that fall under the responsibility of municipal governments and/or communities and producer groups, and were identified in territorial and local planning processes. Investments under the component will be linked to the implementation of municipalities' O&M plans, particularly in the case of transportation planning.
- **Component 3 (Project Management)** will finance technical teams, studies, and related administrative costs for the project management units: i) at the national level (National Operations Unit) within the Viceministry of Decentralization and in each of nine departments, the Territorial Operating Units, operated by the Departmental Municipal Associations (AMDES); and ii) operating cost incurred by Productive and Social Investment Fund (*Fondo de Inversion Productiva y Social*, FPS).

Table 1: Project Cost Table by Financing Source (US\$ million)

Components / subcomponents	Total	Gov't of Bolivia	Local Gov't*	Beneficiaries	IDA	Suiza Dinamarca
1. Institutional Strengthening	11.11	0.00	4.40	0.38	3.54	2.80
1.1. Territorial Planning	2.20	0.00	0.45	0.03	0.96	0.75
1.2. Implementation of Territorial Plans	4.46	0.00	2.98	0.00	0.83	0.66
1.3. Investment Capacity Building	1.81	0.00	0.50	0.23	0.60	0.47
1.4. Operation and Maintenance Capacity Building	1.31	0.00	0.48	0.11	0.40	0.32
1.5. National Capacity Building	1.33	0.00	0.00	0.00	0.74	0.59
2. Productive Investments	53.99	0.00	30.21	5.77	10.05	7.95
2.1. Preinvestment	2.85	0.00	0.52	0.21	1.18	0.93
2.2. Investment	51.14	0.00	29.69	5.56	8.87	7.02
3. Project Management	10.28	0.13	0.00	0.16	5.76	4.23
3.1. Project Implementation & Management	4.82	0.13	0.00	0.16	2.53	2.00
3.2. Communication Strategy	0.38	0.00	0.00	0.00	0.21	0.17
3.3. Planning, monitoring & evaluation	0.33	0.00	0.00	0.00	0.19	0.15
3.4. Studies	0.09	0.00	0.00	0.00	0.05	0.04
3.5. PPF	0.40	0.00	0.00	0.00	0.40	0.00
3.6. FPS Operational Costs	4.25	0.00	0.00	0.00	2.38	1.88
PRICE CONTINGENCIES	2.70	0.00	1.24	0.27	0.65	0.54
Total	78.09	0.14	35.86	6.58	20.00	15.51

* Co-financing from municipal and departmental governments.

22. The project area encompasses 182 municipalities, 71 of whom would only participate in the rural transport activities while the remaining 111 have been selected to participate in all aspects of the project. The 111 municipalities were selected based on the criteria of high level of poverty as defined by Human Development Index (IDH), high level of rural population, high level of indigenous population, strong productive potential based on, for example, contribution to GDP and capacity to generate employment, and zero net migration. The total population of selected 111 municipalities is nearly 1.2 million amounting to roughly 193,500 households. They represent about 14 percent of the total population of the country. Eighty percent of them are rural dwellers, and 65 percent are indigenous. This area contains 4,425 formally recognized indigenous and campesinos comunidades in Bolivia, specifically Quechua, Aymara, Guarani, Chiquitano, and Mojeño. Each territory and department (Prefecture) is represented in the project

area. In the 111 municipalities, it is anticipated that the project will serve 230,000 direct beneficiaries, or 38,600 households.

23. The additional 71 municipalities will only be eligible for investments in transportation infrastructure and institutional strengthening support in operations and maintenance (O&M). These 71 municipalities have been chosen because of their successful development of a rural transport network plan during the first PRI project. In these 71 municipalities there is a population of 856,795 (10 percent of the national population) with 83 percent rural and 83 percent poor. The project areas, selection criteria and beneficiary profiles are described in detail in Annexes 10 and 15.

Table 2: Overview of Project Municipalities

	111 Project Municipalities (all components)	71 Project Municipalities (transport component only)	All 182 Project Municipalities
Departments (Prefectures)	All 9	All 9	All 9
Municipalities	111	71	182
Population	1,160,736	856,795	2,017,531
Rural Population	923,946 (80%)	710,711 (83%)	1,634,657 (81%)
Indigenous Population	753,000 (65%)	569,509 (66%)	1,322,509 (66%)
Poor	885,642 (76%)	707,713 (83%)	1,593,455 (79%)
Extremely Poor	376,543 (32%)	316,329 (37%)	692,862 (34%)
Estimated Direct Beneficiaries	230,000	173,000	403,000

E. Lessons learned and reflected in the project design

24. As detailed in Annex 16, preparation of the project benefited from lessons learned especially from Bolivia's first Participatory Rural Investment Project (PRI) project. Numerous lessons have been drawn from that project and have been directly reflected in the design for the proposed project. They include:

- *Demand-driven approach.* The success of PRI owes a lot to the use of a driven-driven approach to bringing investments to rural communities and municipalities. In all cases, selection of priority investments was done locally and required financial contributions by local government and often by communities themselves. This approach ensured a strong ownership for each subproject investment, and increase sustainability.
- *Development of market supply of services for strengthening local governments.* The institutional strengthening component of the first PRI project fostered the development of a market supply of training and technical assistance services needed by rural municipalities. The proposed project would continue municipal strengthening through competitive procurement from local suppliers (often local universities and NGOs).
- *Maintenance of investments for sustainability of impacts:* Lessons from the first PRI project indicate that: (i) municipal governments lack municipal policies or programs with

respect to community road maintenance; and (ii) rural roads maintenance priorities and plans must be developed through a network analysis and use of appropriate and sustainable approaches of O&M. Local governments were found to have some resources available for road maintenance, but the use of those resources to conduct maintenance with heavy equipment was not an effective and often times a counterproductive strategy. Ensuring the effective implementation of a sustainable road maintenance program by municipalities will be a significant focus of the proposed project.

- *Strong institutional capacity:* Implementation of the first PRI project was substantially delayed by the presence of an executing agency with serious fiduciary deficiencies. For a project which finances the decentralized implementation of large number of investments it is essential that the implementing agency have very strong fiduciary standards and controls.
- *Participatory processes:* Implementation of the first PRI project demonstrated the value of participatory processes for effective project implementation. Areas in which participation made a strong contribution and which would be continued and further strengthened in the proposed project are: (i) in the formulation of development plans; (ii) in the analysis of the rural road network and selection of priority road investments within that network; and (iii) in the monitoring of investment activities by representatives of benefiting communities.
- *Strong monitoring and evaluation framework:* The first PRI project did not have an adequately developed set of indicators for monitoring progress and evaluating results. With the knowledge gained from the implementation of that project, it has been possible to articulate more practical and useful indicators and processes for monitoring and evaluation.
- *Innovations and adaptive management:* One of the key features for success of a project is to allow for the modification of project activities during implementation, to take advantage of new or different approaches which would improve project efficiency and effectiveness and the achievement of development objectives. This was done in the first PRI project when the spot improvement approach for rural roads was not only introduced mid-project but quickly became a requirement for all project-financed rural road investments. Such innovations from the first PRI are to be supported in the proposed project as well as a continuation of a style of management designed to identify and test new approaches to rural development during implementation.
- *Candid risk assessment and mitigation measures:* The first PRI project was substantially strengthened by leadership within the implementing agencies which sought to assess and mitigate risks, including, for example, the risks associated with a political culture that facilitated corruption. Implementation of the proposed project will include efforts to strengthen the willingness and ability of implementing agencies to periodically review key assumptions and risks, so that serious implementation problems may be detected and remedied early.

F. Alternatives considered and reasons for rejection

25. During project identification three alternative project approaches were considered and rejected by the Government and the Bank. First, consideration was given to doing a straight-forward repeater project, given the success of the first project; however, this was considered

insufficient given the priorities established in the National Development Plan and the significantly different financial and political context in the country. Second, government examined the possibility of adopting an exclusive focus on small works under a community-driven development approach, in line with the new social protection policy; it was decided rather that the new project would support implementation of key priority measures contemplated in decentralization policies. Third, consideration was given to concentrating project activities and financing mechanisms exclusively on the supra-municipal level while consolidating intermediate regions in the departments. It was agreed that this approach was not viable given that municipalities and prefectures were likely to consolidate their functions and responsibilities under the new constitution, and that the proposed regional level would need to be negotiated in this context.

26. The proposed project contains many of the elements of the first PRI project, but introduces substantial innovations, on the basis of strengthening the existing institutional. Based on lessons from that project, the team built a territorial approach to development planning, implementation and cofinancing, centering on: (i) groups of municipalities which share territorial, economic and socio-cultural characteristics, and (ii) their articulation with prefectural development efforts. Thus, it was decided to add a focus on territorial, multi-municipal planning and on subnational coordination, while still maintaining implementation of project investments in the hands of municipal organizations.

III. IMPLEMENTATION

A. Partnership arrangements

27. Partnerships have been established with two bilateral donors, who will provide parallel financing for the project. The Kingdom of Denmark will provide Danish Crowns \$63 million (equivalent \$10.9 million) and the Swiss Confederation \$4.5 million. It was agreed that the project would be jointly supervised and governed by one Operations Manual, Project Implementation Plan, Annual Operating Plan and the World Bank's Fiduciary and Safeguards policies. A memorandum of understanding will be signed between the Bank, the Kingdom of Denmark and Swiss Confederation before the effectiveness of project detailing how the three donors will cooperate, finance project activities and jointly supervise the project.

B. Institutional and implementation arrangements

28. The project will be implemented by two agencies at the national level, the Viceministry of Decentralization (part of the Ministry of the Presidency) and FPS, and by the municipal governments, which will be responsible for contracting investment subprojects as well as technical assistance. The Viceministry of Decentralization (VMD) will be responsible for overall project coordination and specifically for the management of the institutional strengthening and project administration and monitoring components. VMD will operate the project through a National Operations Unit (NOU), aided at the departmental level by Technical Operating Units (TOUs) established within each Departmental Municipal Associations (AMDES). FPS will be responsible for the productive investments component. Other key actors will include departmental prefectures, *mancomunidades* (associations of municipalities), and

indigenous and *campesino* communities (OTBs), producer organizations, and *comites de vigilancia*.

29. **Ministry of the Presidency.** The Ministry of the Presidency is responsible for approving: (i) the Operations Manual (OM); (ii) the project's annual budget; (iii) Annual Operating Plan (POA); and (iv) the delegation of all operational and administrative responsibilities for project execution.

30. **Viceministry of Decentralization, Ministry of the Presidency.** VMD is in charge of project coordination and of the implementation of the Institutional Strengthening and Project Management components. It will: (i) coordinate with other ministries, prefectures and national-level agencies the execution of the project; (ii) prepare modifications to Operations Manual (OM); (iii) sign any inter-institutional agreements for project execution; (iv) prepare the Annual Operating Plan (POA) and ensure the project's budget registration; (v) process amendments to the Credit and Grant Agreements; (vi) contract and review annual evaluations and impact studies; (vii) coordinate all matters required for the efficient implementation of the project; (viii) ensure that the government's policies of decentralization and institutional strengthening reflected in and informed by the execution of the project; (ix) coordinate project implementation at the strategic level with FPS; (x) ensure adequate coordination of the project with the prefectural Services for Municipal and Community Strengthening; (xi) ensure the establishment and provide oversight to the operation of the NOU per the terms of the Credit Agreement and the Subsidiary Agreement; (xii) sign the contracts with the National Project Coordinator, technical team and administrative liaison personnel; (xiii) evaluate the operation of the NOU and TOUs annually with the support of an external agency specializing in staff selection; and (xiv) review and approve project reports, audits, and impact evaluations.

31. Consultative Entities. Two existing governmental instances within CONADES (*Consejo Nacional de Descentralización*) will have a consultative character for the project's execution: (i) the Technical Commission on Departmental Policies, in which participate the national government and prefectural technical crews and authorities; and (ii) the Intersectoral Technical Commission, that involves the viceministries for all sectors. These instances are spaces in which the Vice Ministry of Decentralization: i) coordinates project strategies with the departments and sectors; ii) informs about the implementation and results of the project in the regions; iii) promotes the articulation and coordination of the sector programs and projects in the territory; and iv) enables the compatibility of specific sector regulations to hasten public investment. Additionally VMD will promote the conformation of the Municipal Strengthening Council, with the participation of FAM and the Departmental Services of Community and Municipal Strengthening for the formulation and implementation of municipal strengthening policies and programs operated by the project.

32. National and Territorial Operating Unit (NOU and TOUs). The VMD will establish the NOU as a line unit within VMD, with responsibility for coordinating the project at the national and departmental levels and will strengthen their administrative liaison unit to carry out the administrative functions of the project (See Annex 6). The NOU will be led by a National Coordinator working under the direct oversight of the Viceminister of Decentralization. The coordinator will manage a technical team and will liaise with VMDs Administrative Unit. Field

units, or TOUs, will work under the supervision of the NOU, and established through Inter-institutional Agreements with the respective Departmental Municipal Associations (AMDES) in each department. The project will establish up to nine TOUs in order to serve the 18 sub-regions prioritized by the project.

33. TOUs will be responsible for field implementation of the Institutional Strengthening component as well as monitoring the performance of the Productive Investments component. Each unit will have a technical and support structure to carry out project coordination and execution under the scope of each department's eligible municipalities. Each TOU will consist of a territorial coordinator in charge, an investment specialist, an institutional strengthening specialist and a fiduciary specialist. VMD will sign an interinstitutional agreement with each Departmental Municipal Associations (AMDES), to install a Territorial Operating Unit within its structure.

34. **Productive and Social Investment Fund (Fondo de Inversion Productiva y Social).** FPS will be the agency in charge of implementing the project's Productive Investments component. FPS will rely on municipalities, communities and producer groups for execution of subprojects. Its role is focused on ensuring subprojects' technical quality and compliance with safeguards and fiduciary requirements. The Bank carried out an "Operational Review of FPS" with the aid of an international consulting firm during project preparation. This review resulted in action plan which forms the basis for strengthening their administrative and operational capacity and adjusting FPS's Operational Manual. (See Annex 6 for more information and 18 for the detailed Action Plan). FPS will operate under an Interinstitutional Agreement signed with MP establishing, in addition to its legal obligations, clear performance and institutional criteria whereby results will be measured.

35. *FPS Regional Offices.* The existing FPS regional offices (one in each department) will carry out subproject ex-ante evaluations, monitor contractual integrity, conduct field supervision, and order payments to contractors. FPS regional offices are staffed by: a Departmental Manager, a technical team in charge of physical and financial monitoring and evaluations; and an administrative team in charge of processing payments.

36. **Municipal Governments.** Local governments are the key project actor. They are legally in charge of either providing or coordinating the provision of the infrastructure, services and assets which the project intends to deliver. Municipal governments (MGs) will be in charge of maintaining most of the investments financed by the project. Thus, building their capacity is one of the main expected outputs. MGs will manage most of institutional strengthening activities through contracts with consultants and, in some cases, NGOs and mancomunidades.

37. **Mancomunidades.** As existing actors already created for municipal coordination in sub-regions, mancomunidades will play an important role in the project. It is expected that in some cases mancomunidades will lead sub-regional development planning and investments that have cross municipal borders or have supra-municipal impacts. In these cases, mancomunidades would manage strengthening and investment subprojects under clear delegation from their member governments.

38. **AMDES.** The AMDES are not-for-profit civil associations conformed by all municipalities of each departmental jurisdiction. Municipalities pay a fixed fee, calculated as a proportion of their budget to sustain the AMDES (and their national federation, FAM, as well). The AMDES's main purpose is to provide technical assistance and training to municipalities as well as to represent them in negotiations with other actors. The AMDES have implemented several donor-financed projects.

39. **Prefectures.** Prefectures will: (i) benefit from technical assistance to improve their coordination and cofinancing activities with municipalities; (ii) participate in territorial development planning and coordinate prefectural investments with municipal governments; (iii) cofinance municipal institutional strengthening contracts and investment subprojects; (iv) participate in project strategic discussions; and (v) participate in project evaluations.

40. **Indigenous and Campesino Communities and Producer Organizations.** Municipal governments are obliged by law to allocate investment resources in concert with OTBs, and they do it through a variety of means, including participatory municipal planning, participatory budgeting, and evaluations. Participation varies among municipalities in qualitative and quantitative terms. Producer organizations also have a right to participate in municipal planning. These organizations will: (i) participate in development planning; (ii) help local governments to define priorities; (iii) participate in strengthening activities; and (iv) implement some investment subprojects.

41. **Comites de Vigilancia.** These oversight committees, created by law and representing communities in each municipality, emit a formal opinion on municipal POAs and budget execution reports, and exercise "social control" over municipal government actions.

42. **Institutional Model and Flow of Funds.** Each of the two implementing agencies, VMD and FPS, will manage a designated account. Disbursements for the institutional strengthening component will be handled by VMD. Payments for locally managed contracts will be made directly by VMD to consultants hired by municipalities. Payments under subprojects for the productive investments component will be managed by FPS.

C. Monitoring and evaluation of outcomes/results

43. Monitoring and Evaluation (M&E) for the project includes an M&E system in the VMD and a Subproject Administrative System (SAP) in FPS. The VMD M&E system includes monitoring progress in project implementation and evaluating results is being developed by the National Operating Unit (NOU), based on the performance indicators of the project. M&E efforts for the entire project will be coordinated through the M&E specialist stationed in the NOU and will include: (i) a series of workshops for local actors and technical staff in the TOUs to ensure understanding of and participation in the system; (ii) a beneficiary assessment will be conducted bi-annually to assess their perceptions on the overall project performance including a feedback on project staff performance; and (iii) an external and independent evaluation conducted at the time of mid-term review and project completion to complement the in-house M&E.

44. M&E from both the VMD and FPS will include collecting data to measure project impacts and verify the intermediate outcome and impact indicators. Monitoring of project progress will be done by assessing progress in: (i) institutional strengthening (ii) subproject implementation, and (iv) overall project implementation. Evaluation will focus on the achievement of the five project outcome indicators, measuring the impact of the project on the lives of the participants and the functioning of participating municipalities and prefectures.

45. **FPS SAP.** FPS currently has a functioning system for operational and management control of the investments executed by the FPS. The system has been reviewed and recommendations made to improve its capacity to more effectively and efficiently monitor and control the subproject cycle, provide greater management control and increase accountability, all consistent with the overall agreed upon changes to the controls and operation within the institution and project cycle. Key required modifications will be completed by project effectiveness.

46. Details regarding the monitoring and evaluation system are to be found in Annex 3.

D. Sustainability

47. While the project is designed to provide concrete benefits for poor rural areas resulting from specific project investments, the project will not be successful without two kinds of sustainability: (i) sustainability of the individual investments; and (ii) sustainability of the institutional arrangements between the national, prefecture and municipal governments and civil society for the management of subnational public investments in selected productive sectors.

48. With regard to subproject sustainability, the proposed project has been designed to give new emphasis to operations and maintenance of the investments. In the case of rural roads a substantial part of the technical assistance will focus on setting up O&M programs, and approvals of new road investments will be conditioned on the presence of a functioning, municipal O&M program for rural roads. In the case of small-scale irrigation, the procedures for preparing an irrigation subproject will include steps to address O&M requirements at the design stage, in terms of plans for managing the system and for financing repairs and maintenance.

49. With regards to the sustainability of the institutional arrangements, dialogue during project preparation and during execution has and will continue to focus on the institutionalization of the incentives and mechanisms to promote local government partnerships and investment in economic development, including the rural road network, small-scale irrigation, and other areas. Through their participation in the proposed project, it is anticipated that local public officials and others will become aware of the value of the efficient and effectively approaches to development investment being used in the project. It is anticipated that the national government will build into its future programs technical and institutional requirements similar to the ones used in the project. In fact this expectation has already been partially achieved, with FPS already requiring that all the rural road investment it finances will follow the spot improvement approach successfully piloted in the first PRI project.

E. Critical risks and possible controversial aspects

50. The Project team has identified some potential risks to the effectiveness and sustainability of the project activities as well as planned mitigation responses. The risks fall into three broad categories including Bolivia Country-wide, Sector Policies and Institutions and Project specific.

<i>Risk factors</i>	<i>Description of risk</i>	<i>Rating^a of risk</i>	<i>Mitigation measures</i>	<i>Rating^a of residual risk</i>
I. Country and/or Sub-National Level Risks				
Macroeconomic framework	Macroeconomic deterioration due to failure to control path of external and internal debt.	M	The Bank is working with the Government's economic team to chart a projected path of fiscal discipline that is economically, socially and politically feasible.	M
Governance	- Disagreements over resource-allocation and responsibilities between the three levels of government—Central, departmental, and Municipal—create a difficult environment for dialogue and coordination. - The Constituent Assembly may substantially redefine the relations among these government levels.	H	- Focus on piloting, incentives and flexible mechanisms for implementation, with emphasis on clarifying responsibilities and consensus-building at the departmental level. - Project design is aligned with key agreements in Constitutional Assembly; flexible design and resources allocated to permit adaptation to new framework.	H
Corruption	Patronage and corruption persist, particularly at local level.	H	Strengthen oversight capacity and internal control mechanisms of FPS; adequate publicity of all contract awards; systematic involvement of civil society in priority-setting and investment oversight.	S
II. Sector Policies and Institutions	Persistence of multiple approaches to subnational cofinancing within the National Government.	H	Operations of an Inter-sectoral Committee that oversees, monitors and facilitates sectoral involvement in project implementation; issuance of planning regulation.	M
III. Operation-specific Risks				
Technical/design	Adequate operational arrangements for project execution may not be sufficient to confront local political influence and interest.	H	Financial incentives and technical assistance are being provided so that both Prefectures and Municipalities cofinance and execute projects under a clear separation of responsibilities.	S
Implementation capacity and sustainability	FPS weaknesses in the internal control environment and other deficiencies on performance were identified as part of the supervision and other specialized reviews conducted within the last years.	H	As part of project preparation, an Operational Review of FPS was carried out by external consultants, financed and directly contracted by the Bank. As result of such review, an integral strengthening action plan has been	M

			agreed with FPS. Key issues and mitigating measures have been incorporated into project design, including a streamlined sub-project cycle, better defined roles and responsibilities of different actors (e.g. municipal governments), establishment of a monitoring & control unit, and a strengthened information system, with emphasis on control environment. Institutional strengthening actions are being implemented through the PPF approved for project preparation and with project resources.	
	The drastic salary reduction done in the whole public sector, limits the capacity to attract and maintain qualified staff.	H	Incremental staff for VMD, FPS and AMDES will be selected following competitive procedures that guarantee compliance with the qualifications in the ToRs that have received the No Objection of the Bank.	S
Financial management	Viceministry of Decentralization has limited Bank FM project experience and FPS FM capacity needs strengthening.	S	Implementation of the Financial Plan agreed during preparation. Hiring of FM project personal with experience with World Bank financed projects and provision of related training provided during project execution.	M
Procurement	Viceministry of Decentralization has limited Bank project procurement experience and FPS procurement capacity needs strengthening.	H	Implementation of the Procurement Action Plan agreed during preparation. Hiring of Procurement Staff with experience with World Bank financed projects and provision of related training provided during project execution.	M
Social and environmental safeguards	Ethnic and social tensions among communities, and between communities and different levels of government may make coordination and agreement more difficult.	M	Participation in planning and implementation will help to filter community demands for project investment.	M
Sustainability	Maintenance and Operational legal and institutional framework may reduce effectiveness of O&M activities.	H	Financial incentives and institutional strengthening are being provided by the project to engage in O&M. Resources are also dedicated for studies aimed at improving the institutional and legal framework for O&M.	M
IV. Overall Risk (including Reputational Risks)				S
Memo items:				

1. CPIA ratings for IDA countries (overall and four clusters)
2. IEG rating (% of projects rated satisfactory—HS, S, or MS—over last five years both for the country portfolio and the sector)
3. Other governance and corruption indicators
^a Rating of risks on a four-point scale – High, Substantial, Moderate, Low - according to the likelihood of occurrence and magnitude of potential adverse impact.

F. Loan/credit conditions and covenants

51. Effectiveness Conditions:

- (a) The Subsidiary Agreement has been executed on behalf of the Recipient and FPS.
- (b) The Operational Manual and Project Implementation Plan have been adopted in a manner satisfactory to the Association.

52. Other Covenants

- (a) Not later than March 31, 2008, FPS shall have completed the modifications of the first phase of the SAP, agreed with the Association.
- (b) Not later than December 31, 2008, FPS shall have completed all SAP modifications agreed with the Association.
- (c) Not later than April 30, 2008, FPS shall have established its public web page with the register of all companies, supervisors, and contracts awarded by FPS and Municipalities regardless of the financing source.
- (d) The Recipient shall cause FPS to carry out all the necessary actions to implement the FPS Action Plan.
- (e) The Recipient and the Association shall assess semiannually FPS institutional performance to confirm compliance with FPS Action Plan.

IV. APPRAISAL SUMMARY

A. Economic and financial analyses

Indicators	Present Value of Flows	
	Economic Analysis	Financial Analysis
Net Benefits	US\$5.0 million	US\$11.0 million
Internal Rate of Return	14%	13%

53. In line with the project objective and intermediate results (Annex 3), a Cost/Benefit analysis was performed for major project investments, grouped in subproject categories, namely: transport infrastructure such as road improvements and bridges; water management infrastructure such as micro-irrigation systems and water retention works; and sustainable management of natural resources such as agro-forestry and improved pastures. Estimation of net benefits and costs followed different methodologies depending on the expected impact of subproject investments. Representative subprojects were selected and analyzed for various subproject categories. Weighted averages of subproject results were calculated based on likely relative frequencies of subproject categories. Aggregate net benefit flows were obtained based on projections of number of subprojects and beneficiary population. The overall project financial and economic Net Present Value (NPV) and Internal Rate of Return (IRR) were calculated considering aggregate net benefit flows and other project costs, such as institutional strengthening and project management.

54. The incremental economic and financial benefits were estimated considering various factors. In subprojects for improving roads and building bridges, reduction of time and transportation costs of families and transport-sector beneficiaries were estimated. In subprojects for small-scale irrigation and sustainable natural resource management, incremental production value of beneficiary families was estimated.

55. In order to estimate potential benefits of project improvements with respect to the previous project, three scenarios were analyzed. These scenarios relate to the assessment of outcomes and sensitivity analysis contained in the Implementation Completion Report (ICR) of the previous project, where operation and maintenance of public infrastructure was underlined as a major sustainability risk. Scenario one represents likely impacts if operation and maintenance costs of roads and bridges were properly covered by responsible institutions and failure factors of irrigation systems and other productive assets were properly addressed. Scenario two represents the likely impacts if such costs were not covered and failure factors were not addressed. Scenario three represents an intermediate situation. The latter is considered the most likely situation during previous project. Meanwhile, the first scenario is expected to be the situation during this project. (See Annex 9 for details of the Economic and Financial Analysis).

B. Technical

56. The rationale for the selected design and approach is based on an analysis of the technical and institutional deficiencies in rural investments in the productive sectors and the application of tested approaches to improving the selection, implementation, and O&M of these investments. To meet the institutional strengthening objective of the project, it will employ department-based, decentralized territorial operating units (TOUs) that will work in conjunction with the national operating unit (NOU). This approach was successfully used in other projects, including the first PRI project. The TOUs will support the development of subnational investment strategies and strengthening of local capacity with the prefectures and municipalities. The TOU and NOU will support local authorities in applying tested technical approaches to rural investment, especially in road network planning, rehabilitation and O&M, as well as in irrigation and other productive projects. The technical approaches being applied have been developed based on similar experiences in Bolivia and other countries. The spot improvement approach to rural road rehabilitation, for example, has been applied in Bolivia, Mexico and elsewhere, with the cost of this approach shown to be much lower than traditional methods, and the impact on the environment much reduced. The approach to small scale irrigation has been used successfully in Bolivia, Ecuador, Peru and Panama.

C. Fiduciary

Financial Management

57. A financial management capacity assessment was performed to determine the adequacy of the VMD's financial management arrangements to support project implementation. In addition, a financial management capacity assessment of FPS was conducted, based on the results of the Operational Review conducted with the support of the Bank at the end of FY07. As a result of that review, a time-bound action plan including mitigating measures to address

identified external and internal risks was agreed with FPS to strengthen its operational performance, including the internal control environment. (See Annexes 7 and 18).

58. Project design and implementation arrangements require that robust financial management systems are in place. To the extent possible, existing arrangements will be used under both implementing entities, strengthening them as needed in order to guarantee its adequacy to ensure project funds are used economically, efficiently and for the intended purposes. The design of the operational and fiduciary arrangements has also considered the identified risks and the recommendation of FPS Operational Review. The project overall financial management (FM) rating is **substantial**. Downgrading this rating will depend on the successful implementation of FPS strengthening plan.

59. As of the date of this document, significant progress has been made by both entities in terms of completing the design of financial management arrangements. Although full implementation of key actions is still pending, their completion is underway with the support of the Project Preparation Facility. Close follow-up to the compliance with corresponding action plans, will be required towards project appraisal, negotiation and Board presentation.

60. On the basis of the review performed and progress reached so far by both entities, the financial management team concludes that the proposed arrangements – as designed – can be considered acceptable to the Bank, subject to its effective and successful implementation.

Procurement

61. The coordination of the project is under the responsibility of VMD. Procurement for the project will be carried out by VMD, FPS and the municipal governments, for components 1, for component 2 FPS, municipal governments and communities and component 3, VMD and FPS. Component 2 is related to Productive Investment Subprojects, which include items such as works, consultancies, and goods that will be implemented by the municipalities.

62. An assessment of the VMD and FPS capacity has been performed, indicating a **high risk rating**. The key reasons for this rating are: (i) an organizational structure at the VMD (NOU and the TOUs), and the propose structure within FPS have not yet been implemented; (ii) not knowing upfront the capacity of staff that will work in procurement in the different agencies; (iii) *Enlace Administrativo* staff lack experience in implementing substantive procurement following Bank's procedures; (iv) the uncertain role of *mancomunidades* in procurement activities; (v) the large number of procurement process making difficult the supervision of the procurement procedures; (vi) lack of a Control System within the VMD to monitor project implementation; and (vii) lack of an adequate system and procedures for filing procurement documents.

63. An action plan has been prepared to address the risks that were identified. Both the Bank and the Borrower agreed on this plan in October 2007. It is expected to be fully implemented between negotiations and loan signature. The Bank's supervision plan addresses the risks identified by proposing biannual procurement ex-post reviews of the entire projects for the first year. The subprojects will be subject to annual independent procurement reviews to be subcontracted by FPS.

D. Social

64. A social assessment was conducted during project preparation. A workshop was held with municipal officials and members of Comites de Vigilancia involved in the first PRI project in October 2006, followed by a series of consultations regarding the proposed project from March through August 2007. These consultations involved representatives of local governments and mancomunidades; municipal associations; NGOs; indigenous peoples, farmers, women, and youth organizations; other public and social sub-national entities; and private actors related to productive and economic initiatives. The methodology used in the workshops emphasized the participation of women, youth and indigenous people. Two of the results of the social assessment were: (i) a confirmation of the importance of working with community organizations (ethnic, territorial and production based), municipalities, supra-municipal organizations, and prefectures in developing effective approaches to managing public investment; and (ii) suggestions for how to streamline implementation of the institutional strengthening and investment components to avoid pitfalls of past projects. A copy of the final report has been made available to the public. (See Annex 10 for a summary of the results).

E. Environment

65. From an environmental standpoint the individual subprojects in Component 2, Productive Investments are unlikely to have any significant adverse impacts. FPS has standard environmental assessment procedures to ensure that any impacts are identified and mitigation measures put into place. These mechanisms were designed and utilized in the first Participatory Rural Investment project and evaluated as highly successful in preventing negative environmental impacts in the project's closing evaluation. Nevertheless during project preparation, an Environmental Management Framework (EMF) was developed. The environmental impact review, prevention, and mitigation measures recommended by the EMF will be incorporated into the criteria and procedures in FPS's Operational Manual. This will not constitute a major change for FPS, as similar criteria and procedures had already been developed and institutionalized during the implementation of the first PRI project. The new operational rules will be finalized prior to effectiveness. (See Annex 10 for details).

F. Safeguard policies

Safeguard Policies Triggered by the Project	Yes	No
Environmental Assessment (OP/BP 4.01)	[X]	[]
Natural Habitats (OP/BP 4.04)	[X]	[]
Pest Management (OP 4.09)	[X]	[]
Physical Cultural Resources (OP/BP 4.11)	[X]	[]
Involuntary Resettlement (OP/BP 4.12)	[]	[X]
Indigenous Peoples (OP/BP 4.10)	[X]	[]
Forests (OP/BP 4.36)	[X]	[]
Safety of Dams (OP/BP 4.37)	[]	[X]
Projects in Disputed Areas (OP/BP 7.60)*	[]	[X]
Projects on International Waterways (OP/BP 7.50)	[]	[X]

* By supporting the proposed project, the Bank does not intend to prejudice the final determination of the parties' claims on the disputed areas

G. Policy Exceptions and Readiness

66. No policy exceptions are sought. Project meets the Regional criteria for readiness for implementation.

Annex 1: Country and Sector or Program Background

BOLIVIA: Second Participatory Rural Investment

1. Country and sector issues

Country issues

1. Political and economic context. Today, Bolivia remains one of the poorest countries in Latin America with a per capita gross national income of \$1,100 in 2006. While indicators for health, education, and access to basic services have shown improvement, they are still among the worst in the region. In 2003, poverty in rural areas stood at 82 percent, compared to 54 percent in urban areas, and there is an even greater gap in terms of unsatisfied basic needs (78 percent for rural versus 44 percent for urban areas). Nearly 67 percent of the rural population is considered to be in extreme poverty. At \$18 per month, average per capita rural income is equivalent to only 30 percent of urban income. Rural access to piped water is only 28 percent, compared to 86 percent in urban areas. Rural areas still lack the fundamental productive infrastructure for sustainable and broad-based rural growth, as Bolivia's infrastructure ranks 100th out of 104 countries.

2. In the 1980's Bolivia successfully halted hyperinflation and stabilized its economy. In the 1990's the government launched a series of second-generation reforms, including the privatization or concessioning of key industries (e.g. hydrocarbon exploitation, the national airline, train service, and municipal water companies), development of regulatory institutions, reforms of basic education, and establishment and strengthening of local governments and citizen participation. Nevertheless, economic growth and poverty reduction during the past twenty years have been disappointing. Growth averaged 3.5 percent from 1985 to 1995, and dropped to 2.9 percent during the subsequent ten years (1995 to 2005). Affecting Bolivia's growth has been the financial and economic crises in Brazil and Argentina, natural disasters, the near eradication of illegal coca production, and frequent incidents of social unrest, when large parts of the country have been brought to a standstill, sometimes for weeks at a time. From 1997 to 2006 Bolivia had six different presidents; this political instability has been reflected in delays and paralysis of government operations.

3. The December 2005 national elections gave Evo Morales a first-round presidential victory while his political party, the Movimiento al Socialismo (MAS), won a majority of seats in the Chamber of Deputies and nearly half the seats in the Senate. This was the first presidential election held since the resignation of President Sanchez de Lozada due to violent protests in October 2003. President Morales was elected with the broad support of the urban and rural populations, promising an end to corrupt politics of the past and a series of reforms to address the persistent problems of poverty, inequality and discrimination affecting indigenous and mestizo groups in Bolivia. A Constitutional Assembly was elected in July 2006 and is in the process of redrafting Bolivia's constitution. However, with many issues still to be addressed in the Constitutional Assembly, there remains uncertainty about the direction and extent of political and economic changes underway in Bolivia.

4. Government's decentralization strategy. With approval of the 1994 Popular Participation Law (PPL), Bolivia initiated a process of decentralization designed to transfer resources and responsibilities to local governments and strengthen the capacity and participation of municipalities and civil society organizations. The PPL, which includes fiscal transfers to municipal governments on a per capita basis, reversed a historical bias against government expenditure in rural areas and provided a foundation for rural development. The PPL incorporated all rural areas into municipal governments. Key government functions in health, education, basic sanitation and the promotion of rural development were devolved to municipalities. The new fiscal transfer provided the municipalities with a share of the national government revenues distributed based on population (*coparticipacion tributaria*). The PPL and its regulations provided a framework for the legal recognition and organized participation of territorially-based organizations (TBOs) in the new municipal governments, providing a voice in local government for many *campesino*, indigenous and urban groups.

5. Following the approval of the PPL, and other reforms, the country experienced over 4 percent economic growth through 1998 followed by a steep decline in the subsequent years as a result of external shocks. Social unrest grew, and rural poverty remained high. Government turned to externally financed projects, including IDA-financed, to provide supplemental resources for investments identified by local communities and municipalities. To provide input to and develop consensus regarding government policies and programs to address economic growth and poverty reduction, the national government conducted a national dialogue in 1997 and then again in 2000. The second dialogue culminated in the 2001 National Dialogue Law (NDL) which established a formula for additional transfers to local governments for poverty reduction investment, with resources available from the second debt-reduction program (HIPC II), and established a "national compensation policy" in order to equalize transfers to municipalities on the basis of poverty.

Rural development programs (1995 to present)

6. In response to the persistent level of poverty in rural areas, a series of IDA-financed projects have been prepared and implemented starting in 1995, including the Rural Communities Development Project (RCDP), the first Participatory Rural Development Project (PRI), the Indigenous LIL, and the Rural Alliances Project. Each of these projects has played a significant role in the sector and is briefly described in the below table. See annex 17 for a more detailed description of these projects. In particular, the proposed project would build on the first Participatory Rural Investment (PRI) Project and its predecessor, the RCDP, which were instrumental in helping the Bolivian government implement its decentralization and poverty alleviation strategies.

<i>Project/ Duration/ Credit amt (\$ million)</i>	<i>Emphasis</i>	<i>Key Outcomes</i>
Rural Communities Development (RCDP) 1995–1999 12.9	Institutional reorganization and capacity building to support the new rural municipalities, including participatory municipal planning, creation of indigenous districts, and strengthening of municipal governments and grassroots organizations (OTBs).	- Operationalized participatory planning processes in 132 municipalities (with an additional 133 municipalities starting or completing their own by project end) 10,536 prioritized project ideas in all sectors (worth an estimated US\$650 million) of which 527 were financed by the project—allowing FDC to increase its portfolio from US\$12.2 to US\$ 27 million 84 municipalities received support in installing fiscal and administrative systems (50 RCDP municipalities reported an 820 percent increase in tax and non-tax collections) - Technical and institutional capacity strengthened: 114 consultants received direct training, 575 subproject profiles prepared, 527 subprojects formulated, and the number of executing entities (NGOs and consultants) in the different areas financed by the project rose from 114 to 405 - Nearly 800 training workshops held (70 dedicated to gender perspectives)
Participatory Rural Investment (PRI) 1998–2006 58.1	Rural investments, with an emphasis on promoting broad-based economic growth and correcting the bias against infrastructure and productive (as opposed to social) investments, as well as continued institutional strengthening.	- Directly benefited 246 rural Bolivian municipalities (20 percent of rural population) or 840,000 people (72 percent indigenous) through financing 858 municipal-level investments (41 percent in bridge and road rehabilitation, 21 percent in small-scale irrigation, 38 percent in agriculture, handicrafts, and natural resources management projects) 311 productive investments benefited 101,359 producers at a cost of \$14.7 million - Average investment cost per kilometer of rural road cut by 60 percent - Project evaluation projected 97 percent of the 428 rural transport investments (spot improvement and bridges) will have a positive economic rate of return - Based on demand, institutional strengthening activities in 246 municipalities carried out. Of the 173 municipal technical assistance activities, 44 percent were absorbed by the municipalities following project closing - Financed about 2,000 municipal contracts for technical assistance, training, and production of municipal development plans
Indigenous LIL 2001–2005 2.8	The objective of the project was to learn how culturally based productive initiatives of indigenous communities could contribute to income generation and poverty reduction. Although achievement of project objectives and outputs were unsatisfactory, it was successful in demonstrating that culturally based productive initiatives can constitute a financially and economically valid alternative for improving incomes and reducing poverty in indigenous communities.	- Project restructured in Q4 of 2004 with 120 pilot subprojects reduced to 51 - Key Lessons Learned: - Proper technical assistance is important - Culturally based productive initiatives of indigenous producer groups can constitute a financial and economic valid alternative for improving incomes and poverty reduction - Useful to differentiate support for productive initiatives from support for local development plans - Project Directorates for social organizations need to reflect specific composition of the intended beneficiaries
Rural Alliances Project 2005–2011 28.4	Promote productive alliances between different economic players at the local level; empower rural producers through the strengthening of self-managed grass-root organizations; increase access to productive assets and technology; and promote more effective, responsive and accountable service organizations at the local level.	<i>Expected Key Outcomes:</i> - Technical assistance and training undertaken to provide institutional and organizational support for creation/implementation of productive alliances at the local level - Formation of rural productive alliances and the preparation of viable alliance plans - Producers and marketing partners working together efficiently and effectively in long term relations - Improved production by rural poor producers to meet new market requirements - Adapted systems in the markets to work with the alliances' small producers - Ensured co-participation in alliance plans of service providers and local governments

Rural Development Sector Issues

7. Despite the achievements of the rural development programs over the last 12 years, four key challenges continue to face the rural sector: i) absence of coherent national and local policies and arrangements for the allocation of subnational resource flows, currently about 30 percent of the national budget, with prefectural allocations of resources often distorting municipal allocations by virtue of being nontransparent, by competing with municipal investments, and by capturing municipal resources that otherwise might be used for O&M; ii) lack of an effective framework for operations and maintenance of rural infrastructure; iii) lack of productive investment in rural areas; and iv) lack of coordination of infrastructure planning and programs at the supra-municipal level by deconcentrated arms of the prefecture and by municipal authorities.

8. Increased local resources. During 2006 a new Hydrocarbons Law was passed, sharply increasing government revenues, and a new formula was introduced that increased the amounts of those revenues distributed to municipal and departmental governments. The overall budget for municipalities increased from US\$ 6.7 million in 1994 to US\$ 205 million in 2006 and for prefectures it increased from US\$ 179 million in 2004 to US\$ 581 million in 2006. In 2007, the share of government resources exercised by prefectures and municipalities has increased even further, as the new Hydrocarbons Law has resulted in 35 percent of revenues going to municipalities. Overall, the share of the public *investment* budget administered by municipalities and prefectures already exceeds that of the national government, with subnational governments responsible for managing fully 58 percent of public investment. Thus a major priority for Bolivia is strengthening the capacity of prefectures and of poor, rural municipalities to manage their investment programs effectively, including the sustainable operation of public investments.

Income (IDH, PP, HIPC) for 327 Bolivian Municipalities 1994-2006 (US Million)												
1994	1995	1996	1997	1998	1999	2000	2001	2002	2003	2004	2005	2006
7	15	19	22	26	24	27	33	47	41	51	52	205

Income for all 9 Bolivian Prefectures 2004-2007 (US Million)			
2004	2005	2006	2007
179	395	399	628

9. The distribution of fresh hydrocarbon revenues to prefectures and municipal governments without a complementary devolution of responsibilities has also created incentives for discretionary financing on the part of subnational actors. In particular, prefectural investments in municipal competencies has increased (a study is underway to determine the magnitude and characteristics), both in coordination with municipal governments and independently by prefectures. This type of prefectural financing is not aligned to national priorities, and does not follow clear and explicit rules; thus it is feared that it may increase inequalities in access to public goods even within Bolivia's departments.

Summary of prefectural and municipal responsibilities

COMPONENT	DEPARTAMENTAL LEVEL	MUNICIPAL LEVEL
AGRICULTURE	Formulate, implement, coordinate and supervise policies, norms and strategies of support for production. Supervise the application of technical norms and the implementation of quality services.	Implement policies, norms and strategies of support for production. Carry out projects for infrastructure of support for production. Carry out programs for animal and vegetable health, and food safety. Organize, plan, and carry out centers of collection, markets, and fair centers. Carry out projects for market studies. Carry out projects for promotion of national production (fair and craft centers).
IRRIGATION	Implement policies, strategies and norms of sector development and supervise the execution of irrigation plans (Irrigation=more than 100 Ha incremental).	Plan, carry out, supervise and oversee the construction and maintenance of micro-irrigation systems (Micro-irrigation=less than 100 Ha incremental).
TOURISM	Plan and carry out the promotion of private sector investment in the sector. Design and carry out projects of infrastructure and tourism promotion.	Formulate and carry out the plans and norms for municipal tourism protection and restoration projects. Regulate the construction and operation of tourism sector infrastructure.
NATURAL RESOURCES	Formulate and carry out departmental forest development plans, established in the political strategies, norms and plans at the national level and in coordination with other compatible departments with basin plans.	Carry out inspections of forest activities, without hindering normal development, as well as contribute to the formulation and execution of a sustainable and integral policy on water resources.
ROADS AND TRANSPORT HIGHWAYS	Carry out project or construction work on highways in the Fundamental Road Network, by delegation. Plan, carry out, supervise and oversee the construction and maintenance of highways in the Departmental Road Network. Executing construction work and maintenance of roads in the Municipal Road Network, by covenant.	Plan and carry out project and construction work, as well as maintenance of highways in the Municipal Road Network.
RURAL ELECTRIFICATION	Elaborate the Departmental Indicative Plan of Rural Electrification. Carry out and supervise the policies, norms, strategies and plans for rural electrification. Plan, carry out, supervise and oversee the rural electrification project installations (high voltage and generation).	Plan and carry out the electric networks projects installation (in low and medium voltage). Plan and offer in concession the installation and operation of rural electric services and carry out and supervise the installation of public lighting.
MANUFACTURING INDUSTRY	Implement and supervise the carrying out of policies, programs, projects and norms. Plan and carry out the promotion of private investment in this sector.	Implement policies, norms and strategies. Plan and carry out programs and projects for financing to SMEs (Small and Medium-sized Enterprises).

10. The capacity for municipal governments to administer increased resource flows is hampered by lack of capacity in territorial planning, contract negotiations, management of preinvestment and investment contracts, monitoring and evaluating productive investments, sector specific technical knowledge, provision of key services necessary for local development to be effective, administration and accounting, and operations and maintenance of productive infrastructure. As indicated in the below table, the municipalities in the country and project area have been classified by a standard municipal performance rating (12 indicators that measure financial management, technical competencies, efficiency of execution of their

resources and budgets, capacity in social and economic development) with 0 to 30 as those with lowest capacity and 46 to 52 as those with highest capacity. In the project area, 83 percent of the municipalities are rated 40 and below.

Performance Indicator Range	0-30	31-35	36-40	41-45	46-52	TOTAL
All Municipalities according to range	23	50	174	66	14	327
Percentage of Municipalities in each range	7	15	53	20	4	100
Municipalities in Project Area by range	10	20	62	19	0	111
Percentage of Project Area Municipalities in each range	9	18	56	17	0	100

11. Operations and Maintenance. Currently, maintenance of public infrastructure presents serious deficiencies. Municipalities and prefectures do not budget sufficient resources for O&M and institutional arrangements tend to be dispersed and their reach uneven. In 2005, 29 percent of all municipalities (94 of 327) and 25 percent of project municipalities (27 of 111) budgeted for operations and maintenance which ranged from 1.33 to 1.63 percent of total budgeted amount. For maintenance of roads, it ranged from 0.18 to 0.25 percent. It is estimated that for new investments, 10 percent of budgeted investment should be budgeted for each investment over a 10 year period as well as 10 percent of the value of existing infrastructure stock.

12. Also, lacking is post-investment technical assistance and follow-up training on operations and maintenance schemes. Without the proper interventions for maintenance, both in financial and technical terms, and the participation of the beneficiaries, investments usually deteriorate over time. In the case of roads and bridges, both the estimation of maintenance costs in the ex-ante evaluations and the budgetary allocations by municipalities to face these tasks is evidently low. This situation has shifted part of the burden of maintenance on to the beneficiaries, who have made greater efforts, albeit insufficient, to cover the needs. Key areas of intervention are prefecture and municipal budgetary allocations for routine maintenance relative to the stock of infrastructure and design and implementation of appropriate institutional arrangements for operation and maintenance.

13. Operation and maintenance is not a project issue alone and will require broader policy interventions. Both rules and incentives for proper operation and maintenance are insufficient and sometimes counter-productive. Transfers from the national government set low limits for recurrent expenditures, thus most resources flow towards new investments or to rehabilitation. From the point of view of this project, the main concern comes from the overall level of municipal infrastructure investments, the stock of which has been growing since the enactment of the PPL. Since the lack of incentives for proper O&M is related to the system of financial transfers from the national government, its involvement in establishing a more adequate framework should be a key priority in the near future. For example, additional transfers to municipalities from hydrocarbon revenues could either be conditioned or earmarked to attain this objective.

14. The following are the main results and reflections derived from pilot experiences carried out under PRI on maintenance of rural roads in over 50 municipalities on various regions of the country and with different community organizational systems: i) it was detected that departmental and municipal governments lack policies or programs with respect to community road maintenance; although there are some resources available in the

municipalities for road maintenance and improvement, these are not efficiently used; ii) experience has shown that rural roads maintenance has to be dealt with using a systematic approach; for this task budget funds should be secured through the central government, prefectures, the municipal governments and/or beneficiaries; iii) a first step has been given in the recuperation of the community's responsibilities with respect to road maintenance; iv) it became evident that community work practices in rural road networks had persisted in some municipalities; and v) the process to legally form a micro-enterprise is still excessively complex and costly, which hinders and weakens this approach to maintenance at the municipal level.

15. Lack of productive investment in rural areas. Successive national government administrations have researched and drafted rural development strategies, with strategies published in 2000 as part of the Interim PRSP, 2001, 2003, and most recently as part of the National Development Plan in 2006. These efforts were undertaken as preoccupation grew with slow income growth in rural areas. While municipalities have played an increasingly important role in local investment, most of their funding has been allocated to social infrastructure (education, health, and basic sanitation), see tables below, even though participatory planning processes revealed a strong demand for productive investments, including roads, irrigation, electrification, productive infrastructure, technical assistance, and related services (see municipal and prefecture expenditure table below for trend over last 10 years). This bias appears to have been due to four factors: (i) it has been easier to get government cofinancing for social investments; (ii) these investments are usually simpler to carry out; (iii) municipal governments often lack needed expertise or access to technical assistance to implement productive investments; and (iv) lack of available resources for local governments to invest in productive assets.

Republic of Bolivia						
Municipal Investments (Actual in %)						
Sectors	1995	1997	2000	2004	2005	2006
Commercial Investments	1.2	4.0	4.8	4.1	4.2	7.7
Productive Infrastructure Investments	9.8	13.3	17.9	21.3	21.9	28.0
Social Investment	86.3	79.5	75.3	72.8	72.0	59.0
Multisectoral Investment	2.7	3.2	2.0	1.8	1.9	5.3
TOTAL	100	100	100	100	100	100

Republic of Bolivia						
Municipal Investments (Actual in US\$ Million)						
Sectors	1995	1997	2000	2004	2005	2006
Commercial Investments	1.43	5.07	4.49	2.69	3.00	14.04
Oil and Gas	0.00	0.00	0.00	0.00	0.00	0.00
Minerals	0.00	0.00	0.00	0.00	0.00	0.00
Industry and Tourism	0.20	0.78	0.40	0.27	0.27	2.69
Agriculture	1.23	4.29	4.09	2.42	2.73	11.35
Productive Infrastructure Investments	11.52	16.83	16.85	14.10	15.69	50.96
Transport	4.31	8.90	9.82	7.88	9.95	30.60
Energy	4.44	4.67	4.76	3.48	3.59	11.59
Communication	0.28	0.07	0.11	0.14	0.06	0.09
Water	2.48	3.18	2.17	2.60	2.09	8.68
Social Investment	101.94	100.98	70.80	48.09	51.64	107.53
Health	2.33	8.60	3.63	3.20	3.00	12.42

Education and Culture	15.05	29.42	17.84	11.12	12.51	28.45
Basic Sanitation	12.40	20.01	13.19	9.25	8.39	23.24
Housing and Urban Planning	72.16	42.94	36.15	24.52	27.75	43.42
Multisectoral Investment	3.24	4.13	1.85	1.20	1.37	9.66
TOTAL	118.13	127.01	93.99	66.07	71.71	182.18

16. Economies of Scale/Supramunicipal coordination. The efficiency of investments in infrastructure is reduced by dispersion of efforts. The fragmentation of local investment--arising in part from intra-municipal pressures to allocate resources to as many actors as possible, and to difficulties in supra-municipal coordination--reduces the efficiency and impact of development actions. Also, investment fragmentation increases the difficulty of organizing and allocating resources for O&M activities. Within municipalities, processes of participatory planning and implementation, when well-carried out, allow municipal administrations to balance allocation of funds between municipality-wide priorities and community-level demands. However, the potential impacts of investments are reduced by lack of coordination between municipalities, which affect particularly those investments which benefit from network considerations and scale economies. In the case of roads, for example, investments in one municipality may have important effects over the road networks in neighboring municipalities. Both investments and maintenance can benefit from improved coordination among neighboring municipalities, allowing for a focus on sub-regional priorities and local linkages, as well as reducing overall fixed and transaction costs.

17. The project brings a renewed emphasis on increasing the scale of planning and development management, focusing on “regions” agreed to among groups of municipalities and between them and their departmental prefecture. These regions would function as intermediate planning and coordination spaces. Departmental consensus will determine the shape of these regions. In some cases, they may be equivalent to the existing provinces; in others, municipalities and prefectures may agree on a different spatial arrangement. Ideally, prefectures would formally deconcentrate their local operations to these regions, and these would coincide with municipal *mancomunidades*, thus consolidating the ordered framework for coordination with local governments.

18. In practice, the project envisages piloting flexible processes whereby all subnational actors gradually build and consolidate the terms and arrangements for coordination and cofinancing (*concurrancia*), as well as the spaces (regions) where these will be applied. Departmental cofinancing arrangements, territorial planning and support to the implementation of these plans are the key instruments for piloting the institutional arrangements in this project. Some advances have already been made by subnational actors in these types of experiences, either by prefectural deconcentration efforts, or through the constitution of *mancomunidades* as potential instances for regional/supramunicipal planning. Support will be provided to facilitate the convergence between these two levels of government, and between these and national government instances.

19. In order to help to address these key sectoral issues, a follow-on operation has been requested by the government. This new project would be supported by two pillars, which are Institutional Strengthening and Productive Investments, and would incorporate lessons learned, such as the need for a national framework for coordinated investment strategy between

national, prefecture and municipal governments, private sector service provision, high levels of local counterpart financing for sustainability, and incorporating O&M activities into the design of subprojects and cofinancing.

Proposed Second Participatory Rural Investment Project (PRI II)

20. The successful outcomes of the first PRI project prompted the Bolivian government to request a follow-on project to pilot strengthening the national and subnational framework for coordinated financing of local investments, increase municipal capacity to manage investment programs and prefectural capacity to more effectively allocated resources to the municipalities, more comprehensively address operations and maintenance needs to ensure their sustainability, finance productive investments similar to the same types of infrastructure and services as the first PRI, and initiate a territorial approach to planning investments.

21. The agility and effectiveness demonstrated by the first PRI project in implementing institutional capacity building and rural investments will be even more critical during PRI II to help meet urgent rural development needs during a period of political and strategic uncertainty. The following additional areas will be undertaken in PRI II:

(a) Strengthening intergovernmental collaboration. The investment programs financed by the project will include programs formulated by territorial organizations of municipalities with departmental participation. This will be a pilot program within PRI II and will focus on those projects which require a larger, territorial approach. In addition, prefectures will be involved in the municipal investment program, providing a percentage of the total financing.

(b) Focus on operation and maintenance. While the first PRI project was successful in supporting locally determined productive investments, it did not address longer term operation and maintenance issues. With increased investment municipalities desperately need to improve programs to maintain their assets. More attention needs to be paid as well to the operations and maintenance aspects of the small scale irrigation and other productive investments which are under the responsibility of producers' organizations. In both areas PRI II will undertake activities to strengthen operations and maintenance.

22. ***Proposed project development objective.*** The development objective of PRI II would be to pilot the strengthening of institutional arrangements between the national, prefecture and municipal governments and civil society for sustainable management of subnational public investments in selected productive sectors with an emphasis on territorial development.

23. It will: (a) facilitate participatory planning at the municipal and regional level, to help coordinate the policies, activities, and financing of local, departmental, and national institutions; (b) promote the consolidation of local municipal associations (*mancomunidades*) to create and implement territorial development strategies and achieve economies of scale in administering funds; (c) provide cofinancing for investments in basic infrastructure, natural resource management and promotion of economic activities; (d) provide technical assistance and training to agencies involved in operation and maintenance; and (e) strengthen local public and civil society actors involved in defining and implementing territorial development strategies.

Bank Strategy and Comparative Advantage

24. The Bank brings to bear important accumulated experience and lessons learned from rural development operations described above and in annex 17 as well as regional and global experience. This experience gives the Bank a comparative advantage in working with government to help consolidate gains in decentralized rural development, increase investment and operations and maintenance of productive infrastructure, and supporting policy formulation during the critical transitional period to a new or modified Constitution.

25. The project is conceived both in the Bank's Interim Strategy for Bolivia (ISN), dated October 24, 2006, and by the Bolivian government as part of a package of initiatives, including the proposed Land for Agricultural Development Project and the existing Rural Alliances Project, which would complement each other in responding to key rural development priorities. The follow-on operation has been included by government in the ISN, as part of the Fostering Jobs Through Growth strategic area. It is also being envisioned as an instrument for improving local governance.

Government strategy

26. Government's policy has been articulated in the recently issued National Development Plan (NDP), which contains three broad objectives: (i) fostering jobs through inclusive growth; (ii) promoting social inclusion; and (iii) improving institutions, governance, and accountability. While the PRI II project would help meet all three goals, its principal focus will be on promoting more inclusive growth for rural areas. The project supports the NDP's economic strategy by channeling investments and services to small rural indigenous and *campesino* producer associations and communities, and its social inclusion strategy by providing more equitable opportunities that would help eliminate discrimination and poverty. The project would also help to achieve improved capacity and accountability of prefectures and municipal governments and provide incentives for prefectures and municipalities to join together to conduct territorial planning and coordinate actions and investment plans.

Annex 2: Major Related Projects Financed by the Bank and/or other Agencies

BOLIVIA: Second Participatory Rural Investment

Project Name	Financier	Amount	IP/DO Ratings	Closing Date	Sector Issue
Participatory Rural Investment I	WB	USD 83.8 m	MS	Closed	Decentralization Institutional Strengthening of community groups and rural municipalities
Indigenous People Development	WB	USD 4 m.	U	Closed	Support to culturally-based productive initiatives of indigenous groups
Decentralized Infrastructure for Transformation	WB	USD 38.8	U	2007	Support to productive infrastructure, particularly energy and communication
Land for Agriculture Development	WB	USD 15 m.	In preparation	2010	Increase land availability for farmers
National Land Administration Project	WB	US 28 m.	S	closed	Support to land regularization
Rural Alliances	WB	USD 28.4 m	MU	2011	Creation and support to rural alliances
Rural Productive Support	BID COSUDE- OECAS	USD 16 m.		2009	Support to rural enterprises
Make markets work for the poor	DFID	USD 0.35 m		Closed	Pilot on rural alliances
Promotion for Rural Economic Development	COSUDE- MACA	USD 0.25 m/year		Closed	Promote public-private alliances for local economic development.
Support to the Quinoa productive chain	Dutch Government	USD 4.15 m		2008	Support to all members of this productive chain to enhance production and markets
Food Security Support Program	European Union	Euros 34 m		2010	Support to productive infrastructure and productive subprojects

Annex 3: Results Framework and Monitoring
BOLIVIA: Second Participatory Rural Investment

Results Framework

PDO	Project Outcome Indicators	Use of Project Outcome Information
Pilot the strengthening of institutional arrangements between the national, prefecture and municipal governments and civil society for sustainable management of subnational public investments in selected productive sectors with an emphasis on territorial development.	• 100% of productive investments executed by the project have been cofinanced by prefectures and/or municipalities, under the framework of their competencies. • 30% increase in the benefits of public investments co-financed by the project. • 70% of the public investments cofinanced and coordinated by the project are properly maintained and operated. • 18 inter-municipal plans with a territorial focus have been consolidated as a mechanism for local development. • Validated models for ordering subnational public investment have been tested for replication in other sectors and territories.	• Y2-Y5: assess effectiveness in of cofinancing models. • Y2-5: Confirm cost/benefit analysis of investments and adjust when necessary. • Y2-Y5: assess capacity of municipal governments, as well as level of commitment to sustainable operation and maintenance. • Y2-Y5: Determine appropriateness of territorial planning approach. • Y3-5 Assess effectiveness of models that have been tested for replication.
Intermediate Outcomes	Intermediate Outcome Indicators	Use of Intermediate Outcome Monitoring
Outcome 1. Institutional strengthening: The institutional capacities of the national, departmental and municipal governments, mancomunidades, and private stakeholders associated with the project, for managing coordinated investments, have been strengthened	• 54 sectoral, multi-municipal and 18 territorial development programs and/or plans mutually agreed upon by the Prefecture, Municipal Governments, their associations, civil society actors, and other institutional actors are currently in execution. • 24,000 members of 180 subnational entities and civil society organizations have been trained and participate in the formulation, management, and evaluation of development plans, programs, and projects. • 81 subnational public entities have generated, agreed upon, and applied local and/or sectoral regulatory systems that regulate the implementation of instruments developed and applied by the project (road plans, O&M plans, etc.).	• Y2-Y5: evaluate successfulness of territorial planning in responding to demand and to measure progress in promoting joint collaboration between departments, municipalities and local actors in local economic development. • Y3-Y5: measure the increase in local individuals trained in development management. • Y2-5: Assess effectiveness of coordination and cofinancing of all levels of government entities.

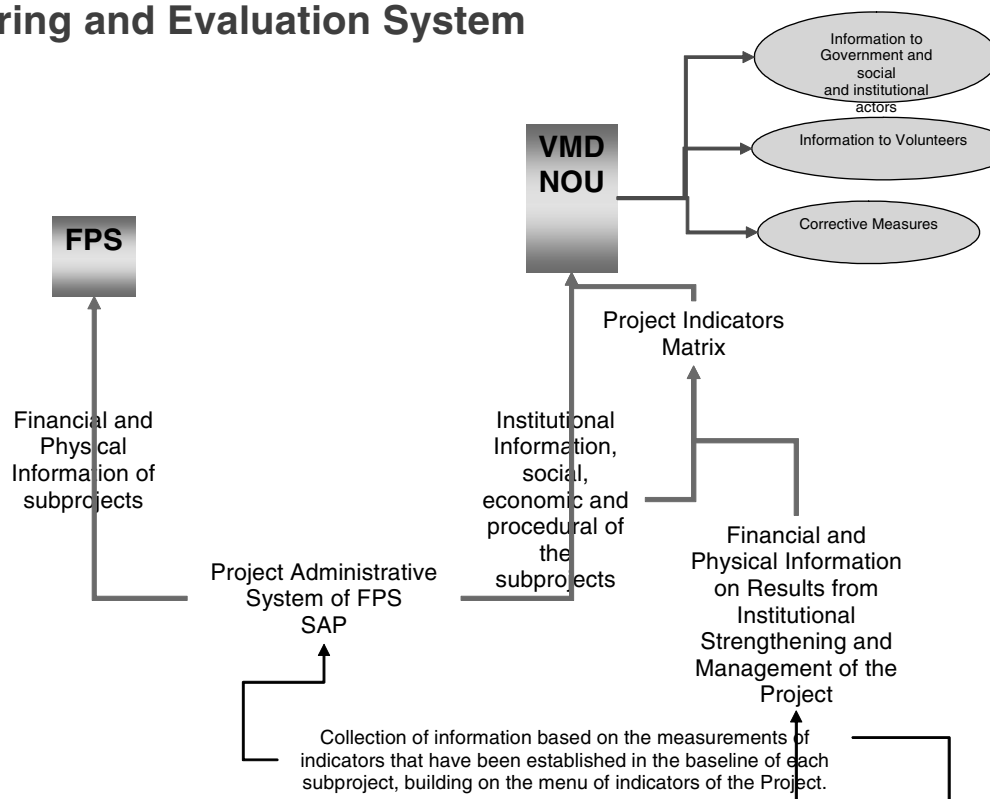
	• 15% increase in the executed budget of municipal governments and prefecture for productive investments in the project area.	• Y3-Y5: Assess effectiveness of project approach to increasing productive investments
Outcome 2. Productive investments: Coordinated and co-financed public investments aimed at productive sectors are sustainable, promote scale/network economies, and reinforce established competencies.	• Reduction of at least 30% in average travel time on roads assisted under the project. • Increase of 30% in the value of production of families participating in micro-irrigation, promotion of economic activities, productive promotion subprojects. • 20% increase in the sales value of products and services of project participants who benefit from economic promotion activities.	• Y2-Y5: measure progress in implementing incentive scheme for coordinating and cofinancing of investments. • Y4-Y5: the objectives of subprojects are being achieved. • Y2-Y5: measure progress in increasing family production via irrigation subprojects
Outcome 3. Project management: The Project operates efficiently and transparently in terms of resource management, effectively contributing to territorial development processes.	• Technical and annual budget execution of the Project in accordance with the Implementation Plan, the Operational Manual, the Results Framework, and the Donation and Credit Agreements signed by the Bolivian Government and Dinamarca and COSUDE and the World Bank. • The PDCR's technical and administrative staff is stable in terms of periodic performance assessments. • Timely and valid information is available for timely decision making and the adaptive management of the project.	• Y1-Y5: Input into project M&E • Y5: Input into Implementation Completion Report • Y5: Assess the demand and feasibility of funding a follow-on project (an expansion or scaling-up phase)

Arrangements for Results Monitoring

Monitoring

1. **Monitoring and evaluation system.** A monitoring and evaluation system has been designed for the project for the VMD and will be under implementation by the beginning of the project. The Administration of Subprojects System for FPS will be modified to streamline the monitoring and control process for subprojects under FPS execution.
2. The VMD M&E system will provide specificity in data collection methodology with particular focus on the 15 project impact and results indicators, levels of monitoring and evaluation of activities, data collection and reporting responsibilities, provisions of resources (both human and budgetary) and frequency of M&E activities. The M&E system will interface with the SAP to obtain information on the status of subproject execution and results.

Monitoring and Evaluation System



3. **Data Collection methodologies.** The VMD M&E system will collect data to measure project impacts and verify the intermediate outcome and impact indicators. Data collection methodology for the intermediate outcome will be based on four instruments:

- Baseline study. An initial baseline study for the project is being carried out during project preparation and start-up.
- Survey at entry of all participants. Participants including communities and municipalities in Components 1 and 2 will be required to answer survey questions before participating in the project. Although all participants will be surveyed at entry, only a subset of them will be randomly selected (“treatment sample”) to conduct subsequent survey designs and statistical analysis. At the same time, subprojects approved by FPS and Institutional Strengthening Plans cofinanced by VMD will establish the income information (subproject baseline) and the specific contribution for the respective indicator from the framework.
- Survey at the output of all participants. Participants in all the subprojects will be required to answer survey questions after the conclusion of the subproject. This information will be able to have a measure the intermediate outcomes of each subproject and will be provide and aggregate through the FPS - SAP and VD system.
- Mid-term output line and end-of-project output line. An output-line study will conducted at the end at the second year and at the end of the life of project. These studies will apply the same indicators; similar sample selection will be used.

To evaluate the impact indicators, at the end of project, a control sample will be used in opposite with the treatment sample:

- Control sample survey. In addition to the survey of participants, a sample of other non-participants that are similar to the participants and are located in the same area or nearby areas will also be surveyed to serve as a control group (“control sample”). For the M&E system to provide accurate causality of project interventions and observed changes in the project impact indicators, the project activities should not be implemented in the communities from which the control sample is drawn. If feasible, the control sample will be large enough to provide robustness of the statistical analyses. A large control sample will also allow help ensure that the sample is still statistically meaningful even if project activities affect some of the control areas.
4. **M&E activities.** Monitoring of project progress will be done by looking at progress in: (i) institutional strengthening; (ii) subproject implementation; and (iii) overall project implementation as it applies to project products, effects and impacts. This will take place at the national, departmental/mancomunidad, municipal and community levels. Evaluation will focus on the achievement of the four project outcome indicators, measuring the impact of the project on the lives of the participants and the functioning of participating municipalities.

(i) Monitoring institutional strengthening implementation

- Achieving the institutional strengthening objectives of the project depends on successful implementation of all activities in Component 1. The Project Implementation Plan and Annual Operating Plans will be key tools in monitoring the successful execution of Component 1 activities. Both the central and territorial offices will be responsible for updating the status of implementation of the institutional strengthening activities and its direct results. The outcomes of these activities will be measured in an external study prepared for both the mid-term evaluation and project closure.
- Additionally, regular reports from participants, site visits, information on the execution of each institutional strengthening subproject from the M&E system, and annual survey data will provide the information needed to monitor the execution of institutional strengthening activities. These monitoring reports will highlight any divergence from the objectives and observed intermediate outputs so that the VD can consider taking corrective action and discussing possible modifications to component activities.

(ii) Monitoring subproject implementation.

- Achieving project objectives relies on successful implementation of the subprojects in Component 2. The FPS SAP will provide continuous tracking of the implementation progress of subprojects including physical and financial advances. Demographic and socioeconomic information will be captured to allow for monitoring of results and effects. The entire subproject life-cycle process will be monitored. FPS departmental offices will be responsible for entering into the MIS database the general demographic and socioeconomic data of each participant and the proposed investment activities of each subproject proposal or preinvestment financing request it receives, and will update the database with more detailed data after subprojects are chosen for financing.
- Regular reports from participants, site visits, information on the execution of each subproject from the SAP system and annual survey data will provide the information

about subproject implementation. These monitoring reports will highlight any divergence from the objectives of the subprojects and observed intermediate outputs so that FPS can consider taking corrective action or discussing possible modifications to subproject activities with the participants. These reports should also highlight any particularly successful subprojects from which to draw lessons or explore potential for replication. Departmental Managers of FPS are responsible for ensuring the quality and timeliness of these reports and surveys and regularly uploading the information to the SAP database. FPS will also be responsible for providing regular reports to the VMD's project coordination's central office.

(iii) Monitoring project implementation

- Successful project implementation requires competent project staff. The M&E system has provisions for continued staff training and staff performance evaluations, by means of annual performance evaluations. In addition, the selection process for both VD and FPS staff and outside consultancies will conform to the *Guidelines for Selection and Employment of Consultants by World Bank Borrowers* and be a public, competitive process which will be managed by a specialized firm
- Based on a World Bank assessment of fiduciary standards, management and subproject processing of FPS, an action plan was prepared to remedy institutional strengthening needs and will be financed by the Project. See annex 18 for entire plan. Standard financial and procurement audits will be performed by independent, specialized firms on an annual basis. World Bank supervision missions will review the technical and fiduciary aspects every six months or more often if necessary. Supervision of specific technical aspects, in particular those under component 2, will be performed by specialized firms with relevant experience in the sector and in the area.

(iv) Evaluating impacts and project performance

- The project's impact depends heavily on the outcome of subprojects in Components 1 and 2. Provisions have been made in the VMD M&E system to have annual surveys and studies conducted to assess these impacts. These studies and surveys aim at assessing the effectiveness of the project's targeting and at establishing the degree to which observed changes in both subproject outputs and final outcomes can be attributed to project interventions. Intermediate indicators and targets defined in the Results Framework will be used to assess the outputs of subprojects as well as the project outcomes. Impact evaluation will be carried out by FPS and VD and the territorial officers with support of external consultants as an ongoing project activity. To supplement annual impact evaluation, independent evaluations will be carried out project start-up (base-line work) at mid-term review and end of the project. The impact monitoring will also be routinely reviewed by the Bank's regular supervision missions.
- To ensure that a statistically significant sample of participants ("treatment sample") is included in the baseline, over sampling will be necessary in the beginning of the project. In addition, to establish causality between project interventions and observed changes in the intermediate indicators, a statistically significant sample of non-participants ("control sample") will be surveyed once participating communities within each region have been identified.

- Distinct impacts can be expected from different types of subprojects. To ensure that most if not all types of subprojects are represented in the treatment sample, the universe of participants should be categorized by type of subproject prior to selecting the sample.

The MyE system is structured in five phases:

- System definition phase.** This phase identifies and implements the objectives and structure of the system, conceptualizes the base terminology of the MyE system, i.e. results, products, effects, within other categories and variables.
- Data collection phase.** Focuses on the identification and collection of information in a systematic manner, to respond in an opportune and pertinent manner for system processes of monitoring and evaluation.
- Updating Information phase.** This phase analyses the timing, selection and validity of the information collected.
- Analysis and information treatment phase.** With reference to the process of organizing and evaluating the information collected to develop conclusions.
- Distribution to users phase.** Identifies the users of M&E system, whom should receive the processed information

	Timeline	Phase: Information gathering	Phase: Information updating	Phase: Information systemization, processing, and analysis	Phase: Information distribution to users
Products	In the execution of each subproject, depending on the life of the each subproject.	Baseline established by each subproject at approval and start. Each subproject will define (through files and specific instruments) its contribution to the group of indicators of the results framework.	Reported at the conclusion of each subproject.	In the computerized system of monitoring with SAP interface for productive investment projects. In the financial and administrative system, monitoring and evaluation of the VD for institutional strengthening subprojects.	Semiannual: Municipal Government Associations Prefectures of the Government National Agencies of cooperation and financial backers.
Effects	Annually	Baseline of the group of project indicators established at the beginning of the project.	Annual collection of information originating from subprojects.	Annual internal evaluations: Internal (PDCR) Participatory (with sub-national institutional and private actors).	Annual: Municipal Governments Association Prefectures of the Government National Agencies of cooperation and financial backers
Impacts	At mid-term and at the conclusion of the project	Baseline of the project indicators established at the beginning of the project.	Lines at the outset (1 at year two 1 at the conclusion of the project)	External mid-term evaluation. External evaluation at closing.	Bi-Annual: Municipal Governments Association Prefectures of the Government National Agencies of cooperation and financial backers

Processes for Monitoring and Evaluation:

5. **Capacity.** Most of the M&E activities will be carried out by the project staff of both the VMD and FPS. The initial baseline, mid-term review and final evaluation will be outsourced. These specialized surveys and assessments will be carried out by consultants who are not involved in project design or implementation. The monitoring and evaluation specialists at VMD and FPS will be responsible for preparing TORs for the external consultants and supervising their activities. The M&E specialists will also be responsible for finalizing the design of the impact evaluation study, including sample selection, as well as for supervising the external consultants during the analysis of the baseline and the impact evaluation study. Provision is made in the budget for hiring two M&E specialists and for contracting external consultants to conduct and analyze the baseline and the follow-up surveys.
6. **Semiannual and midterm evaluation.** The Bank will conduct semiannual supervision missions to evaluate progress in implementing project activities. Supervision missions will draw lessons learned to-date and provide guidance to the project team. In addition, the Bank, together with external reviewers and key stakeholders, will conduct a midterm evaluation of project execution. The midterm review will focus on: (i) progress in achieving project outcomes; (ii) institutional arrangements for project implementation; (iii) effectiveness and suitability of the monitoring and evaluation system; and (iv) the project implementation plan and general project operation manual. The midterm review will be conducted no later than two and a half years after the first disbursement of the project.
7. **Final evaluation.** A final evaluation will be conducted in the last semester of project execution. The key objectives of the final evaluation will be to: (i) assess attainment of the expected project results; and (ii) draw lessons learned to be included in the replication plan.

Arrangements for Results Monitoring

Project Outcome Indicators	Baseline	Y1	Y2	Y3	Y4	Y5	Frequency and Reports	Data Collection Instruments	Responsibility for Data Collection
100% of productive investments executed by the project have been cofinanced by prefectures and/or municipalities, under the framework of their competencies.	Baseline currently being carried out	100%	100%	100%	100%	100%	Subproject closing reports Semi-annual reports	FPS SAP Observatorio Bolivia Democrática.	VMD / FPS
30% increase in the benefits of public investments co-financed by the project.	0		5% reduction in costs or 5% increase in the benefit	10% reduction in costs or 10% increase in the benefit	20% reduction in costs or 20% increase in the benefit	30% reduction in costs or 30% increase in the benefit	Subproject closing reports	FPS SAP Observatorio Bolivia Democrática.	VMD / FPS
70% of the public investments cofinanced and coordinated by the project are properly maintained and operated.	Baseline currently being carried out	100%	70%	70%	70%	70%	Subproject closing reports Semi-annual reports	FPS SAP VMD M&E System	VD / FPS
18 inter-municipal plans with a territorial focus have been consolidated as a mechanism for local development.			13 supra-municipal plans prepared	5 supra-municipal plans prepared	18 supra-municipal plans prepared & in execution	18 supra-municipal plans prepared & in execution	Subproject closing reports Semi-annual reports	VMD M&E	VMD
Validated models for ordering subnational public investment have been tested for replication in other sectors and			New models developed	New models in execution	New models validated	New models adapted to new areas	Semi-annual reports	VMD M&E	VMD

Annex 4: Detailed Project Description

BOLIVIA: Second Participatory Rural Investment

1. The development objective of PRI II would be to pilot the consolidating of institutional arrangements between the national, prefecture and municipal governments and civil society for sustainable management of subnational public investments in selected productive sectors with an emphasis on territorial development. It will: (a) facilitate participatory planning at the municipal and regional level, to help coordinate the policies, activities, and financing of local, departmental, and national institutions; (b) promote the consolidation of local municipal associations (*mancomunidades*) to create and implement territorial development strategies and achieve economies of scale in administering funds; (c) provide cofinancing for investments in basic infrastructure, natural resource management and promotion of economic activities; (d) provide technical assistance and training to agencies involved in operation and maintenance; and (e) strengthen local public and civil society actors involved in defining and implementing territorial development strategies. The project will be financed by a credit of SDR 12,800,000 (equivalent \$20 million) from IDA, \$4.5 million from the Swiss Confederation, Danish Crowns \$63 million (equivalent \$10. million) from the Kingdom of Denmark, \$36.00 million from the government of Bolivia, including departmental and local governments, and an anticipated \$6.6 million in cash and in-kind cofinancing from beneficiary families and producers.

2. (Table A4.1 shows financing by source and component).

Table A4.1: Project Cost Table by Financing Source (US\$ million)

Components / Subcomponents	Total	Donors		Gov't of Bolivia	Local Gov't*	Beneficiaries
		Credit	Grant			
1. Institutional Strengthening	11.11	3.54	2.80	0.00	4.40	0.38
1.1. Territorial Planning	2.20	0.96	0.76	0.00	0.45	0.03
1.2. Implementation of Territorial Plans	4.46	0.83	0.66	0.00	2.98	0.00
1.3. Investment Capacity Building	1.81	0.60	0.47	0.00	0.50	0.23
1.4. Operation and Maintenance Capacity Building	1.31	0.40	0.32	0.00	0.48	0.11
1.5. National Capacity Building	1.33	0.74	0.59	0.00	0.00	0.00
2. Productive Investments	53.99	10.05	7.95	0.00	30.21	5.77
2.1. Preinvestment	2.85	1.18	0.93	0.00	0.52	0.21
2.2. Investment	51.14	8.87	7.02	0.00	29.69	5.56
3. Project Management	10.28	5.76	4.23	0.13	0.00	0.16
3.1 Project Implementation & Management	4.82	2.53	2.00	0.13	0.00	0.16
3.2 Communication Strategy	0.38	0.21	0.17	0.00	0.00	0.00
3.3 Planning, Monitoring & Evaluation	0.33	0.19	0.15	0.00	0.00	0.00
3.4 Studies	0.09	0.05	0.04	0.00	0.00	0.00
3.5 PPF	0.40	0.40	0.00	0.00	0.00	0.00
3.6 FPS Operational Costs	4.25	2.38	1.88	0.00	0.00	0.00
PRICE CONTINGENCIES	2.70	0.65	0.54	0.01	0.24	0.27
Total	78.09	20.00	15.51	0.14	35.86	6.58

* Co-financing from municipal and departmental governments.

3. The project area encompasses 182 municipalities, 71 of whom would only participate in the rural transport subcomponent while the remaining 111 have been selected to participate in all aspects of the project. The 111 municipalities were selected based on the criteria of high level of poverty as defined by IDH index, high level of rural population, high level of indigenous population, strong productive potential based on, for example, contribution to GDP and capacity to generate employment, and zero net migration. The total population of selected 111 municipalities is nearly 1.2 million amounting to roughly 193,500 households. They represent about 14 percent of the total population of the country. Eighty percent of them are rural dwellers, and 67 percent are indigenous. This area contains 4,425 formally recognized indigenous and campesino communities in Bolivia, specifically Quechua, Aymara, Guarani, Chiquitano, and Mojeño. Each department (Prefecture) is represented in the project area. About 65 percent of the population in the project area is indigenous. In the 111 municipalities, it is anticipated that the project will serve 230,000 direct beneficiaries, or 38,600 households.

4. The additional 71 municipalities will only be eligible for investments in transportation infrastructure and institutional strengthening support in the areas of operations and maintenance (O&M). These 71 municipalities have been chosen because of their successful development of a rural transport network plan during the first PRI project. In these 71 municipalities there is a population of 856,795 (10 percent of the national population) with 83 percent rural and 83 percent poor. The project areas, selection criteria and beneficiary profiles are described in detail in Annexes 10 and 15.

5. The Viceministry of Decentralization will execute activities in Components 1 and 3 with the support of 9 Territorial Units operated by the Departmental Municipal Associations (AMDES), and the Social and Productive Investment Fund (FPS-*Fondo de Inversión Productiva y Social*) will execute activities in Component 2. The AMDES are private associations set up and sustained by the municipalities in each department for the purposes of technical assistance and political representation. All these agencies, their institutional structure, and the implementation arrangements for the project are discussed in detail in Annex 6.

Component 1: Institutional Strengthening (US\$ 3.54 million IDA, US\$ 11.11 million total)

6. Component implementation will be under the responsibility of the Viceministry of Decentralization (VMD), in coordination with the nine AMDES. The AMDES will promote, facilitate and supervise component activities at the departmental level. Most of the activities themselves will be implemented through technical assistance contracts by municipalities and/or their associations (*mancomunidades*).

7. The objectives of the Institutional Strengthening component are to: (a) develop the capacities of municipal governments (and their *mancomunidades*, or associations) to coordinate the actions of a variety of governmental, social and private actors, and to increase funding for, and improve the administration of, investments; (b) facilitate the process of coordination among municipalities and between them and departmental prefectures; and (c) support the national government's capacity to formulate enabling regulations and cofinance subnational investments.

8. The main outputs of the component will be: (a) established departmental rules for coordination and cofinancing between prefectures and municipalities; (b) supramunicipal development plans; (c) an increase in the proportion of prefectural and municipal budgets aimed at productive investments; and (d) training of municipal, social and prefectural actors in investment planning, execution and operations and maintenance (O&M).

9. A key focus for the component will be to facilitate an increase in the scale of planning, investments and O&M activities, while establishing clear and non-discretionary rules for coordination and cofinancing between prefectures and municipalities. Component design emphasizes the need for flexible approaches that accommodate to different political, financial, economic and social departmental situations. Having established the interest of prefectures and eligible municipalities to participate in the project on the basis of a minimum set of rules (spelled out in Interinstitutional Agreements between them and the Viceministry of Decentralization), the component will provide technical assistance to, and facilitate a process for, prefectures and municipalities to formulate a basic set of departmental rules and institutional arrangements for sub-national cofinancing.

10. The component will then support the participation of public and social actors in coordinated planning exercises. Ideally, all sub-national actors would agree at the outset on the territorial spaces in which to coordinate planning, investments and O&M; and, indeed, the project area is divided into 18 possible “regions”, distributed within the nine departments. Different prefectures are moving towards such a regional approach in order to better organize their coordination with local governments. Some, such as Santa Cruz, have settled for deconcentrating their operations to established provinces (which group municipalities under the established political subdivision of departments); others tend to organize their activities in terms of regional spaces composed of municipalities articulated by a combination of natural, social, cultural and/or economic factors.

11. In order to accommodate to departmental preferences and different levels of subnational coordination, the component allows for different points of entry in order to obtain a gradual improvement of interinstitutional relations. Therefore, territorial planning, as an instrument for coordination and cofinancing (*concurrancia*) will be carried out as needed at different levels, gradually encompassing increasing complexity.

12. Component design takes into account key lessons learned in the previous operations in relation to the sustainability of investments: (i) O&M considerations will be built systematically into investment planning and execution; (ii) municipalities will implement O&M plans that include all their infrastructure, in addition to the additional investments financed by the project; (iii) municipalities and communities will be assisted to establish adequate institutional arrangements and to commit resources for O&M; and (v) the project will condition financing for investments in transportation and irrigation to implementation of agreed O&M plans.

13. Institutional strengthening activities will be mostly managed by municipalities, though specific arrangements, including the type of consultants that provide services and the level of involvement of VMD and the AMDES will vary depending on the specific requirements of each activity. Quality will be ensured by standardizing the provision of services and defining

clear parameters and outputs for training and technical assistance. The AMDES will provide close oversight of outputs at the local level and payments will be issued based on their certification. In cases where standardization is paramount, training and technical assistance will be provided by consultants hired at the national or departmental levels. In others, technical assistance (TA) and training will be provided by multiple providers hired under TOR which define results but require tailoring to local situations. Arrangement for each, including TORs and selection procedures, will be described in detail in the Operations Manual (OM).

Subcomponent 1.1: Support to territorial planning (US\$ 0.962 million IDA, US\$ 2.20 million total)

14. The territorial planning subcomponent aims to enable municipal governments (by themselves or through their associations) to increase the efficiency, effectiveness and sustainability of investments aimed at local economic development.

15. The subcomponent will provide technical assistance to prefectures in order to help them formulate, in consensus with their municipal governments, a basic set of rules governing: (a) which resources will be provided for cofinancing municipal infrastructure; (b) a formula for distributing these resources to municipalities and a cofinancing matrix; (c) a clear division of responsibilities on the basis of the established legal framework and procedures for coordinating prefectural and municipal investments; and (d) institutional arrangement for executing investments and transferring resources. It is expected that these arrangements will be formally approved by each departmental council. Technical assistance will also be provided to help prefectures to evaluate and improve the administrative and operational procedures required for the efficient implementation of these arrangements. VMD will provide cofinancing to prefectures, which will hire the required consultants under agreed TOR.

16. The departmental rules for coordination and cofinancing between municipalities and prefectures will provide a solid basis for territorial planning. Planning will be carried out at different levels, promoting a process of increased coordination between local social actors, municipalities, prefectures and national agencies with local presence. Where municipalities have formed solid associations (mancomunidades), and institutional actors agree that these supramunicipal spaces form the theatre for investment coordination, the component will finance regional development plans focused on promoting economic development. Municipal governments must be willing to finance the operations of mancomunidades, and to delegate the implementation or operation of some investments or services to them. Where supramunicipal coordination is weak and institutional actors do not have the capacity to coordinate actions on a wider scale, the component will support the formulation of sector plans, focused on transportation infrastructure, irrigation or the creation of better conditions for private and community enterprises (*ambiente de negocios*). Depending on local conditions, during the life of the project several of these plans may be formulated either encompassing larger numbers of municipalities, or deepening coordination among existing associations. In all cases, planning will help to increase both the scale of interventions and the establishment of adequate arrangements for operations and maintenance.

17. All plans will be based on the informed and engaged participation of local communities and social groups. It is expected that prefectures will participate actively, as the component intends

to organize financing that would be directed at both municipal-level investments and related prefectural-level investments.

18. Planning will include a strong emphasis on operation and maintenance which is expected to reach beyond the actual investments that would be financed by the project. It is expected that the project will also improve the sustainability of the existing stock of infrastructure because planning will allow key actors to: (a) visualize the operation of whole networks (as in the case of roads or marketing facilities); (b) consider the state and needs of existing infrastructure, as well as new priorities; and (c) clarify and establish the institutional roles, arrangements and resources required for proper operation and maintenance.

19. VMD will implement a training program for institutional and social decision-makers in order to provide them with negotiating tools to facilitate coordination. This training will emphasize negotiation techniques, tools for dialogue and constructive conflict management.

Subcomponent 1.2: Implementation of territorial plans (US\$ 0.83 million IDA, US\$ 4.46 million total)

20. After plans are formulated, this subcomponent will provide technical assistance and training for implementation to municipalities and other local actors as needed. Activities will focus on clarifying prioritized project ideas, adequate budgeting of priorities, organizing the implementation of the investment programs, monitoring implementation of the plans and providing transparent information to the public. Technical assistance would be provided for market studies, zoning and land use plans, commercial fairs, and other investment promotion activities, included in territorial plans. Finally, the subcomponent will finance periodic evaluations of the effects and impacts of plans.

21. Formulation, support to implementation and evaluation of plans will be carried out through contracts signed between municipalities or mancomunidades and individuals or firms under TORs agreed with VMD and include in O&M. This subcomponent also aims at increasing administrative and managerial capacities of municipalities and mancomunidades. At the municipal level it will be aimed at weaker municipal governments to ensure that they can participate fully in project activities without being hampered by basic deficiencies in management. Alternatively, these municipalities may delegate some administrative functions to mancomunidades. As mancomunidades assume greater functions (by delegation), they will also require strengthening.

22. The subcomponent will also include formal, non-formal training and technical assistance for municipalities in administrative systems and managerial tools. This range of instruments will be provided for weaker municipalities to create or consolidate basic capacities. Technical assistance would be provided for the consolidation of mancomunidades. It may include the elaboration of statutes, institutional restructuring, management mechanisms, etc.

Subcomponent 1.3: Strengthening investment capacities (US\$ 0.60 million IDA, US\$ 1.81 million total)

23. The objective of this subcomponent is to improve the quality of pre-investment studies and investment execution by strengthening the capacity of local actors to administer subproject related contracts.

24. Activities contemplated in the sub-component include formal and non-formal training of municipal government authorities, municipal and mancomunidad technicians, and Vigilance Committees in: (a) pre-investment contract management, including drafting terms of reference, selection of consultants, supervision and payments; and (b) investment contract management, including reviewing terms of reference and specifications for works and goods, selection of consultants and procurement of goods and works, subproject supervision and payment procedures in coordination with FPS.

25. VMD will develop the curricula for formal training, which will be provided by universities selected by VMD under TOR included in the OM. Training will be imparted through formal courses with emphasis on carrying out concrete activities. Successful trainees will be certified by the universities.

26. Non-formal training will be more adjusted to the rhythm and needs of municipalities and mancomunidades during project implementation and, thus, will be limited in scope to ensuring adequate knowledge of procurement and contract administration to a wider range of individuals involved in executing specific tasks at the local level. Non-formal training will be provided by specialized consultants, selected under TOR included in the OM.

27. In addition to training, the subcomponent will provide financing for municipalities which require on-site technical assistance for pre-investment and investment procurement and contract management. It is expected that this TA will be required by weaker municipalities or mancomunidades, or when municipalities and mancomunidades execute complex contracts. The required consultants will be hired by municipalities or mancomunidades under standard TOR.

28. The subcomponent will also finance horizontal exchanges between local actors to disseminate good practices.

29. This sub-component would be implemented in close coordination with FPS departmental offices, which will administer subproject financing and oversee subproject implementation.

Subcomponent 1.4: Strengthening operation and maintenance capacities (US\$ 0.40 million IDA, US\$ 1.31 million total)

30. The objective of this subcomponent is to help municipal governments, communities and producer groups to design and implement O&M arrangements both for the investments financed by the project and for the existing stock of municipal infrastructure. Its implementation will be closely coordinated with the Productive Investments component, which will require local actors to demonstrate adequate O&M as a condition for financing investment subprojects. The 71 municipalities outside the project area, but which are eligible for transportation investments, will be eligible for financing under this subcomponent as well.

31. The subcomponent would include the following activities: (a) non-formal training in O&M for municipal authorities, municipal and mancomunidad officials, and communities and producer groups; (b) technical assistance to formulate O&M plans for municipal infrastructure; (c) technical assistance for implementation of municipal O&M plans; (d) technical assistance for communities and producer groups in O&M of community-level productive investments; and (e) horizontal exchanges between local actors to disseminate good practices. Specific maintenance plans for transport infrastructure will be included as part of the formulation of transportation plans in Component 1.

32. Non-formal training in O&M will focus, inter alia, on tools for measuring the stock of infrastructure, estimating and budgeting maintenance requirements, alternative arrangements for executing O&M, and budgeting issues. Training will be provided by specialized consultants under standard TOR.

33. The subcomponent will finance the formulation of O&M plans for municipal infrastructure. These plans will include: (a) an inventory of the stock of municipal infrastructure; (b) an assessment of maintenance needs and operational requirements (if applicable); (c) a strategy for covering the needs, including the setting of priorities and the clarification of institutional responsibilities; (d) the definition of the institutional arrangements and mechanisms required for implementation; and (e) multi-annual budgeting. The execution of the agreed budget will be a condition for investment financing. To ensure quality standards and systematic application, VMD will hire a specialized entity at the national level which will train and provide TA to specialized consultants hired at the departmental level. The latter will, in turn, provide TA to departmental municipalities.

34. Municipalities which have formulated sector-specific (transportation, irrigation) or municipality-wide O&M plans will receive TA for implementation. The activity will include assistance for: (a) implementing the agreed institutional arrangements; (b) hiring the required companies, micro-enterprises or communities; (c) coordination with other institutions or communities. It will last for at least 9 months and will include at least one round of maintenance activities.

Subcomponent 1.5: Strengthening of associated national government entities (US\$ 0.74 million IDA, US\$ 1.33 million total)

35. This subcomponent aims to support selected national government institutions to participate effectively in project implementation. It will finance two activities: 1) sector studies; and 2) the FPS action plan.

36. Studies will be required by national entities that are called to regulate activities in the sector selected by the project. The following have been identified before appraisal: (a) Rural roads strategy (Viceministry of Transportation); and (b) Municipal strengthening strategy (Viceministry of Decentralization). Other studies may be required by selected entities (including the Viceministry of Irrigation, the Viceministry of Rural Development, and the Viceministry of Public Investment and External Financing), particularly following the adoption of Bolivia's new constitution, which will establish a new framework for inter-governmental relations.

37. The FPS Action Plan was developed with the Bank's technical assistance. The Bank conducted an Operational Review of FPS which detailed a series of fiduciary and operational issues which needed to be resolved in order for FPS to operate with Bank financing. The FPS Action Plan is designed to increase FPS's capacity and to ensure fiduciary standards in its operation. Implementation of the Action Plan is vital both for government, which has delegated new responsibilities to FPS, and for the Bank, because three operations under the current Interim Strategy Note (ISN) will be partly implemented through FPS. By agreement between the Bank and the Bolivian government, it was decided that the plan would be fully financed through this project. Under the Action Plan, the project will finance consultants, goods and training as detailed in Annex 18. Consultancies will include: (a) consolidation of FPS's Subproject Management System; (b) implementation of the training program; and (c) line personnel in environmental, fiduciary and operational oversight areas. Line personnel will be gradually assimilated into FPS and, by project-end will be fully financed by the institution.

Component 2: Productive Investments (US\$ 10.05 million IDA, US\$ 53.99 million total)

38. The aim of this component is to provide support for the implementation of plans prepared under component 1. The component would provide national (IDA and bilateral) cofinancing solely for eligible investments that fall under the competencies of municipal governments as well as for improving poor communities' access to productive assets. Subnational cofinancing would be provided by municipal governments, prefectures and communities or producer groups. National cofinancing will cover one-third of the financial requirements of subprojects. The other two-thirds will be provided by subnational actors under cofinancing matrices agreed in each department, and formulated or supported through Component 1. Prefectural-level investments, though possibly included in the formulated plans, would not be financed by the project.

39. Since territorial planning will promote priority-setting based on scale and network considerations it is expected that the number of subprojects involving more than one municipality will increase relative to PRI 1. Supramunicipal investments will be managed either by delegation to one municipality or to the local mancomunidad. Sector planning, particularly in the case of transportation, will also allow grouping of works under a smaller number of subprojects, thus reducing administrative costs for municipalities.

40. Investments under the component will be linked to the implementation of municipalities' O&M plans, particularly in the case of transportation planning. Investments and maintenance expenditures will be grouped in tranches, and financing of the latter investment tranches will be conditioned on the execution of the first O&M tranches. In addition, each subproject will include a design of its specific O&M needs. Details are included in the Operations Manual.

41. The component will be managed by the Social and Productive Investment Fund (FPS- *Fondo de Inversión Productiva y Social*) in coordination with municipal governments. FPS's subproject cycle has been streamlined and the division of roles and functions between municipalities and FPS clarified. Key stages of the subproject cycle are summarized in the Table A4.4 (see Annex 6 for a more detailed examination):

Table A4.2: Subproject Cycle

Stage	Output	Responsibility
Identification	Project ideas	Municipal government (MG) through plan
Pre-feasibility	Subproject profiles	FPS
Feasibility	Complete subproject designs	Contract administration: MGs Disbursements and oversight: FPS
Ex-ante evaluation	Subproject approval	FPS
Procurement	Subproject contracts	MGs
Subproject execution	Physical advances and payments	Supervision: MGs Disbursements and oversight: FPS
Evaluation	Adjustments and preparation for operation	MGs, prefecture, VMD, communities and producer groups
O&M	Sustainable use	MGs, community or producer group

42. Small works under subprojects may be procured by municipalities through community subgrants. Communities that are organized and have legal personality would be eligible to receive subgrants. Local materials would be secured via three quotations and disbursements based on physical advances of the small works

43. Eligible investments include: (a) transportation infrastructure; (b) micro-irrigation; (c) natural-resources management; and (d) other municipal infrastructure for the promotion of economic activities and natural resource management. It is expected that transportation infrastructure will absorb about 70 percent of all investment resources and irrigation 23 percent, the remainder being distributed among all other types of investment. While the project's economic analysis has been based on these proportions, given that the selection of project investments will be demand-driven final results may differ.

44. . Eligible investments for **transportation infrastructure** will include: (a) upgrading and rehabilitation of communal and municipal roads; (b) construction of vehicular and pedestrian bridges; and (c) river and lake transport infrastructure. Investments in transportation infrastructure will build on the successful experiences with spot improvement of rural roads implemented by the first PRI project, though it is expected that the proportion of higher volume roads to be financed will increase as the project responds to sub-regional scale and demand. Higher volume roads may require technologically more sophisticated interventions. Investments will be financed on the basis of transportation plans formulated by municipalities or mancomunidades. These plans will allow for the prioritization of both investment and maintenance needs taking into account both network considerations as well as the appropriate division of institutional responsibilities.

45. Eligible investments for **small and micro-irrigation** will include: (i) small reservoirs and river collectors; (ii) irrigation canals; and (iii) surface water collectors (*atajados*). Irrigation subprojects will be cofinanced by water users, who will also assume responsibility for O&M. Subproject implementation will include intensive technical assistance prior, during and after the construction of infrastructure to ensure the application of agricultural innovations that add value to production and adequate O&M. Feasibility studies will include business plans with clear marketing strategies. Sector planning at the supramunicipal level will allow clarification of allocation of user rights based on wider needs as measured at the level of micro-basins.

46. Eligible investments in **natural-resources management** will include: (a) reforestation and management of community forest areas; (b) basin management and control of soil erosion; and (c) protection of productive zones.

47. Eligible municipal investments for the **promotion of economic activities** will include: (a) marketing facilities; (b) telecommunication and information centers; and (c) public investments for tourism promotion.

48. A negative list has been agreed in order to exclude investments that may have negative impacts over the environment. The list includes the following: (a) new road construction; (b) transportation works in primary forests and protected areas; (c) water reservoirs higher than 10 meters or which flood more than 100 hectares; (d) irrigation works that feed more than 100 incremental hectares; (e) flood protection or drainage works that affect *humedales*; (f) works in archaeological areas with the exception of minor preservation works linked to approved tourism promotion strategy; (g) subprojects that may induce voluntary or involuntary occupation of forest lands; and (h) subprojects that may induce resettlement.

49. The component will not finance interventions within 5 kilometers of or inside primary natural forests. Interventions in protected areas or their buffer zones will require express approval from protected area authorities and must be included in their own investment plans.

50. The component's main outputs are (i) pre-investment studies and (ii) investment subprojects. All investments will include O&M activities and will require beneficiary municipal governments or communities to demonstrate capacity to manage infrastructure.

Subcomponent 2.1: Pre-investment (US\$ 1.18 million IDA, US\$ 2.85 million total)

51. Two outputs will be measured in the pre-investment subcomponent: (a) subproject profiles; and (b) pre-investment studies. Profiles will be generated by FPS as a result of the evaluation of project ideas prioritized in the planning processes and presented by municipalities and municipal associations (*mancomunidades*). Once FPS determines that the project ideas are eligible, it will hire consultants under standard TOR included in the OM from a pool of pre-qualified consultants. Profiles will determine subproject viability based on a basic technical, economic, social and environmental analysis. If the profiles shows the subproject to be viable, municipal governments (or their associations) will hire consultants to complete project design, adding detailed construction plans and environmental mitigation measures if needed. Final pre-investment studies will include all technical specifications and all the documentation required by the municipality to proceed to the procurement stage. Final payment for consultants will be conditioned on FPS's approval.

Subcomponent 2.2: Investment (US\$ 8.87 million IDA, US\$ 51.14 million total)

52. Subprojects will be approved by FPS's departmental offices. FPS personnel will present the subproject evaluation to the *Comité Departamental de Aprobación de Proyectos* (CDAP), a committee which includes FPS departmental management and representatives of civil society and of municipalities. Once approved by the CDAP, FPS will sign an agreement with the municipality (or association) and the prefecture, specifying the amount due for counterpart

contributions. Counterpart funding will be deposited in an FPS account under an agreed schedule. The agreement includes the right of FPS to withdraw counterpart funds directly from Treasury Accounts for financial transfers in case any actor does not comply with the agreed disbursement schedules.

53. Subprojects will be procured and managed by municipalities or their associations. Subprojects may include works, goods and consulting services. In all cases, the cost of supervision and TA for O&M will be included under the subproject. Irrigation subprojects will also include TA to support technological innovation by water users under a business plan prepared during the pre-investment phase. TA assistance for O&M of irrigation subprojects will continue for at least a year after completion of the works, financed by the municipal government, in order to ensure the adoption of adequate O&M procedures. Other small works under subprojects may also be procured through community subgrants.

54. Small works included in subprojects may be procured through community subgrants. Municipalities will sign subgrant contracts with communities and will disburse in tranches upon the completion of pre-defined physical stages. Municipalities will also hire TA if required and a project supervisor.

55. Subproject supervisors will issue completion certificates (*certificados de avance de obra*), which will be certified by the municipal government. FPS will disburse on reception of these certificates.

56. FPS oversight will be tailored to the level of risk presented by each municipality according to a standard set of indicators which include municipal capacity, stability, and size and complexity of the subprojects. In high risk cases, FPS will conduct prior review of procurement and may execute field visits prior to every disbursement. In low risk cases, FPS will conduct ex post reviews of procurement, and will conduct field visits only after 50 percent and 80 percent of the cost has been disbursed. FPS will be present at subproject closing in all cases.

Component 3: Project Management (US\$ 5.76 million IDA, US\$ 10.28 million total)

57. This component's outputs are the efficient and effective coordination of the project and an M&E system which can measure progress in achieving project objectives.

58. The component will achieve this through the provision of consultants, goods, and incremental operating costs which will support the operation of a National Operations Unit (NOU) integrated within VMD's structure, and up to nine Territorial Operating Units (TOU) in the departments of the Borrower. The TOU will be operated by the Departmental Municipal Associations (AMDES).

59. The component will finance the setting up and operation of a management information system, the implementation of monitoring, evaluation and learning arrangements, the completion of technical studies and operating cost of FPS for the project. The component will also ensure that effective fiduciary arrangements are in place during implementation. The component has the following subcomponents:

Subcomponent 3.1: Project implementation and management (US\$ 2.53 million IDA, US\$ 4.82 million total)

60. This subcomponent aims to put in place an efficient and highly capable technical team in VMD and the AMDES. It will support the placement of technical staff in the NOU (project coordinator, investment specialist, 2 institutional strengthening specialists, M&E specialist, communications specialist, accountant, disbursement officer, procurement specialist, and a legal assistant – a lawyer and financial manager will support the NOU and are financed by the VMD), and in the TOUs (territorial coordinator, investment specialist, institutional strengthening specialist and an administrator). The key staff, including one national coordinator and nine territorial coordinators, will be selected by a competitive, transparent and open process to be carried out by the VMD for national coordinator and the AMDES for the territorial coordinators. Additional project staff members will be selected based on the same process by an independent, external human resources firm. All staff will have a performance evaluation annually with support from an independent, external human resources firm.

61. The subcomponent will also finance goods and incremental operating costs for VMD and the AMDES.

62. In addition, the component will finance: (a) national and departmental workshops to launch the project; (b) internal coordination and training activities; and (c) management of competitions for investment ideas.

63. The subcomponent will ensure the establishment of a functional, transparent, accountable and efficient financial management system for the project, including carrying out of external and independent financial and procurement audits (including for FPS). The former will be conducted annually and the latter in the prior to the mid-term review and on the last year of project implementation.

Subcomponent 3.2: Communication strategy (US\$ 0.21 million IDA, US\$ 0.38 million total)

64. The objective of the sub-component will be to ensure transparency and informed participation of the beneficiaries of the project. A communications strategy for the project has been designed, including audio-visual and print media and focused on supporting implementation.

Subcomponent 3.3: Planning, monitoring and evaluation (US\$ 0.19 million IDA, 0.33 million total)

65. The outcome of this subcomponent is the establishment of a functional, transparent, participatory and efficient M&E system, including accounting software, for the project. The efforts will be coordinated through the M&E specialist stationed in the NOU through, (a) a series of workshops for local actors and technical staff in the AMDESs; (b) a performance feedback survey conducted by the beneficiaries on project staff performance and overall project performance; (c) an external and independent evaluation conducted at the time of mid-term review and project completion to complement the in-house M&E; and (d) a process of participatory systematization and learning at project end.

Subcomponent 3.4: Studies (US\$ 0.05 million IDA, US\$ 0.09 million total)

66. The subcomponent will support technical studies relevant to project objectives and activities during implementation, including social and institutional assessments necessary for including new municipalities in the project area. Exact themes will be determined during implementation.

Subcomponent 3.5: Project Preparation Facility (PPF) (US\$ 0.40 million IDA, US\$.40 million total)

67. A PPF was used to support the preparation of the project.

Subcomponent 3.6: FPS operational costs (US\$ 2.38 million IDA, US\$ 4.25 million total)

68. This subcomponent will finance direct and indirect operating costs incurred by FPS in the administration of the Productive Investments component. Payments will be based on outputs and will not exceed 8 percent of the total subproject cost. The methodology for payment is summarized in the following table:

Table A4.3: Subproject Stages, Outputs and Payments

Stage	Output	Payment
Pre-feasibility	Profiles completed	Fixed payment of Bs. 1,300 only for non-viable profiles
Procurement	Subproject contracts signed	3.6 percent of the total value of the subproject
Subproject execution	Physical advances and payments	Per financial execution, up to 3.6 percent of the total value of the subproject
Subproject closing	Subproject completed and administrative closing	0.8 percent of the total value of the subproject

69. The payment methodology is designed to provide FPS with adequate liquidity to maintain proper operations during project execution, while producing incentives for speeding up subproject implementation. A fixed amount is paid for sub-project profiles since not all of them will be viable and thus proceed to subsequent stages. The amount paid for profiles is included under the ceiling of 8 percent in all other cases. The payment methodology and the total percentage paid to FPS will be reviewed during the second year of project on the basis of a study to be financed by the project.

Key Operational Principles

70. The design elements that will be critical to the success of this operation are: (a) support to a gradual process of regional coordination, based on agreements among municipalities and between municipalities and prefectures; (b) focus on operation and maintenance at both the subproject level and the municipal level, and by utilizing investments as incentives for institutionalizing the required arrangements; (c) establishment of a clear division of

responsibilities between municipalities and prefectures in each department and a cofinancing matrix that is applicable to all related subnational interventions; and (d) determination of transparent rules of the game for access to resources, eligibility, approval, and prioritization of proposals. Operational principles include:

71. Coordination. The project will provide incentives for municipalities, prefectures and national government agencies to coordinate activities through participatory planning processes at different levels or sectors, though favoring the supra-municipal level. Territorial management processes will be aimed at realizing scale economies and network considerations, which by their nature involve more than one institutional actor. The project also aims to provide a structured channel for other national government agencies and projects to organize their local interventions respecting the coordinating role of local governments. It is expected that these processes will allow public and private actors involved to: (a) visualize the relationships between investments and services corresponding to their specific roles and competencies (for example, between trunk and feeder roads under prefectural and municipal responsibilities respectively); (b) establish a proper sequence of activities to ensure complementarity between investments; (c) prioritize investments that generate synergistic effects; and (d) direct investments and services toward the poorest sector of the rural population.

72. Sustainability. Coordination would also help different actors to visualize operation and maintenance needs and, on that basis, help to establish institutional agreements that ensure their adequate functioning. The project's focus on sustainability will encompass the existing stock of infrastructure; thus sustainable access will be achieved through institutional interventions beyond the Productive Investments component.

73. Demand-driven approach. Coordination between actors may be based on a variety of initial objectives and is thus seen by the project as a process of relational construction. Thus, in some cases the point of entry could be a fully-fledged local economic development plan at the mancomunidad level; in others, a supramunicipal transportation plan. The project will deploy a flexible strategy to facilitate the formation and consolidation of institutional relationships from the bottom-up, in order to improve the management of development actions.

74. Cofinancing: Cofinancing in this project refers to arrangements between actors that result from territorial planning processes. Cofinancing may occur at the level of plans, programs and/or projects. Investment subprojects financed by the project will be aimed exclusively at municipal responsibilities and will require cofinancing from municipal governments, prefectures and (in some cases) beneficiaries under a pre-established set of rules which is expected to reduce the existing discretionality in the allocation of investment resources. Not all investments prioritized by territorial plans will require everyone's attendance, as prefectures and municipalities will finance their own investments following their legal responsibilities. Investments will be executed by the legally-ascribed actor, thus avoiding the dilution of responsibilities that is produced when agencies invade competencies.

Annex 5: Project Costs

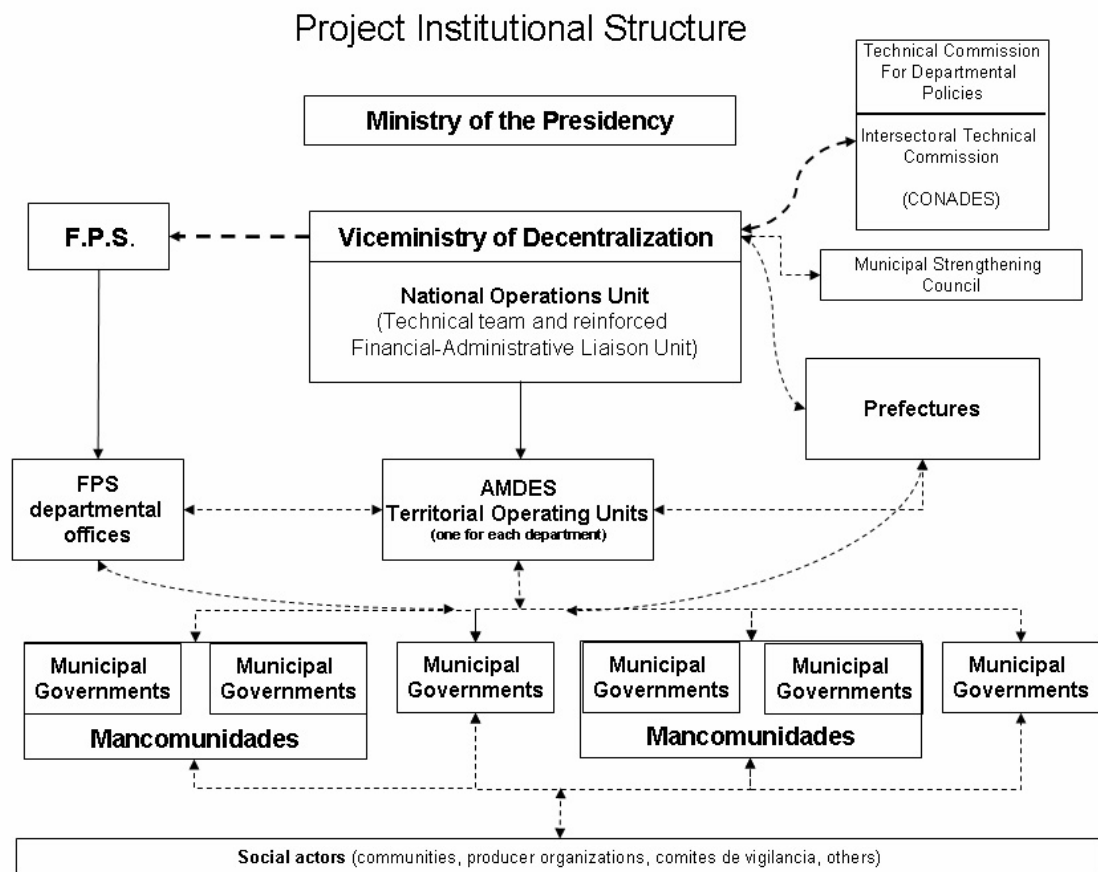
BOLIVIA: Second Participatory Rural Investment

Project cost by component and/or activity	Cost (US\$ Million)		
	Local	Foreign	Total
1. Institutional Strengthening			
1.1. Territorial Planning	2.20		2.20
1.2. Implementation of Territorial Plans	4.46		4.46
1.2. Investment Capacity Building	1.81		1.81
1.3. Operation and Maintenance Capacity Building	1.31		1.31
1.5. National Capacity Building	1.15	0.18	1.33
<i>Subtotal Component 1</i>	<i>10.93</i>	<i>0.18</i>	<i>11.11</i>
2. Productive Investments			
2.1. Preinvestment	2.85		2.85
2.2. Investment	40.92	10.22	51.14
<i>Subtotal Component 2</i>	<i>43.77</i>	<i>10.22</i>	<i>53.99</i>
3. Project Management			
3.1 Project Implementation & Management	4.48	0.34	4.82
3.2 Communication Strategy	0.38		0.38
3.3 Planning, monitoring & evaluation	0.33		0.33
3.4 Studies	0.09		0.09
3.5 PPF	0.40		0.40
3.6 FPS Operational Costs	4.25		4.25
<i>Subtotal Component 3</i>	<i>9.94</i>	<i>0.34</i>	<i>10.28</i>
<i>Total Baseline Costs</i>	<i>64.64</i>	<i>10.74</i>	<i>75.38</i>
Price Contingencies	2.32	0.38	2.70
Front-end Fee			
Total Financing Required	66.97	11.12	78.09

Annex 6: Implementation Arrangements

BOLIVIA: Second Participatory Rural Investment

1. The project will be coordinated at the national level by the Viceministry of Decentralization (VMD). VMD will operate the project with the support of a National Operating Unit (NOU) aided, at the departmental level, by the nine Departmental Municipal Associations (AMDES). The Productive Investments component will be administered by the Social and Productive Investment Fund (FPS). Diagram A6-1 summarizes the project's institutional structure.



Ministry of the Presidency

2. The Ministry of the Presidency is responsible, overall coordination of the project. The Ministries of Planning and of Finance, in the name of the Republic of Bolivia, will transfer these responsibilities to MP through a subsidiary agreement. MP will, in turn, delegate all operational responsibilities to VMD through a *Resolución Ministerial*, which will also establish the National Operating Unit (NOU), with the rank of a Directorate and under the Viceminister.

3. The Ministry of the Presidency will approve the following: the Operations Manual (OM); the project's annual budget; the Annual Operating Plan (POA); and the delegation of all operational and administrative responsibilities for project execution.

Viceministry of Decentralization

4. VMD will be in charge of project coordination and the implementation of the Institutional Strengthening and Project Management components. VMD will implement these components through the NOU. Project financial and administrative functions will be carried out by VMD's Administrative-Financial Liaison Unit (UEAF, *Unidad de Enlace Administrativo-Financiero*). The Viceminister of Decentralization will have the following duties: coordinating all matters required for the efficient implementation of the project; coordinating project implementation at the strategic level with FPS; ensuring adequate coordination of the project with the prefectural Services for Municipal and Community Strengthening; providing oversight to the operation of the NOU per the terms of the Credit Agreement and the Subsidiary Agreement; signing national contracts for components 1 and 3, including the contracts with the National Project Coordinator, technical team and administrative liaison personnel; evaluating the operation of the NOU and departmental offices annually with the support of an external agency specializing in staff selection; reviewing and approving project reports, audits, and impact evaluations. The Viceminister of Decentralization may carry out some or all of these tasks in person or through VMD's line directions (*Dirección de Políticas Departamentales, de Políticas Municipales, de Políticas Comunitarias*).

5. Consultative Entities. Two existing governmental instances within CONADES (*Consejo Nacional de Descentralización*) will have a consultative character for the project's execution: (i) the Technical Commission on Departmental Policies, in which participate the national government and prefectural technical crews and authorities; and (ii) the Intersectoral Technical Commission, that involves the viceministries for all sectors. These instances are spaces in which the Vice Ministry of Decentralization: i) coordinates project strategies with the departments and sectors; ii) informs about the implementation and results of the project in the regions; iii) promotes the articulation and coordination of the sector programs and projects in the territory; and iv) enables the compatibility of specific sector regulations to hasten public investment. Additionally VMD will promote the conformation of the Municipal Strengthening Council, with the participation of FAM and the Departmental Services of Community and Municipal Strengthening for the formulation and implementation of municipal strengthening policies and programs operated by the project.

National Operations Unit

6. In order to carry out its responsibilities for project implementation, and given current capacity limitations, VMD will set up a National Operations Unit. The NOU will be fully integrated as a line unit within VMD.

7. The NOU will have the responsibility of coordinating and administering the project at the central and departmental levels. It will have the following basic functions: (i) coordinating with Viceministro on matters that require special attention and action by the Government and the project donors, particularly with regard to amendments and the Credit Agreement; (ii)

formulating operational guidelines and regulations with the objective of improving project execution; (iii) coordinating all project-related transactions with VMD's Administrative-Financial Liaison Unit (UEAF); (iv) ensuring the establishment and operation of the Territorial Operation Units per the terms of the institutional agreements signed with the respective Departmental Municipal Associations (AMDES); (v) designing, validating and overseeing the application of methodologies for the Institutional Strengthening component; (vi) preparing the project's POAs in coordination with the AMDES; (vii) archiving all project documentation; (viii) ensuring project financial and procurement audits are carried out on time; (ix) managing, operating, and maintaining the M&E system; (x) designing and implementing the project dissemination and communication strategy; (xi) disseminating, coordinating, monitoring, and evaluating the project; (xii) execute payments to service providers for institutional strengthening of municipal governments, mancomunidades and prefectures; and (xiii) monitoring FPS's implementation of the Productive Investments component and reviewing payment of FPS's operational costs.

8. The NOU will be led by a National Coordinator working under the direct oversight of the Viceminister of Decentralization. The coordinator will manage a technical team (composed of an project coordinator, investment specialist, 2 institutional strengthening specialists, M&E specialist, and communications specialist,); and s/he will liaise with VMD's Administrative-Financial Liaison Unit (UEAF). This unit will be reinforced with the addition of a financial manager, an accountant, a disbursement officer, and a procurement specialist. The key staff including one national coordinator and nine territorial coordinators will be selected by a competitive, transparent and open process to be carried out by the VMD for national coordinator and the AMDES for the territorial coordinators. Addition project staff members will be selected based on the same process by an independent, external human resources firm. All staff will have a performance evaluation annually with support from an independent, external human resources firm.

9. The UEAF will carry out project accounting and financial management, including management of the Credit Account (in US dollars), counterpart and other accounts, disbursements, SOEs and reports.

Territorial Operating Units

10. VMD will sign interinstitutional agreements with the Departmental Municipal Associations (AMDES), which will be in charge of implementing most of the local activities of the Institutional Strengthening component in coordination with the NOU.

11. The AMDES are not-for-profit civil associations conformed by all municipalities of each departmental jurisdiction. Municipalities pay a fixed fee, calculated as a proportion of their budget to sustain the AMDES (and their national federation, FAM, as well). The AMDES's main purpose is to provide technical assistance and training to municipalities as well as to represent them in negotiations with other actors. The AMDES have implemented several donor-financed projects.

12. The interinstitutional agreement between VMD and the AMDES will specify all matters related to project operation, including expected results, planning, budgeting, procurement,

personnel selection and relations with other project actors. A model interinstitutional agreement is included in the project's operational manual. VMD will pay all incremental operating costs incurred by the AMDES, including consultants, goods, and operating costs. For project purposes, each AMDES will install a Territorial Operating Unit within its structure. This Unit will be manned by a territorial coordinator, an investment specialist, an institutional strengthening specialist and a procurement specialist. Each year, VMD and the AMDES will determine expected results and agree on an operational plan and a budget. Implementation will be monitored by the NOU.

13. The AMDES will carry out the following activities on behalf of the project: (i) project promotion; (ii) facilitate signing of agreements with project actors and between them, as well as monitor their implementation; (iii) support the formation of local and departmental networks of relevant institutions; (iv) provide information required for monitoring and evaluation; (v) implement the project's communications strategy at the departmental level; (vi) identify good practices to promote horizontal exchanges; (vii) create and maintain a data base of service providers; and (viii) coordinate with FPS the channeling of resources towards investment subprojects.

14. In addition, the AMDES will support municipalities and VMD in contract administration for consulting services managed by municipalities; specifically, the AMDES will: (i) supervise municipal procurement of consultant services for component 1; (ii) monitor the implementation of these consultant contracts and approve payments in coordination with municipal governments; (iii) consolidate all the documentation related to the execution of contracts for archiving by the NOU.

Productive and Social Investment Fund (FPS).

15. FPS will be the agency in charge of implementing the project's Productive Investments component. The Ministries of Planning and of Finance, in the name of the Republic of Bolivia, will transfer this responsibility to FPS through a subsidiary agreement. All subprojects will be procured and managed by municipal governments or their mancomunidades. FPS ensures that subprojects are eligible, conform to acceptable technical standards, and are managed according to the fiduciary provisions of the Credit and Grant Agreements and the project's operational manual.

16. FPS has a central office in charge of administrative matters, quality control, coordination, monitoring and oversight. It has one office in each department of the Borrower. They are deconcentrated offices of FPS with responsibility for operating the subproject cycle. They will carry out subproject ex-ante evaluations, monitor contractual integrity, conduct field supervision (together with local actors), and will order payments to contractors and consultants. FPS regional offices are staffed by: a Departmental Director, a technical team in charge of evaluations, including specialists in eligible subprojects; a technical team in charge of field oversight of contracts; and an administrative team in charge of processing payment documentation. Disbursements are executed directly from the national office. FPS's subproject cycle is described in Table A6-1.

Table A6-1. FPS subproject cycle

Stage	Output	Responsibility
Identification	Project ideas	-MG through plan
Reception	Registration by FPS	-MG requests -FPS-D registers and classifies
Pre-feasibility	Subproject profiles	-FPS-D generates profiles of eligible ideas
Feasibility	Complete subproject designs	-MG selects consultant, supervises and approves payments -FPS-D reviews product, approves, requests disbursement and monitors -FPS-N disburses directly to consultant
Ex-ante evaluation	Subproject approval	-FPS-D's Departmental Committee for Project Approval approves -FPS-N assigns funds
Financing arrangements	Sub-grant agreement	-MG, prefecture and FPS-D sign
Procurement	Subproject contracts	-MG awards works and consultant contracts -FPS-D monitors (ex ante or ex post, depending on risk)
Subproject execution	Physical advances and payments	-MG and prefecture deposit counterparts -MG awards contracts, supervises and approves payments -FPS-D reviews, approves, requests disbursement and monitors (field oversight intensity depending on risk) -FPS-N disburses directly to provider
Subproject closing	Legal, administrative and financial closing documents complete	-MG and beneficiaries accept subproject -FPS-D prepares all documentation -FPS-N closes in system
Ex post evaluation	Assessment of subproject achievements	-FPS-N, in dialogue with FPS-D, MG and beneficiaries
O&M	Sustainable use	MG, community or producer group

MG: municipal government; FPS-D: departmental office of FPS; FPS-N: National office of FPS.

17. FPS was created in 2001 under the National Dialogue Law with the objective of managing all national cofinancing for municipalities under an equalization policy. Since then, its role has been widened to include financing of community investments under the government's Social Protection policy and financing post-disaster reconstruction and rehabilitation works. Since its creation it has managed a large number of donor-financed projects (national financing for FPS has been negligible), including projects financed by the World Bank, IDB, OPEC, and bilateral agencies. FPS has been able to retain a core of well-qualified personnel, in contrast to most agencies of the borrower, and turnover has been relatively well managed to maintain capacity. It currently employs a total of 228 people, of whom 62 have more than 5 years of experience in the institution, 48 between 2 and 5 years of experience, and 118 have been hired by the current administration. Technical and administrative personnel occupy 36 percent of all positions each, the remainder consisting of support personnel. Sixty-one percent of all FPS functionaries are located in departmental offices.

FPS Action Plan

18. A case of corruption was uncovered in one of the Bank's projects implemented by FPS some years ago. Due to the Bank's concern with the possibility of corruption re-occurring in FPS, the Bank has carried out an "Operational Review of FPS" with the aid of an international

consulting firm. The main conclusions of this study are: i) complex and excessively bureaucratic sub-project cycle, with no clear definitions of roles and responsibilities; ii) lack of a reliable and real-time information system for planning, monitoring and decision making; iii) lack of a monitoring and control function; iv) lack of qualified and experienced procurement staff, both at central and regional offices; v) lack of an adequate tool for registering following-up and monitoring of procurement processes (contract management); vi) inadequate supervision: weak capacity at the municipal level and ineffective follow-up and control function within FPS's regional offices; vii) payment processes with multiple approval levels where responsibilities are diluted, with the subsequent risk that payments are made when not all conditions have been met. A critical underlying issue identified in the study was related to FPS's financing, and the scheme that had been followed during the last years. Under such model, FPS's administrative costs were only recognized and paid, only once the respective sub-project starts disbursing, thus creating a negative incentive.

19. As a result of the Operational Review, FPS has produced an Action Plan in coordination with the Bank's project team. The Action Plan focuses on three areas: a) consolidating operational processes and controls in the subproject cycle; b) modernization of the Subproject Administration System; and c) organizational strengthening. The Action Plan has been approved by FPS's Board and is now mandatory. The Action Plan is included in Annex 18. By agreement between the Bank and the Bolivian Government, the bulk of the activities required to strengthen FPS will be carried out under this project, even though key components of another three Bank-financed projects under preparation will be executed by FPS. The Action Plan has been budgeted and will be financed in full by the Project (see Component 1).

20. FPS's subproject cycle has been streamlined and controls will be restored at every stage. Key changes to be introduced include:

- a. A clear separation of roles and functions between FPS and municipalities. Municipalities will be in charge of procurement and contract administration; they will hire subproject supervisors who will report to them; and they will approve payments on the basis of certificates of physical progress issued by these supervisors. FPS will provide oversight (*fiscalización*) of the whole process on the basis of the level of risk represented by the municipality (as measured by a set of agreed indicators), and the size and complexity of the subproject. In high-risk cases, FPS will conduct ex ante reviews of procurement and field visits to ensure every payment is supported by the level of physical implementation and quality specifications. In low-risk cases, FPS will conduct ex post procurement reviews, and field visits will be limited to subproject launch, and when subproject execution reaches 50 percent and 80 percent of disbursements.
- b. FPS will publish all contract awards on its web page. Information to be published will include at least: the names of bidding companies, the company that was awarded the contract, the contract amount.
- c. FPS will create a Monitoring and Control Unit in its national office. This Unit will work directly under the supervision of the Executive Director and its role will be to ensure that FPS complies with the fiduciary and safeguard rules adopted in the operational manual. The Unit will be staffed by qualified personnel, selected in an

open, competitive, and merit-based process. The Unit will monitor, among others, the correspondence between oversight activities and risk levels, a set of agreed indicators that will be produced automatically by the Subproject Administration System (for example, delays in execution and payments) and the procurement web page. Field visits will be conducted on the basis of alerts generated by this process and a random selection of subprojects.

- d. Local communities will be systematically engaged in monitoring of subprojects. At subproject launch, beneficiary communities will receive a full explanation of the works and TA involved, as well as the schedule for execution. Companies executing contracts will be required to keep a community book on site, for communities to register all observations in writing, and FPS personnel will be required to answer all observations and to register all responses in the community book.

21. Key changes to be introduced in the Subproject Administration System include: a) the installation of a web-based, real-time system; b) the introduction of a programming module which will allow automatic monitoring of subproject progress; c) the introduction of standardized requirements for each step in the subproject cycle and the clarification of roles of each operator; d) the generation of automatic reports on financing per source; e) the generation of alert indicators related to processing compliance; f) the capacity to scan all support documentation as proof of compliance; and g) the generation of automatic reports for management on the basis of agreed indicators. Other agencies of the government as well as donors will be able to access the system in order to monitor agreed progress indicators.

22. Organizational strengthening of FPS will focus on: a) the reinforcement of fiduciary capacities; b) the strengthening of FPS's environmental unit; and c) carrying out a program of systematic training of personnel according to capacities and institutional needs.

Municipal Governments

23. Local governments are the key project actor. They are legally in charge of either providing or coordinating the provision of the infrastructure, services and assets which the project intends to deliver. Municipal governments (MGs) will be in charge of maintaining most of the investments financed by the project. Thus, building their capacity is one of the main expected outputs. MGs will manage most of institutional strengthening activities through contracts with consultants. They will be in charge of the following: (a) organizing and executing territorial planning activities; (b) selecting and managing consultants for strengthening activities; (c) identifying investment priorities; (d) carrying out procurement of works, goods and services for investment subprojects; (e) managing subproject contracts; and (f) operating and maintaining investments.

24. Eligible municipalities will sign a framework agreement with VMD in order to have access to project activities. This framework agreement will stipulate, among others, the obligations of the MG to comply with the Credit and Grant Agreements and to conduct project-related activities according to the procedures detailed in the operational manual. These framework agreements will serve as subgrant agreements for the Institutional Strengthening component. Each year, VMD and the MG will sign an annex including the activities to be executed in the

period, their cost, the counterpart schedule and the modality of implementation. Model framework agreements and annexes are included in the operational manual. See Diagram A6-2.

25. MGs will sign a tripartite subgrant agreement with FPS and the prefecture prior to implementing any investment subproject. As is the case for Component 1, these agreements will stipulate, among others, the obligations of the MG and the prefecture to comply with the Credit and Grant Agreements and to conduct project-related activities according to the procedures detailed in the operational manual. The agreements will also include a procurement schedule and an agreement to allow FPS to withdraw funds directly from national government financial transfers in case of non-compliance. A model sub-grant agreement is included in the operational manual.

Mancomunidades

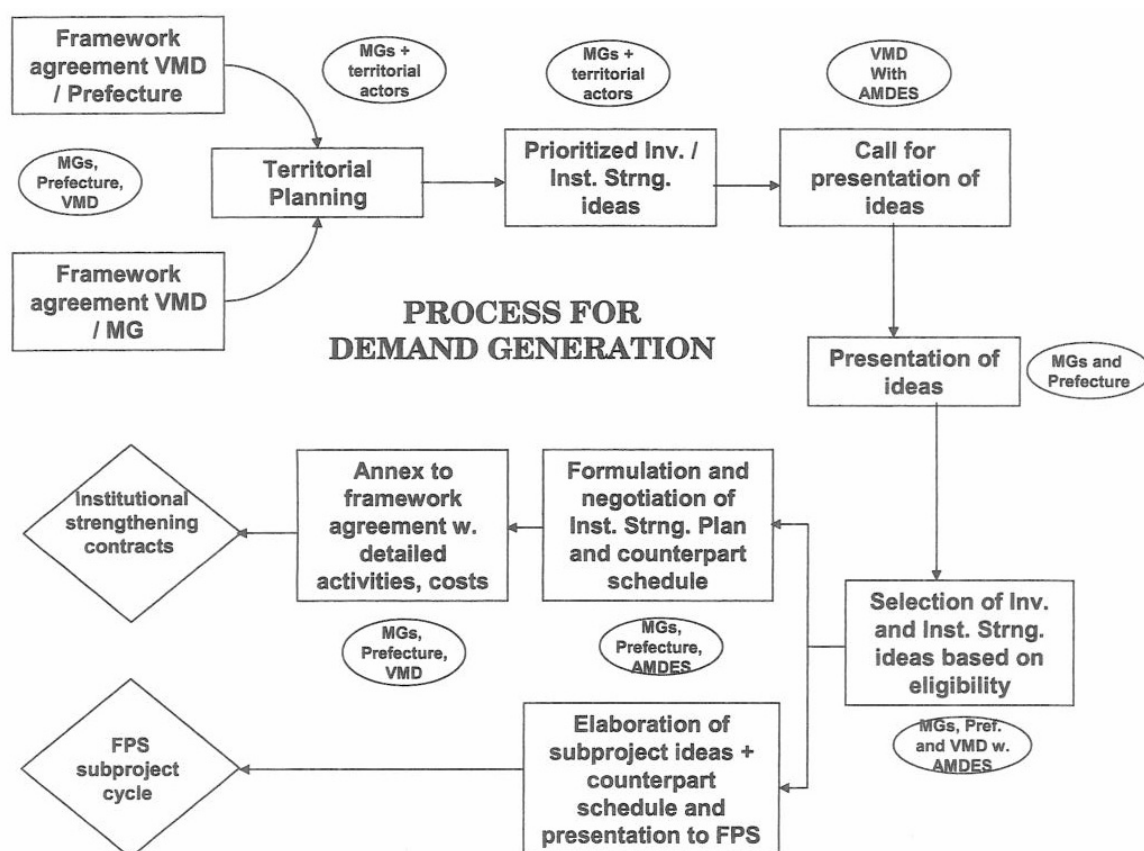
26. There are less than 50 local municipal associations (*mancomunidades*) in Bolivia. These mancomunidades present a wide range in size and objectives, and their relationship with their member governments varies greatly. The best *mancomunidades* get regular financing from their MGs and have been delegated clear functions in specific areas, usually having to do with supra-municipal development issues. As extant actors already created for municipal coordination in departmental regions, *mancomunidades* will play an important role in the project. It is expected that in some cases *mancomunidades* will lead regional development planning and investments that cross municipal borders or have supra-municipal impacts. In these cases, *mancomunidades* would manage strengthening and investment subprojects under clear delegation from their member governments. Some maintenance activities that benefit from scale considerations may also be carried out more efficiently by *mancomunidades*. Legally speaking, *mancomunidades* are private entities, and specific regulations will be required for them to handle public resources.

Prefectures

27. The project intends to support prefectures actions to put into order their interventions at the municipal level. Prefectures have recently gained a higher degree of political autonomy as prefects get elected rather than designated. The level of autonomy will most likely be increased once Bolivia adopts its new Constitution, now under preparation. Prefectures have also gained greatly, though unevenly, from the distribution rules for hydrocarbons resources. The project would help prefectures to coordinate investments with municipalities and other agencies. Besides benefiting from technical assistance to improve their coordination and cofinancing activities with municipalities, prefectures will have the following duties: (a) participate in territorial development planning and coordinate prefectural investments with municipal governments; (b) cofinance municipal institutional strengthening contracts and investment subprojects; (c) participate in project strategic discussions; and (d) participate in project evaluations.

28. At the beginning of the project, VMD will sign a framework agreement with each prefecture detailing roles and functions of all actors, as well as rights and obligations. Prefectures will co-sign all sub-grant agreements entered into by municipalities if these require prefectural investment. Model agreements are included in the operational manual.

Diagram A6-2. Demand generation for component 1 and 2



Indigenous and Campesino Communities and Producer Organizations

29. Most beneficiaries belong to local social organizations. Indigenous and campesino communities have legal rights, as Territorial Base Organizations (OTBs), relating to the identification and prioritization of municipal investments and local public services provision. Municipal governments are obliged by law to allocate investment resources in concert with these organizations, and they do it through a variety of means, including participatory municipal planning, participatory budgeting and evaluations, etc. Participation varies among municipalities in qualitative and quantitative terms. In some cases, communities struggle over pieces of the municipal budget without regard to effectiveness and impact; in others, communities and local governments allocate resources in longer term plans, with greater regard for collective priorities and impact. Producer organizations also have a right to participate in municipal planning but support for their priorities is lower than for those of communities. In the project, all these organizations will play the following roles: (a) participate in development planning at different levels; (b) help local governments to define priorities; and (c) participate in strengthening activities.

30. Eligible communities will be awarded subgrants to execute small works contemplated in investment subprojects. Local materials would be secured via three quotations and labor provided by the community. The MG will sign a contract with the community. Grant

disbursements will occur in tranches based on physical progress, measured by pre-agreed stages and certified by an external supervisor.

Comites de Vigilancia

31. These oversight committees, created by law and representing communities in each municipality, formally approve municipal POAs and budget execution reports, and exercise “social control” over municipal government actions. They will participate in territorial planning activities and will benefit from training and technical assistance to be provided under Component 1.

Institutional Model and Flow of Funds

32. Fund flow will commence with the two implementing agencies, VMD and FPS, each of which will manage a designated account. Disbursements from the credit account and from the counterpart accounts for the Institutional Strengthening component will be handled by the Administrative-Financial Liaison Unit in VMD, in coordination with the NOU. Payments for locally managed contracts will be made directly from the NOU to consultants hired by municipalities. In the former case, disbursements will precede once the respective local government and the corresponding AMDES certify that contract execution has achieved the expected products. In the latter case, advances will be certified by the technical unit of the NOU prior to payments.

33. FPS will administer funds for the Productive Investments component. Payments from the credit and counterpart accounts for investment subprojects will be handled by FPS’s national office following certification of advances in subproject execution by FPS’s departmental offices. Certification will require approval by the respective municipal government and by external supervisors from the field.

34. VMD will handle funding for the Project Management component. Payments for consultant services and operational costs of the NOU and the AMDES will be made by the Administrative-Financial Liaison Unit in VMD, in coordination with the NOU.

Annex 7: Financial Management and Disbursement Arrangements

BOLIVIA: Second Participatory Rural Investment

Executive Summary

1. As part of the preparation process of the Second Participatory Rural Investment Project, a financial management assessment was performed to determine the adequacy of the Viceministry of Decentralization's financial management arrangements to support project implementation. The assessment was performed in accordance with OP/BP 10.02 and the Manual "Financial Management Practices in World Bank Financed Investment Operations". The objective of the assessment was to determine the adequacy of the Viceministry's capacity to properly manage and account for all project proceeds and to produce timely, accurate and reliable financial statements for general and Bank special purposes.

2. In addition, a financial management capacity assessment was conducted of the Fund for Social and Productive Investment (FPS), the entity which will implement Component 2 of the project. This assessment is based on the results of the Operational Review of FPS which was conducted with the support of the Bank at the end of FY07. As a result of the review, a time-bound action plan including mitigating measures to address identified external and internal risks was agreed with FPS to strengthen its operational performance, including the internal control environment. The action plan is presented in Annex 18.

Overall Conclusion

3. Bolivia's country Public Financial Management risk rating is substantial. The advances reached towards improving the PFM, has been offset by several weaknesses found in the uneven application of the legal framework, particularly with regard to financial reporting and internal control environment. The situation at sub-national level is not really different.

4. As with the first PRI project, the PRI II project design and implementation arrangements require that robust financial management systems are in place, so as to ensure that associated risks are adequately being addressed and that the implementing entities will be able to provide the Bank, the Borrower and other interested parties with accurate and timely information regarding project resources, expenditures and activities. To the extent possible, existing arrangements will be used under both implementing entities, strengthening them as needed in order to guarantee their adequacy to ensure project funds are used economically, efficiently and for the intended purposes. The design of the operational and fiduciary arrangements has also been based on the identified risks and the recommendation of FPS Operational Review.

5. As of the date of this document, significant progress has been made by both entities in terms of completing the design of financial management arrangements. Although full implementation of key actions is still in progress, their completion is underway with the support of the Project Preparation Facility. Close follow-up to ensure compliance with corresponding action plans, will be required.

6. The project inherent and control risk are rated as substantial. Consequently, the project overall FM risk rating is also **substantial**. Downgrading this rating will highly depend on the successful implementation of the FPS strengthening plan. However, the risk profile of the project can be adversely affected if implementing entities are not able to maintain the proposed arrangements, including qualified staff, throughout the project's life.

7. On the basis of the review performed and progress achieved so far by both entities, the financial management team concludes that the proposed arrangements –as designed – can be considered acceptable to the Bank, subject to their effective and successful implementation.

SUMMARY OF FINANCIAL MANAGEMENT ASSESSMENT

8. The following sections summarize the results of the assessment of the proposed financial management arrangements of the Viceministry of Decentralization, and the agreements reached for the implementation of WB projects under FPS, following the recommendations of the Operational Review of FPS¹.

Risk Assessment and Mitigation

9. The risk assessment presented below, constitutes a summary of the issues related to the project as a whole, as of the date of the capacity assessment and on the basis of the Bank's knowledge of both proposed implementing entities, the Viceministry of Decentralization and FPS.

Risk	Risk Residual Rating	Risk Mitigating Measure Incorporated into Project Design	Condition of Negotiations, Board or Effectiveness (Y/N)
INHERENT RISK			
Country level			
Country's PFM risk rating (including sub-national level) is substantial. ²	S	Project design includes clearly defined activities. The project implementation arrangements under both components have been carefully evaluated, making sure clear roles and responsibilities are defined. In terms of processes and procedures, on the basis of the lessons learned from the precedent project, specific studies/analysis were conducted so as to be able to define streamlined procedures for the implementation of both components. Both FPS and VMD are being strengthened with required technical and fiduciary staff.	
The drastic salary reduction done in the whole public sector, limits the capacity to attract	M	Incremental staff for VMD, FPS and AMDES will be selected following competitive procedures that guarantee compliance with the qualifications in the ToRs that have received the No Objection of the Bank.	ToRs to receive No Objection of the Bank (included in the Operational Manual.

¹ Operational Review of FPS, June 29, 2007 (Draft Report).

² 2004 Bolivia Country Financial Accountability Assessment

and maintain qualified staff.			Key FM staff selected before project implementation.
Entity level			
VMD has limited capacity for project implementation.	M	Project design includes the establishment of a NOU, which will be integrated as a line unit of the VMD, and strengthened with technical staff.	
FPS: Several weaknesses in the internal control environment and other deficiencies on FPS performance were identified as part of the supervision and other specialized reviews conducted within the last years.	S	As part of project preparation, an Operational Review of FPS was carried out by external consultants, financed and directly contracted by the Bank. As result of the review, an integral strengthening action plan has been agreed with FPS. Key issues and mitigating measures have been incorporated into project design, including a streamlined sub-project cycle, better defined roles and responsibilities of different actors (e.g. municipal governments), establishment of a monitoring & control unit, and a strengthened information system, with emphasis in the control environment. Institutional strengthening actions are being implemented through the PPF approved for project preparation and with project resources.	Operational Manual approved by the Bank. Dated Covenant (Y) First phase of SAP strengthening plan completed. Disbursement condition (Y) Functions and ToRs of Monitoring & Control Unit agreed and approved by the Bank to be included in the Operational Manual Establishment of Monitoring and Control Unit within FPS. Disbursement Condition (Y)
Project level			
Project design is complex; it calls for decentralized implementation arrangements, and it requires coordination and interaction with several actors, at national, regional and municipal level.	S	On the basis of former experiences and lessons learned from the preceding project, the implementation arrangements have been carefully designed and evaluated, making sure roles and responsibilities of different actors are clearly defined. On such basis, specific workflows for the implementation of different components have been defined. However, adequacy of those procedures will be carefully evaluated within the first year of the project, to timely identify any need for adjustments.	Draft inter-institutional and financing agreements providing for the adequate definition of roles and responsibilities of different actors (i.e. Prefectures, FPS, municipalities, etc) should be reviewed during appraisal and finalized in the Operational Manual.

			Specific processes and procedures, including definition of roles and responsibilities for the project as a whole defined and reviewed by the Bank in Operational Manual
CONTROL RISK			
Budget: FPS' current budgetary procedures establish that budget modifications be approved by DUF. Experience has demonstrated that such process may considerably delay the implementation of sub-projects, when a budget modification is required.	M	FPS has prepared specific procedures for the preparation of operational and financial programming. Those procedures will be assisted with a customized programming module to be included in SAP (FPS' information system), that will allow Regional Offices to prepare detailed program and budget allocation at sub-project level. This enhanced programming process, if properly implemented, should diminish considerably the number of budget modifications required for the Project.	Programming procedures established in Operational Manual. Programming module designed and implemented in SAP before Disbursements start. Disbursement Condition (Y) Soliciting delegation of budget approval authority from the DUF to FPS.
Budget (other than FPS budget modifications) Accounting Internal Control	S	Both entities have worked on specific streamlined budgeting, and accounting, processes and procedures in the framework of existing local requirements and strengthening them as needed, including the design and implementation of punctual internal control mechanisms. Those processes will be also supported by a strengthened information system within FPS (SAP) and a computerized tool that complements SIGMA under the VMD. On the basis of former experience, a Monitoring & Control Unit will be established within FPS, which among other tasks will perform specific control activities over the Regional Offices –and as required- at the central office, to ensure compliance with procedures agreed.	Operational Manual reflecting the processes and procedures agreed. First phase of SAP strengthening plan completed before disbursements start. Functions and ToRs of Monitoring & Control Unit agreed and approved by the Bank in the Operational Manual.
Funds Flow	M	In the framework of the procedures set by SIGMA and the Single Treasury Account, funds flow arrangements have been defined for different components. Those procedures avoid unnecessary layers. As the specific regulations for the operation of the Single Treasury Account in US dollars are issued, the flow of funds would need to be adjusted accordingly.	
Financial Reporting	M	Format and content of Interim Financial Reports and Financial Statements have been agreed with the Bank. More important, both entities are making	Reports issued from corresponding system.

		the necessary arrangements to ensure that those reports are directly issued from SAP in the case of FPS and from the project information system to be used by VMD to complement SIGMA. Those arrangements will be critical to ensure comprehensiveness and reliability of the financial information.	
Auditing	M	On the basis of former experience, audit scope will require interim visits aimed at evaluating internal control at FPS' Regional Offices, and on-site visits to sub-projects to ensure, among other correspondence between physical and financial progress.	Audit ToRs agreed with the Bank and included in Operational Manual.
Overall FM Risk	S		

Weaknesses and Action Plan

10. FPS' institutional strengthening action plan is included in Annex 18. In the case of VMD, significant progress has been reached, and it is expected that all key actions are completed as agreed and included in the final version of the Operational Manual which will be reviewed by the Bank.

Financial Management Implementation Arrangements

11. Following the implementation arrangements defined in section [III.B] of this PAD, it has been agreed that the financial management tasks will be undertaken by: a) the Viceministry of Decentralization (VMD), through its Finance-Administrative Liaison Unit (UEAF, *Unidad de Enlace Administrativo Financiero*) for Components 1 and 3; and b) by FPS for Component 2 and subcomponent 3.6. Under such arrangements, the following sections describe the financial management arrangements for each entity, identifying, as appropriate, the required additional actions to complete the design of fully acceptable financial management arrangements.

Viceministry of Decentralization

12. The VMD's UEAF is currently staffed with two accounting/finance professionals in charge of VMD's administrative and finance tasks, mostly related to non-investment public expenditure activities. To support project implementation, the UEAF will be strengthened with the contracting of a Financial Management Specialist, an Accountant and a Disbursement Officer. The last two positions will be incorporated into the Liaison Unit's structure, while the Financial Management Specialist will report to the NOU's Coordinator, although he/she will functionally depend from the Liaison Unit's Head. The terms of reference of the three new positions will be reviewed and approved by the Bank. Key FM staff will be selected through a competitive process to be carried out by an external consulting firm.

13. In compliance with local requirements, some specific administrative and financial tasks – annual budget recording- need to be coordinated with the General Administrative Unit of the Ministry of the Presidency. As appropriate, those requirements will be reflected in the project's Operational Manual.

14. Regarding the implementation of the activities related to the Territorial Operating Units (TOU) within the AMDES (Departmental Municipal Associations), roles and responsibilities, and the required fiduciary arrangements for the costs to be financed by the project have been agreed with the Bank and will be reflected in the Operational Manual. So far it has been agreed that TOUs would include an administrator.

Programming and Budget

15. The preparation of the annual program and budget will follow local regulations established by the Ministry of Finance¹, and specific regulations and instructions that may be issued by the Ministry of the Presidency, through its General Administrative Unit. However, those general procedures will be complemented by additional guidelines to clearly identify the budgetary items under which project specific activities need to be recorded, in accordance with their nature. The financing of institutional strengthening activities at the municipal level will also need to consider the regulations for public investment (SISIN), as applicable. In defining those procedures, the following issues will need to be considered in order to allow adequate budget control: 1) timely preparation of programming, budget and procurement plan, establishing a clear relation among them; 2) proper recording of the approved budget in the financial management system, not only following Government required classification (partidas por objeto del gasto), but also a classification by project component and cost category (as needed); and 3) timely recording of commitments, payments and accruals as needed, to allow an adequate budget monitoring and also provide accurate information on project commitments for programming purposes.

16. In relation to the budgetary treatment of counterpart funding provided by participating municipalities and prefectures, project team has completed the necessary consultation with the Viceministry of Budget. On such basis, specific guidelines will be provided in the Operational Manual.

Accounting – Information System

17. The Viceministry of Decentralization has to comply with the Governmental Accounting Standards. Therefore, the project would use the Chart of Accounts established by the Accountant's General Office, followed by SIGMA (Government's integrated financial management system). This chart of accounts will need to be complemented with a more functional classification including project components/sub-components and cost categories. Project transactions and preparation of financial statements will follow the cash basis of accounting.

18. The project will benefit from the use of SIGMA, and the Single Treasury Account (CUT) to process payments. However, in order to ensure adequate monitoring of project activities, SIGMA will be complemented by an integrated ring-fenced system (budget, accounting and procurement) that is currently used by other WB and IDB financed projects. That accounting and reporting system allows the use of a customized classification of project expenditures and the subsequent preparation of project financial reports and withdrawal applications of credit

¹ Law No. 2042, Supreme Decree No. 27849 dated November 12, 2004 – Regulations for Budgetary Modification.

proceeds. Arrangements are being made to adapt the system to project specific needs, including its accounting manual, chart of accounts and format and content of financial reports.

19. As agreements for the participation of AMDES are completed, the project team will also need to identify any specific requirement in terms of accounting registration, budgetary control and issuance of financial reports, in relation to the activities to be implemented at such level.

20. Specific procedures and accounting policies and procedures for the control and recording of the counterpart contributions provided by municipal governments and Prefectures have been agreed with the Bank and will be reflected in the Operational Manual.

Internal control and internal audit

21. Specific processes and procedures, for administrative and financial tasks have been designed, including the definition of roles and responsibilities of different levels, segregation of duties and relevant internal controls, especially for payment purposes, both at the NOU and AMDES-TOUs level. These procedures also reflect the internal control mechanisms in terms of authorization and approval, and specific documentation required in each step. Those procedures will be included in the project's operational manual.

Financial reporting

22. The interim financial reports (IFRs) will specify sources and applications of project resources and a statement of investment by project component, reporting the current quarter and the accumulated operations against on-going plans. The reports would include credit proceeds, local funds provided by Prefectures, Municipalities and any other co-financing source, as appropriate, so as to provide information on the project as a whole. Taking into account the considerations made in the accounting section, the interim financial reports and annual financial statements will be prepared and automatically generated from the integrated system. Those reports will be prepared on a quarterly basis and submitted to the Bank within 45 days of quarter end. The reports will be prepared in local currency and US dollars.

23. On the basis of the current structure of components and sub-components, the format and content of the IFRs and the annual financial statements have been agreed with the Bank.

Audit

24. Annual audit reports on project financial statements, including management letter should be submitted to the Bank, within six months of the end of the Borrower's fiscal year (December 31). The audit should be conducted by an independent audit firm acceptable to the Bank and under terms of reference approved by the Bank. Audit cost would be financed out of credit proceeds and selection would follow standard Bank procedures. The scope of the audit would be defined by VMD's and FPS team in agreement with the Bank based on project specific requirements and responding, as appropriate to identified risks. Taking into consideration the decentralized feature for the project implementation, it is recommended that interim visits are required mainly to review internal control issues at the AMDES level, as well as visits to a sample of municipalities.

Audit Report	Due Date
1) Project specific financial statements	June 30
2) Special opinions	
SOE	June 30

FUND FOR SOCIAL AND PRODUCTIVE INVESTMENT (FPS)

25. FPS will be the agency in charge of implementing the project's productive investment component. Likewise the rest of the projects for which FPS undertakes the municipal infrastructure component, FPS subproject cycle will rely on municipalities for execution of subprojects. Under such arrangements, FPS's role will focus on ensuring technical quality of subprojects and compliance with fiduciary requirements. These tasks will be performed through FPS's existing institutional and financial management arrangements, both at central and regional level, strengthening them as needed.

26. Within FPS structure, the Finance Management Unit will assume overall responsibility for financial management tasks, through specialized staff, both at central and regional offices. Although FPS has gained sufficient experience in external financed projects, under different sources of financing –WB, IDB, and others- additional guidance will be required especially at Regional Offices, given staff rotation, and more important the changes that are taking place in terms of policies and procedures. FPS' strengthening action plan provides for staff training and other capacity building efforts.

27. As a result of the FPS Operational Review conducted with support of the Bank, a time-bound action plan (Annex 18) has been agreed to strengthen FPS operational performance, including the internal control environment and mitigating measures to address identified external and internal risks. Key financial managements arrangements are detailed below, indicating, as appropriate, the specific arrangements agreed with the Bank.

Programming and Budget

28. The preparation of the annual program and budget will follow local regulations established by the Ministry of Finance¹, and specific regulations and instructions issued by VIPFE for public investment, and Ministry of Finance and Directorio Unico de Fondos (DUF), as applicable. In addition to the requirements and tools available in SIGMA and SISIN for the recording and control of municipal subprojects; a customized programming module is being developed as part of FPS information system (SAP). This tool will assist FPS in preparing a detailed program and budget allocation at the subproject level, which will also be used for monitoring purposes. On the basis of its former experience, FPS will have to issue specific procedures and guidance for Regional Offices to ensure an efficient and smooth administration of sub-project budget and an adequate control and monitoring of budget execution. While defining those procedures, the following issues will need to be considered in order to allow an adequate budget control: 1) timely preparation of programming, budget and procurement plan, establishing a clear relation among them; 2) proper recording of the approved budget in the

¹ Law No. 2042, Supreme Decree No. 27849 dated November 12, 2004 – Regulations for Budgetary Modification.

financial management system, not only following Government required classification (partidas por objeto del gasto), but also a classification by project component and cost category (as needed); and 3) timely recording of commitments, payments and accruals to allow an adequate budget monitoring and also provide accurate information on project commitments for programming purposes.

29. A key issue to be defined by FPS in the Action Plan is the specific procedures and requirement related to budget modifications at the subproject level, and the interaction with VIPFE, the DUF. Once this is finalized, the Bank would evaluate the proposed arrangements within the framework of Bank-financed projects.

Counterpart funding

30. In relation to counterpart funding provided by the municipal governments, FPS has in place a long-standing arrangement which is acceptable to the Bank. In view of the new financing structure proposed for this project, FPS will have to define and agree on the treatment of counterpart contributions provided by Prefectures. To the extent possible, those procedures will follow similar arrangements to those currently used with municipalities.

Accounting

31. In compliance with Government Accounting Standards, FPS uses the Chart of Accounts established by the Accountant's General Office, followed by SIGMA (Government's integrated financial management system). Being a decentralized entity, FPS is able to issue consolidated general purpose financial statements (balance sheet, and statement of income and expenditures). However, and although SIGMA allows registration at sub-project level, such chart of accounts will need to be complemented with a more functional classification including project components/sub-components and cost categories, as needed. Given the nature of the entity and its information needs, FPS has developed an information system (SAP for its name in Spanish) that allows the recording of every single subproject through out its subproject cycle. The interface developed between SAP and SIGMA allows that each advance certificate (planilla) approved in SAP, automatically generates a record in SIGMA. Following the procedures established in SIGMA, upon completing the required approval and authorization process, payments are executed through the Single Treasury Account (CUT) in local currency. Project transactions are therefore recorded in both systems, SIGMA following the accounting and budgeting classification used by the Government and in SAP, following a more functional classification of project activities by components/subcomponents.

32. On the basis of the recommendations emerging from the Operational Review, FPS is currently working in strengthening its information system (SAP), to ensure that it meets the requirements in terms of internal controls, programming, and financial reporting.

Internal control and internal audit

33. Following the recommendations of the Operational Review, FPS is in the process of reviewing and adjusting, as appropriate, its operational processes and procedures, including fiduciary arrangements –both financial management and procurement- with the main purpose

of strengthening the internal control environment and, at the same time, ensuring an efficient and smooth implementation of subprojects. As part of such process, sub-project cycle has been streamlined, and roles and responsibilities of different parties involved in the implementation of subprojects –municipalities, sectors, Prefectures -through out subproject cycle have been clarified and better defined towards avoiding duplication, and enhance accountability.

34. Key internal control mechanisms and additional mitigating measures to address identified risks have also been discussed and agreed as part of FPS’ institutional strengthening action plan (resulting from the Operational Review). Interim progress of the implementation of key actions will be followed-up towards appraisal, negotiation, and ultimately during project implementation.

35. In accordance with local regulations, the project is also subject to FPS’ Internal Audit Unit, as per the annual audit program defined by this unit approved by the Comptroller’s General Office.

Financial Reporting

36. Taking into account the considerations made in the accounting section, it has been agreed that SAP will also be adjusted to allow the direct issuance of specific interim financial reports and financial statements. Those interim financial reports should specify sources and applications of project resources and a statement of investment by project component, reporting the current quarter and the accumulated operations against ongoing plans. The reports will include credit proceeds, and counterpart contributions –municipal and prefecture - and other sources as required. Although core content of financial reports has been agreed, specific content and format still need to be defined, reviewed and finally developed in the information system. The final format and content of Interim Financial Reports and the annual financial statements have been agreed with the Bank. The IFRs would be prepared on a quarterly basis and submitted to the Bank within 45 days of quarter end.

Audit and External Oversight

37. Annual audit reports on specific project financial statements –including all sources of financing- and corresponding management letter should be submitted to the Bank, within six months of the end of the Borrower’s fiscal year (December 31). The audit will be conducted by an independent audit firm acceptable to the Bank and under terms of reference approved by the Bank. Project audit cost will be financed out of credit proceeds and selection would follow standard Bank procedures. It has been agreed that scope of the audit would include interim visits to review the operation of specific internal control arrangements, as appropriate, especially at the regional level, including on-sites visits to sub-projects on a sample basis.

Audit Report	Due Date
1) Continuing entity financial statements	June 30
2) Project specific financial statements	June 30
3) Special opinions	
4) SOE	June 30
5) Compliance with Operational Manual	June 30

38. In addition to external audit arrangements, FPS will also implement additional mechanism to promote local communities participation in the monitoring of the implementation of sub-projects. To this end, a community book will be kept on-site for communities to record their observations that will be later answered and addressed, as appropriate by FPS Regional Office staff.

39. FPS has agreed to publish on its web-site all contract awards, including the name of the project, name of the company and amount to start before April 30, 2008.

FUNDS FLOW AND DISBURSEMENT ARRANGEMENTS

40. Considering the results of the assessments, the following disbursement methods may be used to withdraw funds from the credit: (a) reimbursement, (b) advance, and (c) direct payment.

41. Under the advance method and to facilitate project implementation, each implementing entity - FPS and Viceministry of Decentralization- will have access to a Designated Account (DA) in US dollars which will be opened and maintained in the Central Bank of Bolivia in the name of the project, for each implementing entity. These accounts would be managed by the Finance Administrative Liaison Unit under the Viceministry of Decentralization and, by FPS, respectively. Therefore, they will have direct access to funds advanced by the Bank to these DAs. Funds deposited into the DAs as advances, would follow Bank's disbursement policies and procedures, as described in the Disbursement Letter and Disbursement Guidelines.

42. Currently the Designated Accounts in the Central Bank of Bolivia are segregated for each operation (i.e credit or Trust Fund) financed with multilateral or donor funds. However, the Bolivian Government has issued a Supreme Decree¹ that establishes the operation of a Single Treasury Account in US dollars (CUT-ME) in the Central Bank of Bolivia. With the establishment of the CUT-ME, the proposal is that credit proceeds are directly deposited in this account, and similar to the CUT in Bolivianos, the CUT-ME would allow the opening of individual Libretas under the name of the project from which they will have direct access to funds advanced by the Bank to be used for project eligible expenditures.

43. Under the arrangement described above for the CUT-ME, it is expected that implementing entities will be able to process payments in US dollars from the Libreta in the CUT-ME when required; however, to process payments in local currency, funds would still need to be transferred from the CUT-ME to the corresponding Libreta en Bolivianos, following the procedure described above.

44. As of the time of this assessment, specific regulations for the operation of the CUT-ME are still being worked out by the Viceministry of Treasury and have not been issued yet by the Ministry of Finance. Therefore, any changes to current arrangements regarding the Designated Account for each implementing entity will be reflected through an amendment to the Disbursement Letter as appropriate in the near future.

¹ Supreme Decree No 29236, dated August 22, 2007.

45. Taking into consideration that both implementing entities use SIGMA and the Single Treasury Account (CUT) in local currency, in compliance with local regulations, a specific Libreta within the CUT in local currency would be exclusively opened for credit funds and it would be used to process payments in local currency, following the established mechanism, which has proved to function efficiently for other projects.

46. In the case of the VMD, nine separate “Libretas” within the CUT in local currency will be opened, one for each Department. Each one of those “Libretas” will be used, to receive i) counterpart contributions from the corresponding Prefecture and participating municipal governments, and ii) transfers from the Designated Account. The amount to be transferred from the DA to the “Libreta”, in local currency will be based on financial programming to process payments.

Disbursements from the WB and supporting documentation for withdrawal applications

Viceministry of Decentralization

47. The ceiling for advances to be made into the DA would be USD1,000,000. The reporting period to document eligible expenditures paid out of the DA is expected to be on a monthly basis.

48. Supporting documentation for documenting project expenditures under advances and reimbursement methods would be records evidencing eligible expenditures (e.g. copies of receipts, invoices) for payments for consultant services against contracts valued at USD100,000 or more for firms, and USD25,000 or more for individuals; for payments for goods against contracts valued at USD200,000. For all other expenditures below these thresholds, supporting documentation for documenting project expenditures will be Statements of Expenditures (SOEs).

49. All consolidated SOEs documentation will be maintained for post-review and audit purposes for up to one year after the final withdrawal from the credit account.

50. Direct Payments supporting documentation will consist of records (e.g.: copies of receipts, supplier/ contractors invoices). The minimum value for applications for direct payments and reimbursements will be USD 100,000.

FPS

51. The ceiling for advances to be made into the DA would be USD 2,000,000. The reporting period to document eligible expenditures paid out of the DA is expected to be on a monthly basis.

52. Supporting documentation for documenting project expenditures under advances and reimbursement methods would be records evidencing eligible expenditures (e.g. copies of receipts, invoices) for payments for consultant services against contracts valued at USD100,000 or more for firms, and USD25,000 or more for individuals; for payments for civil works against contracts valued at USD300,000; for payments for goods against contracts

valued at USD200,000 . For all other expenditures below these thresholds and subprojects supporting documentation for documenting project expenditures will be Statements of Expenditures (SOEs). Customized SOEs would be used for reporting FPS administrative costs.

53. All consolidated SOEs documentation will be maintained for post-review and audit purposes for up to one year after the final withdrawal from the credit account.

54. Direct Payments supporting documentation will consist of records (e.g.: copies of receipts, supplier/ contractors invoices). The minimum value for applications for direct payments and reimbursements will be USD 100,000.

Disbursement of FPS' administrative costs

55. Following the recommendations of the Operational Review, FPS's administrative costs will be disbursed following an output-based disbursement mechanism, which consists of disbursing on the basis of outputs up to 8 percent on the total cost of the sub-project. In the past, a similar mechanism was followed, except that disbursements were based only on payments. However, this mechanism was distorted creating a negative incentive, which would affect the quality of the sub-projects.

56. This 8 percent (which breakdown is presented in Table A. 4.3 of Annex 4 of this PAD) will be disbursed as follows: i) 3.6 percent when the sub-project contract has been signed; ii) 3.6 percent during sub-project execution and on the basis of financial execution; and iii) 0.8 percent when the sub-project has been completed and administratively closed. In addition, FPS will receive a fixed amount (Bs 1,300) for each sub-project that has been evaluated (profile completed) and found non-viable. This arrangement will permit FPS to cover the administrative costs incurred up to the evaluation stage, and it is only applicable to sub-projects that having been evaluated as non-viable, will not be financed with the project.

57. The percentage of 8 percent agreed among FPS, VMD and World Bank has been determined following an analysis of FPS's historical data (2002 – 2006) in terms of administrative costs incurred to attend investment sub-projects. The relation between these costs (administrative costs over investment costs) constitutes FPS' efficiency index. Since 2002 –when FPS was created- the index has improved significantly. The obtained average percentage (around 11 percent) has also been adjusted to reflect the improvements in efficiency that FPS is proposing to achieve in the next years. The defined and agreed percentage of 8 percent over the total cost of the sub-project will be therefore, reviewed periodically.

58. To this end, FPS will prepare customized SOE report detailing: i) the list of sub-projects with non-viable profiles –which will be eliminated from the PDCR's portfolio; ii) the list of sub-projects with contracts signed; iii) the amounts disbursed for each subproject under execution for a defined period of time; iv) the list of sub-projects completed with administrative closing. These reports will be submitted periodically to VMD, which would express conformity on the outputs completed by FPS, per an agreed upon procedure.

Table of Credit Proceeds

<u>Category</u>	<u>Amount of the Credit Allocated (expressed in SDR)</u>	<u>Percentage of Expenditures to be Financed (inclusive of Taxes)</u>
(1) (a) Goods, Training and consultants services under Parts 1.1, 1.2, 1.3 and 1.4 and of the Project;	1,850,000	100%
(b) goods, consultants services and Training under Part 1.5 of the Project	400,000	100%
(2) (a) Subgrants under Part 2.1 of the Project; and	500,000	100% of the cost of services financed by the Subgrants
(b) Subgrants under Part 2.2 of the Project	5,700,000	100% of the cost of goods, works and services financed by the Subgrants
(c) Consultant Services under Part 2.1 of the Project	300,000	100% of the cost of consultant services
(3) (a) Goods, consultants services, Training and Operational Costs under Part 3 of the Project; and	1,900,000	100%
(b) FPS Operating Costs under Part 3.5 of the Project	1,500,000	8% of the total cost of the Investment Subprojects paid in tranches as set forth in the Operational Manual
(4) Refund of Project Preparation Advance	250,000	Amount payable pursuant to Section 2.07 of the General Conditions
(5) Unallocated	400,000	
TOTAL AMOUNT	12,800,000	

SUPERVISION PLAN

59. On the basis of the results of the assessments, identified risks and recommendations of the Operational Review of FPS, project supervision will include desk review of IFRs and annual audited financial statements; and on site visits to be performed on a semi-annual basis during the first two years of the project, both for VMD and FPS. The FM supervision will also include visits to FPS Regional Offices and AMDES. From the third year, supervision would be performed on an annual basis, unless otherwise required.

Annex 8: Procurement Arrangements

BOLIVIA: Second Participatory Rural Investment

A. General

1. Procurement for the proposed project would be carried out in accordance with the World Bank's "Guidelines: Procurement under IBRD Loans and IDA Credits" dated May 2004; and revised in October 2006, "Guidelines: Selection and Employment of Consultants by World Bank Borrowers" dated May 2004 and revised in October 2006, and the provisions stipulated in the Legal Agreement. The various items under different expenditure categories are described below. For each contract to be financed by the Credit, the different procurement methods or consultant selection methods, the need for pre-qualification, estimated costs, prior review requirements, and time frame are agreed between the Borrower and the Bank in the Procurement Plan. The Procurement Plan will be updated at least annually or as required to reflect the actual project implementation needs and improvements in institutional capacity.

2. **Procurement of Works:** Works under this project are those to be implemented as part of the Productive Investment Subprojects only. Procurement of these works will be done as described in the Investment Subprojects section below, and will be done using the Bank's Standard Bidding Documents (SBD) for all International Competitive Bidding (ICB) procurement. For National Competitive Bidding (NCB) or Price Comparison (PC) methods, documents agreed with or satisfactory to the Bank will be used.

3. **Procurement of Goods:** Goods procured under this project would include: vehicles, furniture, computer equipment, and office supplies. The procurement will be done using the Bank's SBD for ICB and SBD agreed with or satisfactory to the Bank for NCB and Request for Quotations (RQ).

4. **Procurement of Non-consulting Services:** Non-consulting services under this project would include: communication campaigns, logistics support for workshops and training (transport, materials and rental facilities), and the services for horizontal exchanges between local actors to disseminate good practices. The procurement of non-consulting services will be done using SBDs agreed with or satisfactory to the Bank.

5. All procurement notices shall be advertised in the project website, the government website, and at least in one local newspaper of national circulation. ICB notices and contract award information shall be advertised in the UN Development Business online (UNDB online) and in the Development Gateway's dgMarket, in accordance with provisions of paragraph 2.60 of the Procurement Guidelines.

6. **Selection of Consultant Firm Services:** Consulting Firm services will be contracted under this project in the following areas of expertise: (i) technical assistance to local and regional agencies, communities and producer groups for the identification, execution, operation and maintenance of investments; (ii) technical assistance to develop the capacities of municipal and prefecture governments and local municipal associations "mancomunidades"; (iii) technical assistance for "campesino" and indigenous communities and producer groups to

ensure subproject designs contemplate local characteristics and stated objectives; (iv) technical assistance to municipal governments in investment maintenance and institutional arrangements for municipal infrastructure; (v) technical assistance for communities and producer groups in O&M of community-level productive investments; (vi) pre-investment studies, business plans, and technical assistance for obtaining financing and implementing complex investments; (vii) studies for widening the project area or the list of eligible investment subprojects; (viii) Project annual auditing; (ix) Project Impact Evaluation.

7. The procurement of consulting firms will be carried out using Bank's standard Request for Proposals (RFP). In addition to consulting firms, Universities or Educational Institutions may be engaged under this project.

8. **Selection of Individual Consultant Services:** Individual consultant services will be contracted for: (i) staffing a National Operating Unit (NOU) and Territorial Operating Units (UOT) both units within VMD; (ii) staffing of FPS national office; and (iii) providing technical assistance to the municipalities for the preparation of pre-investment studies, training, and supervision of the execution of subproject investments.

9. A project website, a government website, and a national newspaper shall be used to advertise expressions of interest as the basis for developing short lists of consulting firms and individual consultants, and to publish information on awarded contracts in accordance with provisions of paragraph 2.28 of the Consultants' Guidelines and as mandated by local legislation. Contracts expected to cost more than USD100,000 shall be advertised in the UNDB online and in dgMarket.

10. **Operating Costs:** Operating costs financed under this project will include: incremental operating costs incurred by the Productive and Social Investment Fund (FPS) in the administration of the Productive Investments component, including travel costs for its staff to carry out supervision of the investment subprojects which includes procurement. These operating costs will be procured using the FPS administrative procedures, which were reviewed and found acceptable to the Bank. These procedures should be included in the Project Operational Manual (POM).

11. **Productive Investment Subprojects:** Proposed subprojects would be submitted by municipalities, communities, and local municipal associations (mancomunidades) to the FPS who would evaluate them following the criteria and selection process established in the Operational Manual. For the selected subprojects, the FPS and the entity that submitted the subproject would sign a sub-grant agreement for the subproject implementation. The subprojects would include: (1) *Transport infrastructure*, such as: (i) upgrading and rehabilitation of communal and municipal roads; (ii) construction of vehicular and pedestrian bridges; and (iii) river and lake transport infrastructure; (2) *Small-scale irrigation* such as: (i) small reservoirs; (ii) irrigation canals; and (iii) surface water collectors;; (3) *Natural resource management*; (4) *Promotion of economic activities*, such as: (i) marketing facilities, (ii) telecommunication and information centers, and (iii) public investments for tourism promotion.

12. The procurement of works, goods and services included in the subprojects would be implemented mainly by municipalities that submitted and prepared the subproject following

procedures consistent with the Bank Guidelines and included in the Operational Manual. The procurement of works under the subprojects will be done using SBDs for NCB and PC agreed with or satisfactory to the Bank. No use of ICB is foreseen. The procurement of goods under the subprojects will be done using SBD agreed with or satisfactory to the Bank for NCB and RQ. The selection of consulting firms will be done using a standard RFP agreed with or satisfactory to the Bank.

13. Community Participation. Community participation in procurement of inputs for subprojects under Component 2 of the project shall follow Bank fiduciary principles as they apply to the scope of the procurement activities involved. Communities would be eligible to receive subgrants to execute small works. This participation would require, prior to engaging in procurement, the communities (i) have legal personality and are well organized and ready to engage themselves directly in the implementation of a subproject; (ii) have satisfactory knowledge of the applicable procurement policies, procedures, methods and sanctions including securing three quotations for local materials; (iii) know minimum quality requirements and specs of small works, goods and services needed in the subproject; (iv) have been trained sufficiently to administer and be responsible in the use of funds put at their disposal; and (v) are aware at all times of how funds are being spent. FPS shall provide the communities with a simple but complete instruction booklet (Paso-a-Paso) that facilitates monitoring and supervision of all procurement in their subprojects by project staff and/or external procurement audits. This booklet shall be part of the project's Operational Manual.

B. Assessment of the agency's capacity to implement procurement

14. This section presents an assessment of the Viceministry of Decentralization (VMD), Productive and Social Investment Fund (FPS) and Ministry of the Presidency (MP) regarding the implementation of the procurement done under the Second Participatory Rural Investment Project, and a proposed action plan to enhance their procurement activities.

15. Legal Aspects. The law that governs Public Sector Procurement (*Normas Básicas del Sistema de Administración de Bienes y Servicios, SABS*), was established by *Decreto Supremo No. 29190*, dated July 11, 2007, and its *Reglamento del Subsistema de Contratación de Bienes y Servicios*, dated August 27, 2007, the law has been recently reviewed, and it applies to all government institutions.

16. The main shortcomings of the Procurement Law includes: (i) multiple exceptions, different regulations and specific cases involved in the various procurement methods, allows efforts to avoid open competition through ICB / NCB; (ii) authorization for government agencies to contract with other government agencies; (iii) an explanation of domestic preference that is in conflict with the text of Annex II of Bank Guidelines; (iv) open competition for the selection of consulting firms instead of short listing; (v) request of bid and performance guarantees for consultants; (vi) reduction of the time to present bids; and (vii) for conflict resolution there is no an Agency involved other than the Agency which bid to review and resolve disputes. This means that bidders will have to go to the Administrative Court, meaning long delays and unknown results.

17. Government agencies should establish two different Evaluation Committees depending of the amount involved. In certain cases, this will mean too many approvals, with an emphasis on formalities and duplications that are not conducive to transparency.

18. At the implementing agencies level the principal problems identified are: (i) in Viceministry of Decentralization (VMD) low staff capacity in Bank's procurement procedures, poor procurement planning and internal control, the fractioning of contracts due to budget constraints, late payment to contractors, and inefficient practices, fostered by the regulatory weakness; (ii) in FPS there is only one procurement specialist, with experience in Bank procurement procedures who works at the central office and none at the departmental offices; and (iii) in Ministry of Presidency (MP) low staff capacity in Bank's procurement procedures.

19. In view of the deficiencies of the national legal framework for procurement, all project procurement should be made following Bank Guidelines and agreed procedures.

20. **Organization and Staffing.** The VMD will coordinate project implementation, and will manage the implementation of Components 1 and 3 of the Project through a National Operating Unit (NOU), to be established.

21. The FPS will manage implementation of Component 2 and subcomponent 3.6 under the overall coordination of the VMD.

22. The procurement activities for Institutional Strengthening (Component 1) and for Project Management (Component 3) will be implemented in part by the VMD and in part by the municipalities, under agreements with VMD and with technical assistance provided by the AMDES.

23. For carrying out procurement activities, the NOU will coordinate with the "*Enlace Administrativo*". This unit, already in existence within the VMD, currently has seven staff members: an Administrative-Financial Liaison Unit Chief, a Financial Specialist, an Accountant, a Human Resources Specialist, an "Activos Fijos" specialist, an Administrative Assistant (small purchases), an Inventory assistant (*Responsable de Almacenes*), and a Receptionist, all which are permanent staff members paid by the VMD. This team will be supported by the hiring of 5 additional specialists to carry out the administrative functions of the project for VMD: an Administrative-Financial Specialist, a Procurement Specialist, a Disbursement and Conciliation Specialist, a Legal Assistant and an Accountant. These new staff will be contracted under TORs agreed and satisfactory to the Bank.

24. The responsibilities for implementing project procurement by this unit are: (i) prepare and execute its own procurement, coordinate implementation, review, and supervise related activities carried out by AMDES, and follow-up the annual or bi-annual Procurement Plans; (ii) prepare bidding documents and coordinate preparation of terms of reference and technical specifications; (iii) participate in the Evaluation Committees, prepare bid evaluation reports, coordinate contract awards and coordinate the preparation of contracts; (iv) establish and keep up-to-date the contract administration system to include contracts from all executing agencies; (v) design a filing system to keep procurement records; (vi) prepare requests to the Bank for no

objection; (vii) prepare and deliver a procurement training action plan; and (viii) keep an information system for complaints and their resolutions.

25. The procurement activities for Productive Investment Subprojects (Component 2) will be executed by the municipalities, communities and municipal associations (“mancomunidades”) under sub-grant agreements with the FPS.

26. FPS will assign within its structure a group to manage the project procurement at the national and departmental levels, and will evaluate the municipalities involved in the project to identify their capacity and their level of risk. Based on the results of the evaluation FPS will prepare and deliver a training plan, and a supervision plan for the implementation of each subproject. The scope of FPS’s review of municipal procurement and field supervision will be based on the municipal level of risk. FPS will incorporate in its project management system a module for contract administration that will start with the procurement plan and cover its implementation. The system will be functioning before the start date of the project. It will also establish, monitor, and supervise the filing system at all levels. Finally, FPS will send information to VMD on the assigned dates related to the procurement plan and its implementation, to be consolidated by VMD and included in the reports to the Bank.

27. An assessment of the capacity of the Implementing Agencies--MP (for procurement above Bs. 500,000) and VMD and FPS--to implement procurement actions for the project was carried out in April 2007 and finalized in October 2007. The assessment reviewed the proposed organizational structure for implementing the project that will be located within VMD, and the proposed organizational structure of FPS, and the interaction among the project staff (VMD) responsible for project procurement, the relevant central units of the MP for administration and finance and FPS.

28. The key issues and risks concerning project procurement have been identified and include: (i) an organizational structure at the VMD (NOU and the TOUs), and the proposed structure within FPS to be implemented before effectiveness; (ii) the risk of not knowing upfront the qualifications and experience of the staff that will work in procurement in the different agencies and their capacity; (iii) VMD’s *Enlace Administrativo* staff lack experience in implementing substantive procurement following Bank’s procedures; (iv) the uncertain role of “mancomunidades” in procurement activities; (v) the large number of procurement processes that will make effective supervision of the procurement procedures difficult; (vi) lack of a Control System within the VMD to monitor project implementation, and (vii) lack of an adequate system and procedures for filing procurement documents.

29. The overall project risk for procurement is HIGH. Below is an Action Plan designed to mitigate the risks and to improve the agency’s implementation capacity.

Action	By whom	By when	Bank to review and comment
To have the NOU and the Liaison Unit established and properly staffed and the FPS structure and functions to supervise / execute procurement	VMD / FPS	Effectiveness	To review and approve TORs for key staff
NOU and FPS staff to include Procurement Specialists and space for the files. Define	VMD / FPS	Effectiveness	To review TOR and process selection

functions, organization, and relationship among NOU, technical staff, and FPS.			
FPS to evaluate the municipalities included in the project.	VMD / FPS	Effectiveness	Tables to classify municipalities according to their capacity.
To define the procurement work flow including approvers and timetable (mapping of all steps), VMD and FPS	Consultant appointed by the VMD / FPS	Negotiations	Procurement process and functions to be included in Operational Manual
To set-up the Special Bidding Committee (<i>Comité de Calificación</i>) and its functions.	Consultant appointed by the VMD / FPS	Before project starts	Draft of the functions and set-up to be presented in Operational Manual
VMD and FPS to submit training plan to AMDES, municipalities and “mancomunidades”.	VMD / FPS	Effectiveness	Plan, schedule and functions to be included in the Operational Manual.
Finalize the procurement section of the Operational Manual, with detailed instruction on: (i) approval and processing of procurement under the project and subprojects.; (ii) definition of a plan for a periodic supervision and prior review by: VMD and FPS of the procurement processes and subprojects respectively, including a model for the supervision reports, procurement ex-post review; and (iii) specific section to include instructions and details of the process and responsibilities for filing procurement documents	VMD / FPS	Effectiveness	Draft of the Operational Manual
Prepare a General Procurement Plan with some details for Components 1, 2, and 3, and a procurement plan (For the first 12/18 months). The procurement plan would include a contract for implementing a system to monitor implementation of the subprojects.	VMD	Negotiations	Plan
Prepare the General Procurement Notice	VMD	Effectiveness	Depending of the General Procurement plan
Prepare standard bidding documents for NCB, Shopping and selection of consultants, and Standard formats for bid evaluation.	VMD	Effectiveness	Documents as part of the draft Operational Manual
To design / include procurement module in the current VMD and FPS project MIS system, to monitor procurement plans, contract implementation and produce reports. Information about the use of this system and responsibilities of transferring information should be in the Operational Manual.	VMD / FPS	Effectiveness	Draft of the proposed system or modification in Operational Manual
Include in Annex 4 of the Loan Agreement: (i) the Special Provisions agreed for Bolivia; (ii) a requirement for the use of standard bidding documents agreed in advance with the Bank , (iii) all project procurement will be made following Bank Guidelines and agreed	Bank	Negotiations	Final Text

procedures			
Invitations for all contracts, expressions of interest and contract award will be advertised through a government and project web page, and in a local newspaper. For consultant services above \$100,000, the call for bids, the expressions of interest and contract award information should be also published in the UNDB and dgMarket.	NOU	During implementation	Invitations should follow the Bank's Standard format
Submit to the Bank Procurement Audit reports carried out by Independent Auditor	NOU	Six months after completion each year	Report

30. Special Provisions

- A. In addition to and without limitation on any other provision set forth in this Schedule or the Procurement Guidelines, the following rules shall govern all procurement of goods and works under NCB:
1. A merit point system shall not be used in the pre-qualification of bids.
 2. The award of goods and works contracts shall be based exclusively on price and, whenever appropriate, shall also take into account factors similar to those referred to in paragraph 2.51 of the Guidelines, provided, however, that the bid evaluation shall always be based on factors that can be quantified objectively, and the procedure for such quantification shall be disclosed in the invitation to bid.
 3. The Borrower shall open all bids at the stipulated time and place in accordance with a procedure satisfactory to the Bank
 4. The Borrower shall use a single envelope procedure.
 5. Whenever there is a discrepancy between the amounts in figures and in words of a bid, the amounts in words shall govern.
 6. There will be no prescribed minimum number of bids submitted for a contract to be subsequently awarded.
 7. Foreign bidders shall be allowed to participate.
 8. Foreign bidders shall not be required to legalize any documentation related to their bids with Bolivian authorities as a prerequisite for bidding.
 9. No margin of preference shall be granted for any particular category of bidders.
 10. In the event that a bidder whose bid was evaluated as the bid with the lowest evaluated price withdraws its bid, the contract may be awarded to the second lowest responsive evaluated bid.
 11. Foreign bidders shall not, as a condition for submitting bids, be required to enter into a joint venture agreement with local bidders.
 12. No other procurement rules or regulations of the Borrower's agencies or of any state-owned entity shall apply without the prior review and consent of the Association.
 13. Government-owned enterprises may participate in bids only if they follow paragraph 1.8 (c) of the Guidelines.

B. In addition to and without limitation on any other provisions set forth in this Schedule or the Consultant Guidelines, the following rules shall govern all procurement of consultant services referred to in this Schedule:

1. As a condition for participating in the selection process, foreign consultants shall not be required to enter into a joint venture agreement with local consultants, unless the conditions stated in paragraph 1.12 of the Consultant Guidelines are met.
2. As a condition for participating in the selection process, foreign consultants shall not be required to legalize their proposals or any documentation related to such proposals with Bolivian authorities.
3. Foreign consultants shall not be required to be registered in the Borrower's National Registry of Consultants (*Registro Nacional de Consultoría*).
4. Consultants (firms and individuals) shall not be required to present Bid and Performance securities as a condition to present proposals and sign a contract.

C. Procurement Plan

31. The VMD will develop a procurement plan for the implementation of Components 1 and 3 of the Project. This plan would be discussed and agreed between the Borrower and the Project Team during negotiations and be available at their offices. It will also be available in the project's database and in the Bank's external website. The Procurement Plan will be updated in agreement with the Project Team semi-annually or as required by either the Borrower or the Bank to reflect the actual project implementation needs and improvements in institutional capacity. VMD will consolidate the plan for all Components to submit it to the Bank.

32. The FPS will develop a procurement plan for the subprojects (Component 2) on the basis of the sub-projects submitted by the municipalities, communities and "mancomunidades". Since this component will be implemented on a demand-driven basis, this plan will cover a period of six months only with the exception of the first plan that will cover the period from project start to December 31, 2008. FPS should send before the end of each year and before the end of the first semester each year the plan to VMD to consolidate all information to be sent to the Bank.

D. Frequency of Procurement Supervision

33. In addition to the prior review supervision to be carried out by Bank offices, the capacity assessment of the Implementing Agency has recommended semi-annual supervision missions to visit the field, including the carrying out of post review of procurement actions and procurement audits.

E. Details of the Procurement Arrangements Involving International Competition

1. Goods, Works, and Non-Consulting Services

(a) List of contract packages to be procured following ICB and direct contracting:

1	2	3	4	5	6	7	8	9
Ref.	Contract	Estimated	Procurement	P-Q	Domestic	Review by	Expected	Comments

No.	(Description)	Cost	Method		Preference (yes/no)	Bank (Prior/Post)	Bid- Opening Date	
None	None	None	None	None	None	None	None	None

(b) ICB contracts for goods estimated to cost above US\$200,000 will be subject to prior review. No ICB contracts for works are foreseen. The first two NCB contracts for works and goods and the first two contracts for Shopping for works and goods each year will be subject to prior review by the Bank. All direct contracting will be subject to prior review by the Bank.

2. Consulting Services

(a) List of consulting assignments with short-list of international firms.

1	2	3	4	5	6	7
Ref. No.	Description of Assignment	Estimated Cost	Selection Method	Review by Bank (Prior/Post)	Expected Proposals Submission Date	Comments
	None	None	None	None	None	None

(b) Consultancy services (firms) costing above US\$100,000 will be subject to prior review by the Bank. Consultant services (individuals) costing above US\$25,000 will be subject to prior review by the Bank. All single source selection of consultants will be subject to prior review by the Bank.

(c) Short lists composed entirely of national consultants: Services estimated to cost less than US\$100,000 equivalent per contract may be composed entirely of national consultants in accordance with the provisions of paragraph 2.7 of the Consultant Guidelines.

F. Thresholds for Procurement Methods and Prior Review

34. Thresholds recommended for the use of the procurement methods specified in the project procurement plan are identified in the table below, which also establishes thresholds for prior review. The agreed upon procurement plan will determine which contracts will be subject to prior Bank review, and following the same thresholds the contracts subject to prior VMD and FPS review.

Expenditure Category	Contract Value (Threshold) (US\$000)	Procurement Method	Bank Prior Review
1. Works			
	= > 3,000	ICB	All
	3,000 < 250	NCB	First two each year and twice-yearly of procurement plan, if required.

	< 250	Shopping (Price Comparison)	First two each year and twice-yearly of procurement plan, if required.
2. Goods			
	= > 200	ICB	All
	200 < 50	NCB	First two each year and twice-yearly of procurement plan, if required.
	< 50	Shopping (Price Comparison)	First two each year and twice-yearly procurement plan, if required.
3. Consultant Services			
Firms	= > 100	QCBS	Contracts = > 100 (including TOR, Short list, technical and final combined evaluation reports, and draft contracts)
	< 100	QCBS, CQ, LCS, and SSS	TOR and all contracts awarded under SSS
Individuals			
	= > 25	CI	TOR, CVs and terms and conditions of contract and all contracts awarded under SSS
	< 25	CI and SSS	TOR only and all contracts awarded under SSS

Note: ICB = International Competitive Bidding
 QCBS = Quality- and Cost-Based Selection
 FBS = Fixed Budget Selection
 CQS = Selection Based on Consultants' Qualifications
 SSS = Sole Source Selection

NCB = National Competitive Bidding
 QBS = Quality-Based Selection
 LCS = Least-Cost Selection

Annex 9: Economic and Financial Analysis
BOLIVIA: Second Participatory Rural Investment

Project Scenario	Indicator	Present Value of Flows	
		Economic Analysis	Financial Analysis
1. Expected Scenario with proper local govt. O&M	Net Benefits	US\$5.0 million	US\$11.0 million
	IRR	14%	13%
2. Scenario if there is no local govt. O&M	Net Benefits	US\$(20.0 million)	US\$(18.0 million)
	IRR	3%	2%
3. Scenario with some local govt. O&M	Net Benefits	US\$(6.0 million)	US\$(1.0) million
	IRR	10%	10%

1. In calculating the potential benefits of the project three scenarios were analyzed. The first scenario is the expected scenario for the project. It represents likely impacts if operation and maintenance costs of roads and bridges were properly covered by responsible institutions, and failure factors of irrigation systems and other productive assets were properly addressed. The second scenario represents the likely impacts if none of such costs were covered and failure factors were not addressed. A third scenario represents an intermediate situation, which was the situation during the PRI II project (according to the impact evaluation, around one half of local maintenance entities were operative at the end of the project). For the current project, however, it is expected that focus on O&M and on improving the design and follow-up of productive subprojects will result in the first scenario holding. Thus, the expected Internal Rate of Return (IRR) for the project is 14 percent (economic analysis) and 13 percent (financial analysis). In the worst case scenario, where O&M and subproject quality are similar to the previous project, the IRR for the project would drop to 10 percent (economic analysis) and 10 percent (financial analysis).

Methodology

2. To complete the financial and economic analysis for the project, a cost/benefit analysis was performed for major project investments, grouped in subproject categories, namely: transport infrastructure such as road improvements and bridges; water management infrastructure such as micro-irrigation systems and water retention works; and sustainable natural resource management such as agro-forestry support and improved pastures¹. Estimation of net benefits and costs followed different methodologies depending on the expected impact of subproject investments. Representative subprojects were selected and analyzed for various subproject categories. Representative subprojects for transport infrastructure were taken from transport subprojects of the previous project (documented in ICR). Representative subprojects for water management infrastructure were taken from water management subprojects of the previous project (documented in ICR) and the National Program for Irrigation (funded by IADB and documented in an external evaluation report). Weighted averages of subproject results were calculated based on likely relative frequencies of subproject categories. Aggregate net benefit flows were obtained based on projections of number of subprojects and beneficiary population. The overall project Net Present Value (NPV) and Internal Rate of Return (IRR) were

¹ Foreseen subprojects for promotion of economic activities were not included in this analysis since their financial or economic benefits have not been quantified (valued).

calculated considering aggregate net benefit flows and other project costs, such as institutional strengthening and project management. The financial analysis was based on private prices (market values), whereas the economic analysis was based on social prices (economic values). Such economic values were calculated according to standard SNIP shadow prices. The US Dollar-Boliviano exchange rate used in the analysis was: US\$1=Bs8.

3. The incremental economic and financial benefits were estimated considering various factors. In subprojects for improving roads and building bridges, reduction of time and transportation costs of families and transport-sector beneficiaries were estimated. In subprojects for small-scale irrigation and sustainable natural resource management, incremental production value of beneficiary families was estimated. The incremental costs were estimated considering subproject investments, operation and maintenance. The annual incremental cost and revenue flows have been discounted at a rate of 12.7 percent per year for the economic analysis and 10.1 percent for the financial analysis. A common impact projection period of 10 years was chosen, considering the potential life or duration of major investments.

4. For this ex-ante evaluation, nine representative subprojects were selected and analyzed, specifically: three transport infrastructure subprojects; three water management infrastructure subprojects; and three subprojects to increase poor family assets. Their investment costs reflect average investment costs (within the corresponding subproject category) obtained during the previous project. Major features and expected financial/economic results of representative subprojects are summarized below.

Transport Infrastructure

5. **Community road improvement.** The analysis of community road improvements is based on the presentation of data regarding an average of such subprojects from the PRI II project, as documented in the ICR). The subproject involved spot improvement (*puntos y tramos*) of 18 kilometers of poorly maintained community roads, which benefit 369 families of rural communities in Potosi. As shown in Tables 1.1-1.2, total investment cost was US\$65,717 or US\$ 3,760/kilometer. Increased annual maintenance costs would be US\$11,860 or US\$680/km, from year 1 onwards (46 percent input costs and 54 percent labor costs). Increased annual labor use would be around 2,550 person/days or 7 person/days per family. Incremental benefits were estimated considering cost reduction for passing vehicles of US\$2.6/month and time savings for vehicle passengers of 1.0 person/hour per month. If maintenance costs are fully covered: financial NPV and IRR would be US\$34,000 or US\$90/family and 22 percent; and economic NPV and IRR would be US\$29,000 or US\$80/family and 23 percent. If maintenance costs are partially covered (community labor only), subproject life would be reduced to 5 years and consequently: financial NPV and IRR would be US\$1,500 or US\$4/family and 11 percent; and economic NPV and IRR would be US\$(1,100) or US\$(3)/family and 12 percent (see Tables 2.1-2.2).

6. **Vehicular bridge construction.** The analysis of vehicular bridge construction is based on the presentation of data regarding an average of such subprojects from the PRI II project, as documented in the ICR. The subproject involved the construction of a vehicular bridge 32 meters long, which benefit 458 families of rural communities in Potosi. As shown in Tables 1.1-1.2, total investment cost was US\$70,656 or US\$2,200/meter. Increased annual maintenance costs would be US\$2,660 or US\$80/meter, from year 1 onwards (37 percent input

costs and 63 percent labor costs). Increased annual labour use would be around 670 person/days or 1 person/day per family. Incremental benefits were estimated considering cost reduction for passing vehicles of US\$1.3/month and time savings for vehicle passengers of 0.7 person/hours per month. If maintenance costs are fully covered: financial NPV and IRR would be US\$60,400 or US\$130/family and 29 percent; and economic NPV and IRR would be US\$46,200 or US\$100/family and 28 percent. If maintenance costs are partially covered (community labor only), subproject life would be reduced to 5 years and consequently: financial NPV and IRR would be US\$140 or US\$0.3/family and 10 percent; and economic NPV and IRR would be US\$(4,600) or US\$(10)/family and 9 percent (see Tables 2.1-2.2).

7. Pedestrian bridge construction. The analysis of pedestrian bridge construction is based on the presentation of data regarding an average of such subprojects from the PRI II project, as documented in the ICR. The subproject involved the construction of a pedestrian bridge 120 meters long, which benefit 62 families of a remote area in Santa Cruz de la Sierra. As shown in Tables 1.1-1.2, total investment cost was US\$86,434 or US\$720/meter. Increased annual maintenance costs would be US\$1,200 or US\$10/meter, from year 1 onwards (34 percent input costs and 66 percent labor costs). Increased annual labor use would be around 310 person/days or 5 person/day per family. Incremental benefits were estimated considering time savings for bridge users of 24 person/hours per month. If maintenance costs are fully covered: financial NPV and IRR would be US\$22,000 or US\$360/family and 16 percent; and economic NPV and IRR would be US\$12,500 or US\$200/family and 17 percent. If maintenance costs are partially covered (community labor only), subproject life would be reduced to 5 years and consequently: financial NPV and IRR would be US\$(25,300) or US\$(410)/family and negative 6 percent; and economic NPV and IRR would be US\$(26,700) or US\$(430)/family and negative 5 percent (see Tables 2.1-2.2).

Water Management Infrastructure

8. Small-scale irrigation system with direct intake. The analysis of small-scale irrigation development with direct intake is based on the presentation of data regarding an average of such subprojects from the PRI II project, as documented in the ICR. The subproject improved an irrigation system for 31 hectares in a rural community of Cochabamba. Major investments included: direct water intake from water stream, piping and distribution system for irrigated area. As shown in Tables 1.1-1.2, total investment cost was US\$58,050 or US\$1880/ha (including environmental impact mitigation measures). Increased annual production and maintenance costs were US\$2,510 or US\$80/ha, from year 1 onwards. Increased annual labor use would be around 270 person/days or 5 person/days per family. Incremental net benefits were estimated considering the increased net value of production (increased on-farm consumption and market sales, minus increased in-kind and/or paid inputs and labor) of 52 families. Expected financial NPV and IRR would be US\$67,100 or US\$1,300/family and 33 percent; whereas economic NPV and IRR would be US\$55,900 or US\$1,100/family and 35 percent. In previous project, average failure rate of micro-irrigation and production support subprojects was around 22 percent, thus average financial NPV and IRR would be US\$40,700 and 25 percent; and average economic NPV and IRR would be US\$32,900 and 26 percent (see Tables 2.1-2.2). These average returns are higher than those obtained by subprojects financed through the National Irrigation Program (with IADB funding) – a major sector specific investment operation at national level. This was essentially possible since the previous project

selected the most promising proposals from a portfolio offered by the National Irrigation Program.

9. Small-scale irrigation system with filtration gallery. The analysis of small-scale irrigation development with filtration gallery is based on data regarding subprojects from the National Program for Irrigation funded by IADB. The subproject improved an irrigation system for 45 hectares in a rural community of Oruro. Major investments included: filtration gallery, piping and distribution system for irrigated area. As shown in Tables 1.1-1.2, total investment cost was US\$79,800 or US\$1,770/ha (including environmental impact mitigation measures). Increased annual production and maintenance costs were US\$7,400 or US\$170/ha, from year 1 onwards. Increased annual labor use would be around 710 person/days or 17 person/days per family. Incremental net benefits were estimated considering the increased net value of production (increased on-farm consumption and market sales, minus increased in-kind and/or paid inputs and labor) of 42 families. Expected financial NPV and IRR would be US\$(410) or US\$(10)/family and 10 percent; whereas economic NPV and IRR would be US\$(3,960) or US\$(90)/family and 11 percent.

10. Water retention works. The analysis of water retention works is based on data regarding such subprojects from the PRI II project, as documented in the ICR. The subproject implemented three water retention works (*Atajados*) to collect water for supplementary irrigation of 7.5 hectares in a rural community of Chuquisaca. Major investments included: absorption chamber, soil movement and compacting, distribution chamber; clay incorporation and compacting and distribution piping for irrigated area. As shown in Tables 1.1-1.2, total investment cost was US\$26,250 or US\$3,490/ha (including environmental impact mitigation measures). Increased annual production and maintenance costs were US\$6,923 or US\$920/ha, from year 1 onwards. Increased annual labor use would be around 990 person/days or 33 person/days per family. Incremental net benefits were estimated considering the increased net value of production (increased on-farm consumption and market sales, minus increased in-kind and/or paid inputs and labor) of 30 families. Expected financial NPV and IRR would be US\$24,100 or US\$800/family and 31 percent; whereas economic NPV and IRR would be US\$19,900 or US\$660/family and 33 percent. With a 22 percent failure rate, the average financial NPV and IRR would be US\$13,600 and 22 percent; and average economic NPV and IRR would be US\$10,700 and 24 percent (see Tables 2.1-2.2).

Sustainable Natural Resource Management

11. Nursery for agroforestry. The analysis is based on data regarding natural resource management subprojects from the PRI II project. The subproject implemented a forest and fruit plant nursery to provide good quality plants for 200 families of neighboring rural communities in Cochabamba. Major investments included: building materials for nursery, vegetative materials (quality forest and fruit seeds), complementary supplies-materials and technical assistance for nursery operation. As shown in Tables 1.1-1.2, total investment cost was US\$17,637 or US\$90/family (including environmental impact mitigation measures). Increased annual production and maintenance costs of improved plantations were US\$1,360 or US\$7/family, from year 1 onwards. Increased annual labor use would be around 180 person/days or one person/day per family. Incremental net benefits were estimated considering the increased net value of enhanced agro-forestry production (increased on-farm consumption and market sales, minus increased in-kind and/or paid inputs and labor). Indirect benefits

include increased vegetable coverage, reduced water runoff and soil erosion. Expected financial NPV and IRR would be US\$10,600 or US\$50/family and 21 percent; whereas economic NPV and IRR would be US\$7,900 or US\$40/family and 22 percent. With a 22 percent failure rate, the average financial NPV and IRR would be US\$4,800 and 15 percent; and average economic NPV and IRR would be US\$2,900 and 16 percent (see Tables 2.1-2.2).

12. Pasture improvement. The analysis is based on data regarding natural resource management subprojects from the PRI II project. The subproject improved soil coverage, forage production capacity and management of 67 ha of pastures (owned by 67 families) in a rural community of Oruro. Major investments included: perimeter fences, seeding of improved pastures, technical assistance and training on pasture management practices. As shown in Tables 1.1-1.2, total investment cost was US\$21,328 or US\$320/ha (including environmental impact mitigation measures). Increased annual production and maintenance costs of improved pastures were US\$15,340 or US\$230/ha, from year 1 onwards. Increased annual labour use would be around 2,650 person/days or 40 person/days per family. Incremental net benefits were estimated considering the increased net value of pasture production (increased on-farm consumption and market sales, minus increased in-kind and/or paid inputs and labor). Expected financial NPV and IRR would be US\$7,300 or US\$110/family and 27 percent; whereas economic NPV and IRR would be US\$6,700 or US\$100/family and 30 percent. With a 22 percent failure rate, the average financial NPV and IRR would be US\$1,400 and 13 percent; and average economic NPV and IRR would be US\$1,200 and 16 percent (see Tables 2.1-2.2).

Aggregate Project Projections

13. As mentioned above, three scenarios were analyzed. The relative frequency of subproject categories and share of other project costs were common features of all scenarios. In line with previous project: around 28 percent of subprojects and resource allocated would involve road improvements; around 26 percent would involve building of vehicular bridges; around 26 percent, small-scale irrigation and water harvesting; and around 13 percent, sustainable natural resource management. If total productive investments amount to US\$57 million, other project costs (namely pre-investment support, institutional strengthening and project management) amount to US\$24 million and average investment costs are US\$62,600/subproject or US\$240/family, the average share of other project costs would be US\$26,700/subproject or US\$100/family. Thus overall average investment costs would be US\$89,300/subproject or US\$340/family.

14. In the first scenario, reflecting good operation and maintenance of all transport infrastructure subprojects and negligible failure of irrigation and natural resource management subprojects, average financial NPV and IRR would be around US\$36,700/subproject or US\$140/family and 23 percent – US\$12,400/subproject or US\$50/family and 13 percent with other project costs. Average economic NPV and IRR would be US\$28,800/subproject or US\$110/family and 24 percent – US\$5,100/subproject or US\$20/family and 14 percent with other project costs. Provided that 900 subprojects would be implemented, aggregate financial and economic NPV would be US\$11 million and US\$5 million respectively for this scenario.

15. In the second scenario, reflecting poor operation and maintenance of all transport infrastructure subprojects and irrigation and natural resource management subproject failure

rate of 22 percent, average financial NPV and IRR would be US\$4,700/subproject or US\$20/family and 13 percent – US\$(19,500)/subproject or US\$(70)/family and 2 percent with other project costs. Average economic NPV and IRR would be US\$1,800/subproject or US\$7/family and 14 percent – US\$(22,600)/subproject or US\$(90)/family and 3 percent with other project costs. Provided that 900 subprojects would be implemented, aggregate financial and economic NPV would be US\$(18) million and US\$(20) million respectively for this scenario.

16. In the third scenario, reflecting poor operation and maintenance of one out of two transport infrastructure subprojects and irrigation and natural resource management subproject failure rate of 22 percent – perceived situation in previous project – average financial NPV and IRR would be US\$22,200/subproject or US\$90/family and 20 percent – US\$(1,400)/subproject or practically zero/family and 10 percent with other project costs. Average economic NPV and IRR would be US\$16,700/subproject or US\$60/family and 20 percent –US\$(6,900)/subproject or US\$(30)/family and 10 percent with other project costs. Provided that 900 subprojects would be implemented, aggregate financial and economic NPV would be US\$(1) and US\$(6) million respectively for this scenario.

17. When comparing first and third scenario, programmed project improvements show increased potential benefits relative to the previous project. Such incremental benefits are: increased financial NPV of US\$13,800/subproject or US\$50/family; increased economic NPV of US\$12,000/subproject or US\$50/family; and increased financial and economic IRR by 3 and 4 percentage points respectively, which in turn represent around a 30 percent increase of net benefits.

Table 1.1 Financial and Economic Analysis - Summary Results of Representative Subprojects - Expected Scenario

Main Activity	Department	Expected Subproject Frequency	Scale		Families	Investments		Annual Flows (Private Costs)			U/Labour Equiv. (p/days)	Financial		Economic			
			Unit	Quantity		Assets (US\$)	Labour (US\$)	Total Investment (US\$)	Benefits (US\$)	Goods (US\$)		Labour (US\$)	Net Benefit (US\$)	NPV over 10 Years (US\$)	IRR over 10 Years (%)	NPV over 10 Years (US\$)	IRR over 10 Years (%)
		(%)															
Feeder Road Improvement	Potosi	28%	Km	17.5	369	59,673	6,044	65,717	29,091	5,480	6,380	17,231	2,552	34,066	22%	28,988	23%
Vehicular Bridge	Potosi	26%	Meter	32.0	458	56,525	14,131	70,656	25,435	1,000	1,664	22,771	666	60,429	29%	46,190	28%
Pedestrian Bridge	Santa Cruz	6%	Meter	120.0	62	58,826	27,608	86,434	19,294	410	790	18,094	316	22,042	16%	12,542	17%
Micro-Irrigation - Direct Intake	Cochabamba	13%	Ha	30.8	52	38,529	19,520	58,048	24,700	1,840	669	22,191	268	67,094	33%	55,893	35%
Micro-Irrigation - Filtration Gallery	Oruro	13%	Ha	45.0	42	65,413	14,431	79,844	21,445	5,655	1,773	14,017	709	(409)	10%	(3,965)	11%
Water Retention Works	Chuquisaca	1%	M³	270.0	30	21,450	4,800	26,250	15,551	1,984	4,939	8,629	988	20,549	26%	16,524	28%
Nursery for Agro-Forestry	Cochabamba	8%	Ha	7.6	200	14,573	3,064	17,637	7,936	429	930	6,577	186	10,629	21%	7,929	22%
Pasture Improvement	Oruro	5%	Ha	67.0	67	19,635	1,693	21,328	24,623	2,077	13,266	9,280	2,653	7,287	27%	6,666	30%
Weighted Average		100%			265	50,809	11,814	62,623	23,937	2,951	3,371	17,614	1,191	36,662	23%	28,762	24%
Other Project Costs								26,667									
Weighted Average with other project costs								89,290	23,937	2,951	3,371	17,614	1,191	12,441	13%	5,101	14%

Table 1.2 Financial and Economic Analysis - Summary Results for Families Involved in Representative Subprojects - Expected Scenario

Main Activity	Department	Benefits		Assets (US\$)	Investments		Annual Flows (Private Costs)			Financial		Economic	
		Type	Unit	Quantity	Labour (US\$)	Total Investment (US\$)	Benefits (US\$)	Goods (US\$)	Labour (US\$)	Net Benefit (US\$)	U/Labour Equiv. (p/days)	NPV over 10 Years (US\$)	IRR over 10 Years (%)
Feeder Road Improvement	Potosi	Travel time saved	Person/hr/month	1.00	162	178	79	15	17	47	7	92	22%
Vehicular Bridge	Potosi	Travel time saved	Person/hr/month	0.67	123	154	56	2	4	50	1	132	29%
Pedestrian Bridge	Santa Cruz	Travel time saved	Person/hr/month	24.00	949	1,394	311	7	13	292	5	356	16%
Micro-Irrigation - Direct Intake	Cochabamba	Increased area	Ha/family	0.59	741	1,116	475	35	13	427	5	1,290	33%
Micro-Irrigation - Filtration Gallery	Oruro	Increased area	Ha/family	0.36	1,557	2,661	715	189	59	467	24	(10)	10%
Water Retention Works	Chuquisaca	Increased area	Ha/family	0.25	715	875	518	66	165	288	33	685	26%
Nursery for Agro-Forestry	Cochabamba	Inc. fruit production	Ton/year/family	0.19	73	88	40	2	5	33	1	53	21%
Pasture Improvement	Oruro	Increased area	Ha/family	1.00	293	318	368	31	198	139	40	109	27%
Weighted Average					192	237	90	11	13	67	4	138	23%
Other Project Costs						101							
Weighted Average with other project costs						337	90	11	13	67	4	47	13%

Table 2.1 Financial and Economic Analysis - Summary Results of Representative Subprojects - Low Scenario

Main Activity	Department	Expected Subproject Frequency	Scale		Families	Investments		Annual Flows (Private Costs)			Financial		Economic				
			Unit	Quantity		Assets (US\$)	Labour (US\$)	Total Investment (US\$)	Benefits (US\$)	Goods (US\$)	Labour (US\$)	Net Benefit (US\$)	U/Labour Equiv. (p/days)	NPV over 10 Years (US\$)	IRR over 10 Years (%)	NPV over 10 Years (US\$)	IRR over 10 Years (%)
		(%)				(US\$)	(US\$)	(US\$)	(US\$)	(US\$)	(US\$)	(%)	(US\$)	(%)	(US\$)	(%)	
Feeder Road Improvement	Potosi	28%	Km	17.5	369	59,673	6,044	65,717	29,091	5,480	6,380	17,231	2,552	1,455	11%	(1,120)	12%
Vehicular Bridge	Potosi	26%	Meter	32.0	458	56,525	14,131	70,656	25,435	1,000	1,664	22,771	666	144	10%	(4,585)	9%
Pedestrian Bridge	Santa Cruz	6%	Meter	120.0	62	58,826	27,608	86,434	19,294	410	790	18,094	316	(25,346)	(6%)	(26,739)	(5%)
Micro-Irrigation - Direct Intake	Cochabamba	13%	Ha	30.8	52	38,529	19,520	58,048	24,700	1,840	669	22,191	268	40,734	25%	32,888	26%
Micro-Irrigation - Filtration Gallery	Oruro	13%	Ha	45.0	42	65,413	14,431	79,844	21,445	5,655	1,773	14,017	709	(409)	10%	(3,965)	11%
Water Retention Works	Chuquisaca	1%	M³	270.0	30	21,450	4,800	26,250	15,551	1,984	4,939	8,629	988	10,783	19%	8,021	21%
Nursery for Agro-Forestry	Cochabamba	8%	Ha	7.6	200	14,573	3,064	17,637	7,936	429	930	6,577	186	4,766	15%	2,914	16%
Pasture Improvement	Oruro	5%	Ha	67.0	67	19,635	1,693	21,328	24,623	2,077	13,266	9,280	2,653	1,422	13%	1,244	16%
Weighted Average		100%			265	50,809	11,814	62,623	23,937	2,951	3,371	17,614	1,191	4,727	13%	1,025	13%
Other Project Costs								26,667									
Weighted Average with other project costs								89,290	23,937	2,951	3,371	17,614	1,191	(19,494)	2%	(22,636)	3%

Table 2.2 Financial and Economic Analysis - Summary Results for Families Involved in Representative Subprojects - Low Scenario

Main Activity	Department	Benefits		Quantity	Investments		Annual Flows (Private Costs)			Financial		Economic				
		Type	Unit		Assets (US\$)	Labour (US\$)	Total Investment (US\$)	Benefits (US\$)	Goods (US\$)	Labour (US\$)	Net Benefit (US\$)	U/Labour Equiv. (p/days)	NPV over 10 Years (US\$)	IRR over 10 Years (US\$)	NPV over 10 Years (US\$)	IRR over 10 Years (US\$)
Feeder Road Improvement	Potosi	Travel time saved	Person/hr/month	1.00	162	16	178	79	15	17	47	7	4	11%	(3)	12%
Vehicular Bridge	Potosi	Travel time saved	Person/hr/month	0.67	123	31	154	56	2	4	50	1	0	10%	(10)	9%
Pedestrian Bridge	Santa Cruz	Travel time saved	Person/hr/month	24.00	949	445	1,394	311	7	13	292	5	(409)	(6%)	(431)	(5%)
Micro-Irrigation - Direct Intake	Cochabamba	Increased area	Ha/family	0.59	741	375	1,116	475	35	13	427	5	783	25%	632	26%
Micro-Irrigation - Filtration Gallery	Oruro	Increased area	Ha/family	0.36	1,557	481	2,661	715	189	59	467	24	(10)	10%	(94)	11%
Water Retention Works	Chuquisaca	Increased area	Ha/family	0.25	715	160	875	518	66	165	288	33	359	19%	267	21%
Nursery for Agro-Forestry	Cochabamba	Inc. fruit production	Ton/year/family	0.19	73	15	88	40	2	5	33	1	24	15%	15	16%
Pasture Improvement	Oruro	Increased area	Ha/family	1.00	293	25	318	368	31	198	139	40	21	13%	19	16%
Weighted Average					192	45	237	90	11	13	67	4	18	13%	4	13%
Other Project Costs							101									
Weighted Average with other project costs							337	90	11	13	67	4	(74)	2%	(86)	3%

Table 3.1 Financial and Economic Analysis - Summary Results of Representative Subprojects - Intermediate Scenario

Main Activity	Department	Expected Subproject Frequency	Scale		Families	Investments		Annual Flows (Private Costs)			U/Labour Equiv.	Financial	Economic				
			Unit	Quantity		Assets (US\$)	Labour (US\$)	Total Investment (US\$)	Benefits (US\$)	Goods (US\$)				Labour (US\$)	Net Benefit (US\$)		
		(%)				(US\$)	(US\$)	(US\$)	(US\$)	(US\$)	(p/days)	(US\$)	(%)	(US\$)	(%)		
Feeder Road Improvement	Potosi	28%	Km	17.5	369	59,673	6,044	65,717	29,091	5,480	6,380	17,231	2,552	17,761	18%	13,934	19%
Vehicular Bridge	Potosi	26%	Meter	32.0	458	56,525	14,131	70,656	25,435	1,000	1,664	22,771	666	30,287	22%	20,803	22%
Pedestrian Bridge	Santa Cruz	6%	Meter	120.0	62	58,826	27,608	86,434	19,294	410	790	18,094	316	11,652	10%	7,476	10%
Micro-Irrigation - Direct Intake	Cochabamba	13%	Ha	30.8	52	38,529	19,520	58,048	24,700	1,840	669	22,191	268	67,094	33%	55,893	35%
Micro-Irrigation - Filtration Gallery	Oruro	13%	Ha	45.0	42	65,413	14,431	79,844	21,445	5,655	1,773	14,017	709	409	10%	3,965	11%
Water Retention Works	Chuquisaca	1%	M³	270.0	30	21,450	4,800	26,250	15,551	1,984	4,939	8,629	988	20,549	26%	16,524	28%
Nursery for Agro-Forestry	Cochabamba	8%	Ha	7.6	200	14,573	3,064	17,637	7,936	429	930	6,577	186	10,629	21%	7,929	22%
Pasture Improvement	Oruro	5%	Ha	67.0	67	19,635	1,693	21,328	24,623	2,077	13,266	9,280	2,653	7,287	27%	6,666	30%
Weighted Average		100%			265	50,809	11,814	62,623	23,937	2,951	3,371	17,614	1,191	22,838	20%	16,745	20%
Other Project Costs								26,667									
Weighted Average with other project costs								89,290	23,937	2,951	3,371	17,614	1,191	1,383	10%	(6,916)	10%

Annex 10: Safeguard Policy Issues
BOLIVIA: Second Participatory Rural Investment

Summary of Environmental Assessment

1. **Overview.** Activities carried out in individual subprojects in Component 2 (Investment) are unlikely to have significant adverse environmental impacts. This is because: (i) project guidelines include a negative list which prohibits investment in new roads, road improvements in natural forests and protected areas, large scale irrigation, and other areas; and (ii) the project implementing agency, Fund for Social and Productive Investment (FPS), has well developed environmental assessment policies and procedures and these are being further strengthened during the PRI II project preparation process. These two mechanisms were already in place during the first Participatory Rural Investment project. The project closing's evaluation assessed them as being highly successful in preventing negative environmental impacts.

2. **Project Summary.** The project objective of PRI II would be to pilot the strengthening of institutional arrangements between the national, prefecture and municipal governments and civil society for sustainable management of subnational public investments in selected productive sectors with an emphasis on territorial development. Project implementation includes the financing of small subprojects for transport, water management infrastructure, natural resource management and promotion of economic activities. The subprojects would be proposed by the communities, municipalities, mancomunidades and prefectures. Proposals selected for project financing would be chosen by either the central or regional offices of VD or FPS. It is expected that these subprojects would trigger some of the Bank's environmental safeguards.

3. **Project Expenditures.** A substantial proportion of the project funds are expected to finance subprojects aimed at improving transport infrastructure such as low-volume road improvement and rehabilitation and small bridges; water management infrastructure such as micro-irrigation systems and water retention works.

4. These subprojects can finance provision of services (environmental surveys, laboratory tests, and natural resources inventories), road improvements, bridges, storage and processing facilities, water management and irrigation.

5. **Positive Environmental Impacts.** The project is expected to have positive environmental impacts through financing subprojects that promote sustainable natural resources management, watershed protection, and soil conservation. As a result of subproject activities, the project is expected to (i) conserve soil, (ii) maintain or improve hydrological functions, and (iii) help conserve high mountain ecosystems and their biodiversity.

6. **Potential Adverse Environmental Impacts.** An environmental assessment (EA) was carried out as part of project preparation, identifying the potential environmental impacts associated with project activities. The EA evaluated the range of potential types of sub-projects, and the ecosystems on which they would be implemented. The assessment confirms that the project area includes highland ecosystems that are ecologically fragile and prone to degradation. Based on the project's EA report, potential adverse environmental impacts to be avoided include (i) soil erosion, (ii) loss of biodiversity, (iii) deforestation, (iv) loss, conversion, degradation of

natural habitats, (v) disruption of hydrological dynamics, (vi) water pollution, and (vii) damage to watersheds. The EA reviews the legal and institutional context in Bolivia and its relation to the project as well as the environmental characteristics of the potential areas of intervention. Based on the results of the EA, the project environmental management plan—which takes the form of a framework given that the specific investments and their locations are not known—includes a screening process for: (i) rejecting subproject proposals which are included in the negative list (construction of new roads, road improvements in natural forests or protected areas, irrigation in areas larger than 100 hectares, projects that would increase water pollution, projects promoting new colonization, use of prohibited pesticides; and (ii) identifying the potential impacts of proposed subprojects. Eligible subprojects will include and budget specific measures to avoid and mitigate such impacts. In addition, works contracts will include standard environmental practices for construction companies. Through the EA and Social Assessment, there has been ample consultation and stakeholder analysis for the preparation of the project which included discussions regarding the potential environmental impacts and benefits associated with the proposed project. The EA has been disclosed to the public in country and will be provided to the InfoShop before appraisal.

7. **Environmental Management Plan.** As mentioned, since the exact location and nature of potential activities and subprojects to be developed under the project will be known only during implementation, the Environmental Management Plan takes the form of an Environmental Management Framework (EMF). The EMF includes the necessary procedures to avoid, minimize or mitigate the potential negative environmental impacts listed above. The EMF will be adopted by FPS as part of its regular procedures rather than being a separate component. The environmental impact review, prevention, and mitigation measures recommended by the EMF will be incorporated into the criteria and procedures of the Operational Manual. This will not constitute a major change for FPS, as similar criteria and procedures had already been developed and institutionalized during the implementation of the first PRI project. The new operational rules, which will be finalized prior to effectiveness and will reflect the recommendations of the EMF and any subsequent agreement between the Bank and the borrower.

8. These operational rules include (i) clear eligibility and prioritization criteria for the types of subproject activities that can be financed; (ii) clear eligibility and prioritization criteria for the types of lands on which those subprojects can be financed; (iii) review procedures and specific responsibilities within FPS to ensure that all subproject contracts are awarded, administered, and supervised in accordance with these criteria; and (iv) environmental management procedures to ensure that projects are implemented and maintained in accordance with environmental best practice. FPS, which will have qualified environmental and social specialists on staff (component coordinator and regional office coordinators), will be responsible for supervising overall compliance with the Bank environmental safeguards and report compliance to VD. The eligibility criteria for subprojects require, *inter alia*, (i) no clearing or conversion of forests or other natural habitats to establish new agricultural systems, (ii) that any agro-forestry or reforestation activity can only use non-native species if they do not displace native species or natural ecosystems, (iii) any works or infrastructure activities strictly adhere to the 3-stage, EA evaluation process explained below, and (iv) selection criteria will give greater weight to subproject proposals that would directly promote conservation and restoration of degraded natural resources.

9. The EMF provides criteria to (i) screen subproject proposals by the type of activity (including basic infrastructure) and the sensitivity of the proposed sites, (ii) identify key potential

adverse environmental impacts, (iii) ensure subprojects do not contribute to key environmental problems currently faced in the project area, (iv) determine the environmental legal and institutional requirements in Bolivia (including the minimum requirements for institutional capacity), (v) provide measures to mitigate potential adverse impacts, and (vi) carry out the process of public consultations. These criteria will also include a list of activities that are not eligible for subproject financing. It will also provide specific guidelines and questionnaires for the process of reviewing subproject proposals. The EMF will also include measures to ensure consistency with the Natural Habitats (OP 4.04), Pest Management (OP 4.09), and Forest Policies (OP 4.36). These policies are triggered as the project has the potential to affect natural habitats (including forests), and may support pest management activities as part of productive activities.

10. The EMF provides an evaluation process in three stages: (i) preparation, (ii) prefeasibility, and (iii) feasibility. All subprojects will go through the preparation and prefeasibility stages. Based on the results of the prefeasibility screening, some subprojects will have to complete the feasibility steps as well. The steps include:

a. Preparation

- (1) Review eligibility criteria (subproject proponents)

b. Prefeasibility

- (2) Define typology of the subproject
- (3) Determine environmental category
- (4) Review list of excluded activities
- (5) Assess location to ensure compatible with OP 4.04
- (6) Go through checklist of potential impacts
- (7) Fill out prefeasibility environmental assessment form
- (8) Prioritize subprojects based on environmental impact

c. Feasibility stage of proposals

- (9) Gather field data
- (10) Carry out environmental assessment
- (11) Develop specific environmental guidelines for the subproject
- (12) Development pesticide management plan (if required)
- (13) Fulfill mitigation requirements
- (14) Monitor and evaluate environmental impacts

11. FPS would ensure that the following information is updated in order to identify any subproject proposals having potential for adverse environmental impacts: (i) a list of all Critical Natural Habitats including existing protected areas (national, departmental, municipal, etc.), proposed protected areas, or other areas of conservation concern (including habitat to endangered species, etc.), and (ii) identification of areas of high environmental risk (such as those susceptible to floods, landslides, etc.). Project activities would be eligible within such areas only if they are not included in the negative list, if they form part of the formally-adopted area's plan, and if they have an explicit authorization from the National Protected Areas Service (SERNAP). Cartographic materials will be provided to complement the above-referenced information.

12. Table A10.1 shows some examples of potential subproject activities that would be mainstreamed and favored by the project because they promote environmental benefits.

Table A10.1: Examples of Potential Subprojects and Activities with Beneficial Environmental Impacts

<i>Subproject category / activity</i>	<i>Types of subproject / activity</i>	<i>Main type of beneficiary or proponent</i>
Productive management of natural resources	Agroforestry and silvopastoral systems that rely on native trees and bushes (e.g. live fences, terraces for agricultural crops, introduction of forestry or fruit species in agricultural plots).	Groups of small producers Communities and families
	Alternative crops with native species (e.g. medicinal, aromatic, and ornamental plants)	Groups of small producers Communities and families
	Creation of small communal forest reserves (1–10 ha) to conserve or reintroduce native species.	Communities and families
Conservation and restoration of natural resources	Reforestation and revegetation to restore eroded land.	Groups of small producers Communities and families
	Small works to improve aquifer recharge, reduce drainage, and stabilize slopes in eroded areas or at high risk of erosion (e.g. dams, infiltration ditches, and wetland conservation).	Groups of small producers Communities and families
	Creation of small (10–500 ha) municipal or regional reserves to conserve remnants of native vegetation and/or reintroduce native species.	Prefectures and municipal governments
	Revegetation and reforestation of watersheds, stream and river banks, and other water sources.	Groups of small producers Prefectures and municipal governments
	Development of ecological zoning plans (<i>ordenamiento ecológico territorial</i>).	Communities and families Prefectures and municipal governments
Microregional environmental management strategies	Development of strategies of payment for environmental services (particularly related to water sources).	Groups of small producers Prefectures and municipal governments
	Development of environmental sanitation projects (e.g. water treatment plans, management of solid wastes, and sanitary landfills).	Prefectures and municipal governments

Compliance with Safeguard Policies

13. The project is designed to comply fully with the letter and spirit of applicable World Bank safeguard policies, as indicated below.

O.P. 4.01—Environmental Assessment

14. The project is classified as Category B, the appropriate classification for projects whose potential adverse environmental impacts on human populations or environmentally important areas are site-specific, reversible, and can be readily mitigated (OP 4.01, paragraph 8). The

project could involve natural habitats, but would not lead to any significant loss or degradation (ref. BP 4.04, paragraph 2). In accordance with this classification, an environmental assessment (EA), including an environmental management framework (EMF) have been completed and approved by the Bank. The EA will be publicly disclosed and will be revised and improved during appraisal. While 182 municipalities have been identified as the area for project implementation, the specific location and nature of the subprojects can only be determined during the implementation phase. The EA and EMF will be revised during appraisal and will specify the criteria and procedures—including operating rules—that will be used during project implementation to avoid or minimize adverse environmental impacts. As per the planned social and environmental analysis, a number of public consultations and stakeholder analysis will take place on project design which will cover environmental aspects (impacts and benefits) of the project (see social analysis section below).

15. The EA will propose criteria and procedures to carry out the environmental analysis consultations for the specific subprojects (once identified), and provides guidelines and questionnaires for in-depth interviews with stakeholders.

O.P. 4.09—Pest Management

16. Because some sub-projects might include the use of pesticides, the EMF covers potential issues related to pest management and considers alternative designs and mitigation measures such as (i) identifying the types of pesticides that might be used and their impacts; (ii) determining what aspects of current pesticide practices require improvement and technical assistance; and (iii) identifying effective alternatives to pesticide use. Where feasible, the project would seek to promote the use of biological and/or environmental control methods and reduce reliance on synthetic and chemical pesticides. The project would also avoid supporting projects that imply substantial increases in pesticide use and would seek to provide opportunities for both FPS and direct participants in the subprojects to develop appropriate pest management procedures. The EMP and Operational Manual will not allow procurement of pesticides considered Class Ia, Ib or II in accordance with World Health Organization (WHO) standards.

O.P. 4.04—Natural Habitats

17. Based on the preliminary studies and execution of the previous project, most if not all the investment will take place in areas that have been traditionally dedicated to agriculture, thus no conversion of natural habitats is expected. The project's environmental management rules will explicitly forbid any project activities in areas supporting critical natural habitats. Any activity in the buffer zone of a protected area would be designed to help reduce pressure on the protected area itself. Any activity in either a protected area or its buffer zone would also have to have the approval of the National Protected Areas Service (SERNAP).

OP 4.36—Forests

18. This policy could be triggered by subprojects that involve agroforestry activities, which would be analyzed and monitored carefully during project implementation. The EA will provide procedures (and screening processes) to assess impacts and mitigation measures for this type of activity.

OP 4.11—Physical Cultural Resources

19. The project will only finance small-scale works in already established agricultural or commercial zones where there is little likelihood of disturbing archaeological, paleontological, or other culturally significant sites. Such impacts will be avoided through application of the subproject eligibility criteria, the safeguard screening system, and inclusion of “chance find” procedures in the contracts for any subproject involving works. The project could also finance minor preservation works in archaeological zones linked to an approved tourism promotion strategy by the National Archaeological Institute.

OP/BP 4.12—Involuntary Resettlement

20. The project does not trigger OP/BP 4.12 because it involves no taking of land or other assets and requires no physical relocation of populations. The subproject eligibility criteria and safeguard screening process would exclude any proposal that could involve such impacts.

OP/BP 4.10—Indigenous Peoples

21. More than 3.1 million of Bolivia’s 5.1 million over 15 year old inhabitants identify themselves as indigenous people, most of whom are Quechua (1.6 million), Aymara (1.3 million), Guarani (81,197), Chiquitano (112,218), Mojeño (46,336), and other groups (69,364) living in the rural and urban areas of the 9 departments of Bolivia. The 111 municipalities that fall within the project area include 4,425 formally recognized *comunidades campesinas* in Bolivia. Since about 67 percent of the population (and expected beneficiaries) in the project area are indigenous people, the project triggers the OP/BP 4.10 but does not require a stand-alone Indigenous Peoples Plan (IPP) because the project document itself is considered an IPP. The remaining 33 percent of expected beneficiaries are nonindigenous (primarily mestizo). On the basis of the social assessment and in consultation with the affected indigenous communities, the principles and elements of an Indigenous Peoples Plan (IPP) are being incorporated into the project design. These principles set out the measures through which the borrower will ensure that (i) indigenous people affected by the project receive culturally appropriate social and economic benefits and (ii) when and if potential adverse effects on indigenous peoples are identified, those adverse effects are avoided, minimized, mitigated, or compensated.

Public Consultation and Disclosure

22. The EA proposes criteria and procedures to carry out the environmental analysis consultations for the specific subprojects and provides guidelines and questionnaires for in-depth interviews with stakeholders.

23. The EA itself has been disclosed in country and through InfoShop prior to appraisal. Likewise, the EA has been consulted in accordance with OP 4.01.

Summary of Social Assessment

24. A social assessment was conducted during project preparation. Its objective was to ensure that project design would lead to the achievement of the project objectives, i.e. to increase access to productive services, assets, and sustainable infrastructure by targeted rural families, without negative consequences. The assessment was designed to: (i) characterize the population from the project intervention area; (ii) carry out a stakeholder analysis to understand the characteristics, interests, resources and power relationships of the various social and institutional actors; (iii)

identify potential barriers in accessing project benefits from a gender and intercultural perspective; and (iv) identify potential social risks and develop mitigation plans. Finally, based on the completed assessment, monitoring and evaluation indicators were identified and are included in Annex 3.

25. Data for the assessment were provided by representatives of local governments and mancomunidades; municipal associations; NGOs; indigenous peoples, farmers, women, and youth organizations; other public and social sub-national entities; and private actors related to productive and economic initiatives. The assessment draws from: (i) consultations conducted at the time of completion of the first PRI project, primarily with municipal officials and member of the Comites de Vigilancia (October 2006); (2) consultations with representatives of a range of social and community organizations and municipalities in the PRI II project area, including participants from 23 municipalities (March through August 2007). The methodology used in the workshops emphasized the participation of women, youth and indigenous people. The social assessment final report has been made available to the public.

(i) The Project's Social Objectives.

26. The objective of PRI II would be to pilot the strengthening of institutional arrangements between the national, prefecture and municipal governments and civil society for sustainable management of subnational public investments in selected productive sectors with an emphasis on territorial development in 111 (182 with the additional 71 plan vial municipalities) municipalities in selected areas of the 9 departmental prefectures of Bolivia. To achieve this, the following social objectives must be achieved:

- *Empowerment* of small producers, farmer communities, indigenous people, women and youth by strengthening their role in the process of territorial planning and identification of investment opportunities and priorities.
- *Strengthened transparency* of municipal governments and project implementing entities (including mancomunidades and farmer community organizations) through institution of disclosure mechanisms and strengthening of other methods of social accountability..
- *Greater intercultural communication and collaboration*, with the establishment of approaches linking development based in indigenous culture and western cultures, to ensure social viability of projects and promotion of regional consultation space.

(ii) Legal Framework

27. The project will be implemented within the legal and regulatory framework for decentralized governance and social participation, as defined principally in the Law of Municipalities (1999), the Law of Administrative Decentralization (1994), and the Law of Popular Participation (1994), as well as other regulations that protect the rights of indigenous peoples. The Law of Popular Participation creates the basic framework for community participation by recognizing the juridical personality of existing social organizations and defining their rights and obligations with respect to public investment and service-provision. Subsequent laws, amendments and regulations emphasize the participation of indigenous peoples, peasant communities, and producer organizations in the formulation of policies, plans, programs, and projects. The Law of Administrative Decentralization and the Law of Popular Participation define prefectural and municipal responsibilities to construct, equip, and maintain infrastructure in the sectors of rural development, education, health, culture, sports, micro-

irrigation, basic sanitation, urban routes, and secondary roads. Some of these responsibilities have been clarified and widened in the regulations issued for managing hydrocarbon resources. Supreme Decree n° 25286 stipulates the duties and functions of the Departmental Services for Municipal and Community Strengthening that should help Municipal Governments to identify programs and projects for joint investment and service provision, as well as support the formation of joint municipal efforts for the execution of investment programs and projects aimed at economic and social development.

28. The responsibilities assigned to the national level Ministry of the Presidency and its Viceministry of Decentralization are stipulated in Law 3351 on the Organization of Executive Authority. This law assigns the Ministry the duty to develop and implement policies aimed at broadening the decentralization process in agreement with political, social, cultural, economic, and territorial actors, and ensuring that there is mutual understanding and respect for the respective responsibilities of national and sub-national governments.

(iii) Stakeholder Groups

29. ***Territorial organizations.*** In the project area there are about 4,425 territory-based *campesino* and indigenous communities, 92 percent of which have fewer than 500 inhabitants. All of the communities in the project area, independent of their form of organization, will participate in the regional planning process and be eligible to have their projects incorporated into the program. Through the municipal governments they will be able to obtain cofinancing for subprojects in transportation infrastructure, irrigation, and other productive investments. The most vulnerable rural families will be able to participate in subprojects to increase their productive assets.

30. ***Economic organizations.*** A large segment of the project's beneficiary population belong not only to territorial organizations but also to productive and labor organizations, producer organizations, OECAs (Small-farmer Economic Organizations), and community firms related to agriculture, livestock, forestry, artisan, and other activities. These organizations are sectoral (for example, production of llama and alpaca products, logging, cattle ranching, fishing, ecotourism, etc.) and they can be municipal, regional, or national in scale. Some are specifically women's organizations, for example the artisan group ArteCampo in Guarayos and the agricultural producers group ASMUPROA in Yacuiba, while others include both men and women. There are indigenous people participating in all of these organizations, and some of them are exclusively indigenous. Currently these organizations are not involved in regional or municipal development plans. The project will promote and establish mechanisms for their participation.

31. ***National sociopolitical organizations.*** Most *campesinos* belong to their own local community and economic organizations and are also members of sociopolitical organizations that may be national in scope. These include indigenous peoples organizations of the lowlands such as the Confederación Indígena de Bolivia (CIDOB) which is the "first level" organization that represents all indigenous peoples of the Amazon, Chaco and eastern regions. Their respective "second level" organizations are the Asamblea del Pueblo Guaraní (APG), the Central de Pueblos Indígenas del Beni (CPIB), the Central de Pueblos Indígenas de Santa Cruz (CEPESC), and the Coordinadora Indígena de la Región Amazónica de Bolivia (CIRABO). Each one of these organizations contains "third level" organizations, organized by ethnic group, what are called "sub-centrales" and these, finally, have a "fourth level" of ethnic communities.

32. The National Council of Markas and Ayllus of Qullasuyu (CONAMAQ) represent Bolivia's highland indigenous people and the *Confederación Sindical Unica de Trabajadores Campesinos de Bolivia* or CSUTCB includes unions and agricultural cooperatives affiliated with the United Labor Confederation of Rural Workers. These groups have organizational structures at the local, subnational, and national levels. Such local and subnational organizations will be invited to participate in the newly created Territorial Councils.

33. **Other actors.** Other actors include: (i) the Local Economic Promotion Directorates (DILPEs) and Local Economic Development Committees (CODELs), which will be part of the regional planning process; (ii) the municipal Watch Committees (*Comités de Vigilancia*).

34. **Municipal governments.** Municipal governments are responsible for promoting rural development. They are composed of an elected Municipal Council, including the mayor and councilors, and an executive branch headed by the mayor. While there is some participation by women in municipal governments, they account for only 19 percent of the 477 council members in the 111 municipalities. The national government transfers about 24 percent of its total budget to the municipal governments to carry out their functions. The transfers are distributed in proportion to population. Since 1994 these transfers have been carried out in conjunction with a program of training and technical assistance for the municipal governments. While this helped create a foundation of institutional capacity at the local level, rural municipalities continue to have serious weaknesses, mainly in (a) preinvestment planning, (b) project management, (c) economic development projects, and (d) capacity for operation and maintenance of civil works and infrastructure. Municipal governments will be the beneficiaries of capacity building for preinvestment, management of productive investment projects, and operation and maintenance of infrastructure under Component 1, and will be the executing agencies for subprojects cofinanced under Component 2.

35. **Prefectures.** The departmental governments (prefectures) will be partners in the project. They will share in the execution of its components and will contribute resources from their national fiscal transfers to help finance the institutional strengthening, productive investment subprojects and management cost of the local offices.

36. **Associations of Municipalities (Mancomunidades).** *Mancomunidades* are voluntary associations created by groups of neighboring municipal governments, mainly to strengthen local development efforts. There are 18 *mancomunidades* in the area covered by the proposed project, 5 of which are classified as highly consolidated, 6 are in the process of becoming consolidated, 4 are in the initial stages, and 3 are in crisis. In general the *mancomunidades* are headed by a directorate composed of the mayors of the member municipalities and an executive technical body usually consisting of a manager and varying numbers of technical specialists depending on the size, degree of consolidation, and number of projects or activities being carried out by the *mancomunidad*. The *mancomunidades* will be the preferred actors in the process of regional planning, which will help strengthen their capacity and channel project resources to support their productive investment projects. Different mechanisms have been designed through which the *mancomunidades* will participate in the project, depending on their level of consolidation.

37. **Nongovernmental Organizations (NGOs).** In some municipalities there are activities and projects conducted by NGOs, including the Catholic church and/or the evangelical church, bilateral donor agencies (e.g. German cooperation, Dutch technical cooperation and Danish

cooperation) and other NGOs (e.g. CARITAS, and CEJIS). In the area covered by the project there are 748 NGOs.

(iv) Consultations

38. The first phase of the consultation was carried out in a national workshop hosted by the Vice Minister of Decentralization and the World Bank in La Paz on October 6-7, 2006, with the participation of 18 mayors, 72 municipal council members, vigilance committees and the implementation team of the first PRI project. The workshop examined the results, impacts and lessons learned from the first PRI project in six areas: (i) governance; (ii) training; (iii) indigenous management; (iv) *mancomunidades*; (v) technical assistance; and (vi) investments.

39. During the preparation of PRI II, consultations were held from March through August 2007, including social actors and institutions, public and private, through interviews and workshops. A total of 123 organizational actors in 9 regions (Los Cintis, Norte de Guarayos, Amazonia La Paz, Amazonia Beni, Chaco Tarijeño, Carangas, Oruro, Rurrenabaque, and Camargo) and 55 municipalities were consulted.

(v) Key Findings and Inputs to the Project Design from the Civil Society Consultations

40. **Input from municipal actors to project design.** The following are some of the key comments and suggestions made by municipal actors regarding the design of PRI II:

- The capacity of municipal and prefecture governments to manage project implementation should be strengthened.
- Associations of municipal governments (*mancomunidades*) should be a key actor in regional planning processes and should facilitate the planning of municipal governments.
- The project needs to respect and collaborate with indigenous and aboriginal peoples' organizations as well as with indigenous districts in the project area.
- Disbursement of project funds and the project cycle in general need to be streamlined to avoid delays which carry a high political cost for the municipal governments.
- The sustainability of infrastructure and its adequate use will be ensured by the participation of the rural population in project design and implementation as well as by their financial contribution.

41. **Input from other local actors to project design:** The following are some of the key comments and suggestions made by community organization and other local actors regarding the design of PRI II:

- The project needs to differentiate between territorial farmers' organizations which have a political management role vis-à-vis economic organizations which engage in productive activities in determining the focus of sub-project financing.
- Institutional strengthening activities should reinforce the political participation of women in municipal governments.
- To increase productive investments, the capacity of municipal governments as suppliers of goods and services, needs to be enhanced.
- The relationship between municipal governments and social and economic actors needs to be strengthened to promote political and functional stability.

- The heterogeneous culture of the different regions implies that the project should develop customized communications strategies suitable for each culture and/or type of actor.
- Institutional strengthening should also be targeted toward social organizations in order to develop their social capital.
- Mancomunidades have a very wide array of opportunities to promote local economic development at regional scale.
- There are positive experiences in the execution of supra-municipal projects by mancomunidades, such as those in basic sanitation in northern Potosí and Chaco, in road maintenance in San Julián and Chiquitana, in productive promotion in Lípez, and in tourism promotion in the northern Amazon region. From these experiences, important lessons can be drawn for the execution of the new project. Therefore, processes of sharing experiences among mancomunidades should be promoted.
- The efforts of mancomunidades should be applied equitably among all the municipalities that comprise them.

42. The above inputs were synthesized from the consultation workshops where the percentage of indigenous representation was high, especially in the highland workshop. There were no consultations held specifically for indigenous peoples.

(vi) Social Characteristics

43. According to data from the 2001 population and housing census of the Bolivian population (8,274,325 inhabitants), 37.6 percent of the population nationwide lives in rural areas. The proposed project will cover 33.7 percent of all municipalities and 14 percent of the population in the 111 municipalities considered.⁷ Of this prioritized population, 48.2 percent are women and 79.64 percent of the population counted in the 2001 census lives in rural areas. Seventy six percent of the population in the project intervention area is poor and 32 percent are extreme poor. This compares to a national figure of 64 percent poor and 37 percent extreme poor (see Table 4).

Table A10.2: Poverty levels in the project intervention area

Department	Region	Number of Project Municipios	Population (of Project municipios)	Percent Poor (in Project municipios)	Percent Extreme Poor (in Project municipios)	Percent Rural (in Project municipios)
COBERTURA PROYECTO GLOBAL						
Pando	Amazonia	7	12,221	53.75	15.86	100.00
Beni	Amazonia	6	86,989	74.54	27.84	56.24
La Paz	Amazonia	8	113,843	84.15	42.16	77.61
Chuquisaca	Chaco	5	56,990	78.10	42.43	83.13
Tarija	Chaco	7	75,228	49.93	10.01	89.55
Santa Cruz	Chaco	1	19,339	63.12	19.71	87.50
Tarija	Subandina	3	51,707	82.93	48.76	68.84
Chuquisaca	Cintis	6	93,833	89.57	60.02	92.96

⁷ The population of some project municipalities was reduced by the amount of population in their urban centers, in cases where more than 80% of the municipal population lives in the urban center. This was the case for the following municipalities: Trinidad, Cobija, Camiri, Riberalta, Guayaramerin, San Ramón, Yacuiba.

Potosí	Chichas	5	119,462	67.39	21.28	54.55
La Paz	Valles del sur	11	102,898	94.64	1.02	93.74
Cochabamba	Andina	6	118,977	97.59	87.51	98.31
Cochabamba	Valles bajos	4	56,919	67.20	22.14	81.34
Oruro	Karangas	18	47,453	92.66	55.12	100.00
Oruro	Uruchipaya	1	1,814	99.23	47.41	100.00
Potosí	Lipez	9	40,777	74.15	27.34	74.13
Beni	Mojeña	5	42,063	66.31	25.07	78.86
Santa Cruz	Norte Guarayos	3	31,577	88.11	31.95	50.89
Santa Cruz	Chiquitanía	6	88,646	79.18	25.22	74.87
SUBTOTAL		111	1,160,736	76.30	32.44	79.60
COBERTURA PLANES VIALES						
Potosí		15	258,607	82.39	67.02	92.00
Chuquisaca		12	122,505	90.32	78.85	95.00
Tarija		5	68,802	80.87	44.94	97.40
La Paz		9	109,928	96.18	72.24	99.00
Oruro		3	43,314	89.29	65.51	79.70
Cochabamba		7	102,215	60.75	38.17	83.60
Santa Cruz		12	91,437	65.62	39.23	81.20
Beni		6	52,706	77.49	37.41	59.30
Pando		2	7,281	95.28	43.17	100.00
SUBTOTAL		71	856,795	82.63	61.93	82.95
Project Intervention Area		182	2,017,531			
National			8,274,325	63.81	36.92	
Share of Project Intervention Area (%)			24.38			

44. Other notable features which can be mentioned regarding the social characteristics of the project intervention area include the following:

- Municipalities in the valleys have a large indigenous population, but it is not structured in indigenous peoples' organizations. One exception to this is the Quechua *ayllus* in which there is a greater presence of peasant organizations represented by the CSUTCB.
- There are different levels of political stability in the municipalities in the project's area of coverage. Where there is more stability, the municipal executive tends to adopt a greater focus on economic development.
- When an indigenous organization has strength and legitimacy, as well as a majority in terms of the population, there is a higher degree of compatibility and collaboration between indigenous and formal Western institutions (such as the government).
- There are high levels of inter-municipal fiscal inequality, even within the same general region. This, largely stems from hydrocarbon taxes which provides approximately US\$490 per capita in municipalities of Pando and US\$18 in those of La Paz).
- Agrarian unions and indigenous organizations tend to have limited ability to influence others to meet their demands, unlike organizations of larger-scale producers in regions such as northern La Paz, the Amazonian region of Beni, and the Mojeño region of Beni.
- In the northern Amazon regions, traditional political parties dominate and exclude indigenous, peasant, and women's organizations. Thus, small-scale peasant sectors have limited influence, and greater importance is given to large-scale agricultural and livestock activities.
- In municipalities with strong cultural homogeneity and a prevalence of traditional practices, indigenous structures are sometimes incorporated within public institutions, thus enabling high levels of governability and effectiveness.

- Due to migration, some municipalities have a majority of women who now must play a larger role because of the predominance of female heads of households.

45. In order to encourage active participation of women, the project has incorporated gender issues in all the studies and assessments that have been and are being carried out. This is based on one of the conclusions from the Implementation Completion Report (ICR) of the first PRI project which determined that although there have been efforts to develop workshops on non-formal training in gender issues, they were insufficient. Therefore, the process of looking for gender-inclusive local and regional strategies was considered to be essential in the new project.

46. With regard to the project investment program, it has been agreed that the percentage of women's participation as project beneficiaries should not be less than 30 percent.

47. Although the data on global coverage of the project shows that the male population is greater than female population (52.2 percent vs. 47.8 percent), except for Cintis and the Amazonia, data on women's and men's political participation in decision making at the local level (municipal governments, municipal councils and surveillance committees) shows a worrying unequal tendency related to women's participation. Only 18.8 percent out of the 588 members of the municipal councils within the project intervention area are women, i.e. only one out of five representatives is a woman. In economic and productive fields, women have proven the capacity to organize themselves in associations that represent and support them in promoting their participation in the market. However, this has not resulted in significant impacts or in the consolidation of female economic organizations.

48. Since municipal governments have not outlined policies or actions with a gender equality approach, the proposed project must seek to support the inclusion of women into the processes of political and economical decision making. For this, the project will: i) promote the participation of women's organizations in regional planning; ii) ensure that in the formulation of investments, that specific benefits for women will be targeted and risks to women will be assessed; iii) in the institutional strengthening component, specific methodologies for training women council members, women mayors, and women traditional leaders will be incorporated; iv) positive gender discrimination will be promoted in training programs focused on planning and project management and territorial development projects.

Indigenous Peoples, participation and intercultural issues

49. Within the social assessment framework, special attention was given to the situation of indigenous people and to intercultural and ethnicity features. The project's target population is poor people with a relatively low Human Development Index (IDH), predominantly indigenous and rural, and having limited economic potential. The project coverage includes 1,162,816 people, 83 percent rural and 57 percent self-identified as indigenous people. On average 88 percent of the households have unsatisfied basic needs and the IDH of the municipalities within the project intervention area is 0.56. 28.9 percent of the population in the project area is self-identified as Quechua people and 14.2 percent as Aymara. Within the project intervention area, the percentage of people self-identified as Guaraníes, Chiquitanos, Mojeños or aboriginal people is higher than the national level: 14.2 percent vs. 6.1 percent respectively. More than 82 percent of these indigenous people are rural, with the majority residing in the highlands and the regions of Cochabamba and La Paz (see Table 5).

50. A key factor identified for achieving significant levels of interaction and inter-cultural relations in the public sphere is to have organizations with the representation of indigenous peoples who are consolidated, legitimate, and willing and open to share the work needed for development.

(vii) Risks identified during the social assessment

51. There were two points in which risks were identified, first during the interviews of key stakeholders (March 2007) and the other during the consultation process in August of 2007. In the first meeting, the following risks were identified:

- Scenarios of potential conflict between indigenous peoples and colonists from the highlands were identified. Such conflicts often arise due to conflicts in access to and use of natural resources. This is most noticeable in the regions of the northern Amazon.
- In some municipalities, especially those with more resources from state budget transfers which are experiencing rapid growth, there are rivalries and struggles for power between urban and rural zones.
- Each of the country's prefectures is developing a different decentralization policy. Those departments that support the current government administration are assuming a policy of regionalization, while departments opposed to the current administration are favoring the provinces as places for development, and in the case of Tarija the canton sections. Even in those cases, however, a regional focus may still be feasible, provided that it does not involve crossing key political and administrative boundaries.
- The large amount of resources transferred to municipal governments and prefectures due to the increase in the hydrocarbon tax causes the PDDs and PDMs to be underestimated. This causes investments to be made without clear regulations and with an overlapping of responsibilities between these two levels. This could cause inefficient use of resources, a duplication of investments, and limited effectiveness.
- There is a lack of clarity in the differences between the roles and functions of municipal Departmental Associations, prefectures and municipalities can lead to overlapping and duplication.
- Not all municipalities (especially the smallest ones) meet the contributions they themselves have established for the functioning of their mancomunidad; this tends to weaken the mancomunidad due to its subsequent lack of financial capacity.

52. In the consultations which took place in the municipalities of Camargo, Rurrenabaque and Oruro, proposals for the mitigation of 11 risks were elaborated and analyzed. An analysis of potential solutions and of the roles of distinct social actors is found in the Action Plan incorporated in the final report of the Social Assessment. Some of the risks have been eliminated which others can not be because they are part of a larger reality related to climate and environmental changes. The risks that can be mitigated are those related to scarce resources, growing contributions, the project model of co-financing by prefectures and municipalities, management capacity, migration, and the negative affects generated by other projects in the same project area.

Monitoring and Feedback

53. The Social Assessment contributed to the design of the project, providing insights to how the monitoring indicators should be structured. The results of the assessment have led to: (i) plans to report separately the participation of women and men in the services provided by the project; (ii) the reformulation and addressing of inequities in counterpart financing, developing and recommending a process of consultation of the prefecture with its municipal governments; (iii) an analysis of the effects of migration on women, children and the elderly and recommendations for consideration of this factor in subproject eligibility criteria; (iv) specific recommendations for avoiding the creation of parallel women's organizations and for utilizing instead existing community organizations to involve women in the project; (v) anticipating the risks related to the low capacity of executing agencies and providing budget in the Action Plan for training of service providers and mechanisms for quality control; (vi) a comprehensive, integrated approach to the design of productive subprojects; for example, with regard to irrigation projects including a year of follow-up with the irrigators' organization and requiring all subproject to include technical assistance and training; and (vii) finally, given the diversity of interpretation of various terms, including within the design of the monitoring and evaluation system a glossary of concepts.

Annex 11: Project Preparation and Supervision
BOLIVIA: Second Participatory Rural Investment

	Planned	Actual
PCN review	08/17/2006	10/16/2006
Appraisal	09/17/2007	11/05/2007
Negotiations	09/19/2007	11/08/2007
Board/RVP approval	11/15/2007	12/20/2007
Planned date of effectiveness	08/15/2008	
Planned date of mid-term review	06/15/2010	
Planned closing date	03/15/2013	

Key institutions responsible for preparation of the project:

Viceministry of Decentralization

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Fabian Yaksic, Viceminister

Telf: (5912) 2110930

Fondo Nacional de Inversión Productiva y Social - FPS

Belisario Salinas esq. Presbítero Medina No. 354, La Paz, Bolivia

Vladimir Sánchez, Executive Director

Telf: (5912) 2417424 - 2412871

Bank staff and consultants who worked on the project included:

Name	Title	Unit
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Dinesh Aryal	Operations Officer	LCSN
Miriam Céspedes	Procurement Assistant	LCSPT
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Fabiola Altimari	Lawyer	LEGLA
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Peer Reviewers for the Project

Name	Title	Unit
Jonas Frank	Public Sector Management Specialist	LCSPS
Pierre Werbrouck	Agriculture Economist	LCSAR
Keith McLean	Social Development Economist	ECSSD

Bank funds expended to date on project preparation:

1. Bank resources: USD. 127,278.00
2. Trust funds: USD. 0
3. Total: USD. 127,278.00

Estimated Approval and Supervision costs:

1. Remaining costs to approval: USD 20,000
2. Estimated annual supervision cost: USD100,000

Annex 12: Documents in the Project File
BOLIVIA: Second Participatory Rural Investment

Project Preparation Documents & Studies

- a. Social Assessment
- b. Environmental Assessment
- c. Institutional and Organizational Design
- d. Productive Projects Assessment and Recommendations for the Complementary Infrastructure Interventions Component
- e. Mancomunidades Study
- f. Study on public investment co financing status between prefectures and municipalities
- g. Monitoring and Evaluation System
- h. Study on Municipal Infrastructure Operation and maintenance
- i. Adjustment to the Methodological Guide on participatory elaboration of Infrastructure Plans
- j. Guide for the presentation of transport infrastructure Projects
- k. Guide for the presentation of business generation Projects
- l. Guide Review for the preparation of Micro Irrigation Projects (maintenance and operation)
- m. Baseline study
- n. FPS Performance Review
- o. SAP Administration System
- p. Communications Strategy

Others

- a. Interim Strategy Note for the Republic of Bolivia (Report #36095-BO)
- b. Evaluación de Impacto del Componente de Inversiones Rurales del PDCR II. Prepared by SAXgr.
- c. Evaluación Integral Ex-Post a Proyectos del PDCR II
- d. Informe de Cierre del Componente de Inversiones Rurales (PDCR-II)
- e. Participatory Rural Investment Project. Quality of Supervision Assessment (QSA6).
- f. Participatory Rural Investment Project. Project Appraisal Document (Report #17610-BO).
- g. Participatory Rural Investment Project. Implementation Completion and Results Report (Report # ICR 0000125)
- h. Participatory Rural Investment Project. Guía metodológica para la formulación de planes de gestión territorial indígena en TCOs.
- i. Participatory Rural Investment Project. Hacia un nuevo enfoque de gestión de caminos rurales
- j. Participatory Rural Investment Project. Informe de Cierre (1999-2006), Componente de Fortalecimiento Institucional.
- k. Participatory Rural Investment Project. Manual del Vigilante
- l. Participatory Rural Investment Project. Memoria Institucional
- m. Participatory Rural Investment Project. Servicio de Capacitación formal.
- n. Participatory Rural Investment Project. Obras de arte tipo para caminos rurales
- o. Participatory Rural Investment Project. Asistencia técnica
- p. Participatory Rural Investment Project. Gobernabilidad municipal.

Annex 13: Statement of Loans and Credits
BOLIVIA: Second Participatory Rural Investment

Project ID	FY	Purpose	Original Amount in US\$ Millions				Cancel.	Undisb.	Difference between expected and actual disbursements	
			IBRD	IDA	SF	GEF			Orig.	Frm. Rev'd
P083979	2007	BO Urban Infrastructure Project	0.00	30.00	0.00	0.00	0.00	31.00	0.00	0.00
P083051	2005	BO Rural Alliances	0.00	28.40	0.00	0.00	0.00	27.30	0.10	0.00
P073367	2003	BO Decent Infrs for Rur Transformation	0.00	20.00	0.00	0.00	0.00	18.94	15.76	2.29
P068968	2002	BO Road Rehab. & Maintenance Project	0.00	77.00	0.00	0.00	0.00	42.98	28.18	0.00
P074212	2001	BO-Health Sector Reform APL II	0.00	35.00	0.00	0.00	0.00	7.23	1.55	0.00
P062790	1999	BO INST REF (OLD CIV S)	0.00	32.00	0.00	0.00	1.83	1.50	1.61	-0.09
Total:			0.00	222.40	0.00	0.00	1.83	128.95	47.20	2.20

BOLIVIA
STATEMENT OF IFC's
Held and Disbursed Portfolio
In Millions of US Dollars

FY Approval	Company	Committed				Disbursed			
		IFC				IFC			
		Loan	Equity	Quasi	Partic.	Loan	Equity	Quasi	Partic.
1995	BISA	0.00	0.54	0.00	0.00	0.00	0.54	0.00	0.00
1998	BISA	0.00	0.09	0.00	0.00	0.00	0.09	0.00	0.00
2003	Banco Los Andes	6.60	0.00	0.00	0.00	6.60	0.00	0.00	0.00
2003	Banco Sol	4.00	0.00	0.00	0.00	4.00	0.00	0.00	0.00
1999	CBTI	0.00	0.00	0.85	0.00	0.00	0.00	0.85	0.00
1994	COMSUR	0.00	0.00	1.30	0.00	0.00	0.00	1.30	0.00
1991	Central Aguirre	0.00	0.24	0.00	0.00	0.00	0.24	0.00	0.00
2001	Central Aguirre	1.69	0.00	0.00	0.00	1.69	0.00	0.00	0.00
1999	Electropaz	18.04	0.00	0.00	0.00	18.04	0.00	0.00	0.00
2003	FIE	1.25	0.00	0.00	0.00	1.25	0.00	0.00	0.00
1993	GENEX	0.10	0.00	0.00	0.00	0.10	0.00	0.00	0.00
1999	Illimani	3.84	0.00	0.00	0.00	3.84	0.00	0.00	0.00
	Minera	0.00	3.40	0.00	0.00	0.00	3.40	0.00	0.00
2001	PQB	10.50	0.00	0.00	0.00	0.00	0.00	0.00	0.00
2003	PRODEM	2.45	0.00	0.00	0.00	2.45	0.00	0.00	0.00
2003	TDE S.A.	12.72	0.00	15.00	0.00	12.72	0.00	15.00	0.00
	TRECO	0.00	1.16	0.00	0.00	0.00	1.16	0.00	0.00
2001	Telecel Bolivia	3.33	0.00	5.00	1.43	3.33	0.00	5.00	1.43
2005	Transierra	45.35	0.00	0.00	86.05	45.35	0.00	0.00	86.05
Total portfolio:		109.87	5.43	22.15	87.48	99.37	5.43	22.15	87.48

Approvals Pending Commitment					
FY Approval	Company	Loan	Equity	Quasi	Partic.
Total pending commitment:		0.00	0.00	0.00	0.00

Annex 14: Country at a Glance

BOLIVIA: Second Participatory Rural Investment

POVERTY and SOCIAL	Bolivia	Latin America & Carib.	Lower-middle-income
2005			
Population, mid-year (<i>millions</i>)	9.2	551	2,475
GNI per capita (<i>Atlas method, US\$</i>)	1,010	4,008	1,918
GNI (<i>Atlas method, US\$ billions</i>)	9.3	2,210	4,747
Average annual growth, 1999-05			
Population (%)	2.0	1.4	1.0
Labor force (%)	3.0	2.2	1.4
Most recent estimate (latest year available, 1999-05)			
Poverty (% of population below national poverty line)	63	..	..
Urban population (% of total population)	64	77	50
Life expectancy at birth (<i>years</i>)	65	72	70
Infant mortality (<i>per 1,000 live births</i>)	54	27	33
Child malnutrition (% of children under 5)	8	7	12
Access to an improved water source (% of population)	85	91	82
Literacy (% of population age 15+)	87	90	89
Gross primary enrollment (% of school-age population)	113	119	114
Male	114	121	115
Female	113	117	113

Development diamond*

Life expectancy

GNI per capita

Gross primary enrollment

Access to improved water source

— Bolivia

— Lower-middle-income group

KEY ECONOMIC RATIOS and LONG-TERM TRENDS	1985	1995	2004	2005	
GDP (<i>US\$ billions</i>)	3.1	6.7	8.7	9.3	
Gross capital formation/GDP	19.5	15.2	12.4	..	
Exports of goods and services/GDP	19.0	22.6	30.9	..	
Gross domestic savings/GDP	15.7	10.6	16.1	..	
Gross national savings/GDP	9.1	10.6	16.8	..	
Current account balance/GDP	-13.9	-5.0	3.3	2.0	
Interest payments/GDP	5.0	2.3	15	..	
Total debt/GDP	153.9	78.5	70.0	..	
Total debt service/exports	49.4	29.3	18.6	..	
Present value of debt/GDP	..	..	34.5	..	
Present value of debt/exports	..	..	108.9	..	
	1985-95	1995-05	2004	2005	2005-09
<i>(average annual growth)</i>					
GDP	3.5	2.9	3.9	4.1	3.7
GDP per capita	1.2	0.8	1.9	2.1	2.0
Exports of goods and services	9.5	4.7	16.1	..	..

Economic ratios*

Trade

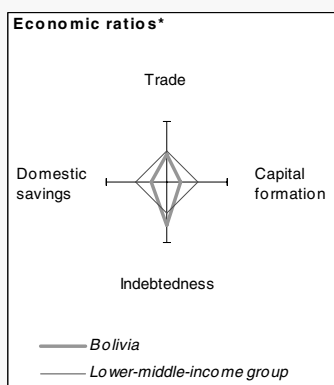
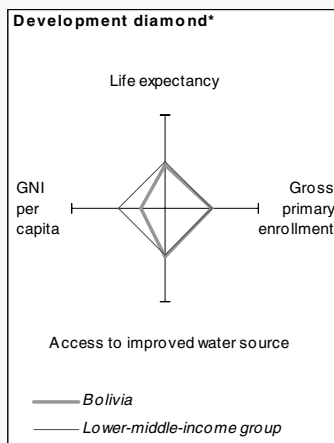
Domestic savings

Capital formation

Indebtedness

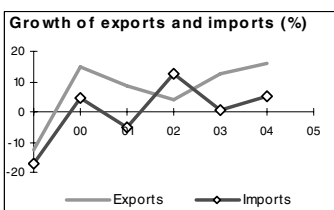
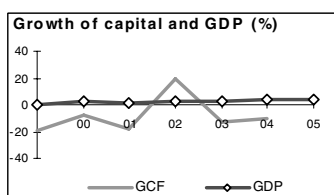
— Bolivia

— Lower-middle-income group



STRUCTURE of the ECONOMY

	1985	1995	2004	2005
(% of GDP)				
Agriculture	20.6	16.9	15.7	..
Industry	34.8	33.1	30.9	..
Manufacturing	17.3	19.0	14.4	..
Services	44.6	50.0	53.4	..
Household final consumption expenditure	73.8	75.8	68.6	..
General gov't final consumption expenditure	10.6	13.6	15.3	..
Imports of goods and services	22.8	27.2	27.2	..
	1985-95	1995-05	2004	2005
(<i>average annual growth</i>)				
Agriculture	2.7	2.5	0.3	..
Industry	4.3	2.3	5.8	..
Manufacturing	3.7	2.6	5.1	..
Services	2.9	3.4	2.9	..
Household final consumption expenditure	2.9	2.9	2.6	..
General gov't final consumption expenditure	12	2.9	-0.6	..
Gross capital formation	4.1	0.0	-10.1	..
Imports of goods and services	5.6	3.3	5.4	..



Note: 2005 data are preliminary estimates.

This table was produced from the Development Economics LDB database.

* The diamonds show four key indicators in the country (in bold) compared with its income-group average. If data are missing, the diamond will be incomplete.

PRICES and GOVERNMENT FINANCE

Domestic prices

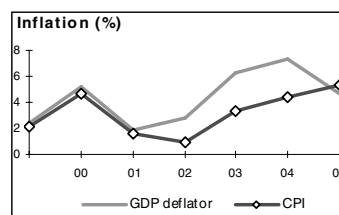
(% change)

	1985	1995	2004	2005
Consumer prices	11,749.6	10.2	4.4	5.4
Implicit GDP deflator	12,338.7	114	7.4	4.6

Government finance

(% of GDP, includes current grants)

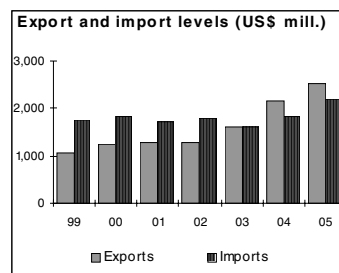
Current revenue	..	25.7	26.8	27.9
Current budget balance	..	5.7	3.4	5.0
Overall surplus/deficit	..	-18	-5.6	-4.4



TRADE

(US\$ millions)

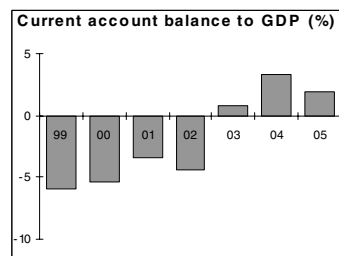
	1985	1995	2004	2005
Total exports (fob)	628	1,075	2,146	2,527
Zinc	29	151	152	..
Silver	10	71	91	..
Manufactures	..	300	380	..
Total imports (cif)	691	1,385	1,844	2,184
Food	..	55	74	..
Fuel and energy	2	55	122	..
Capital goods	254	535	487	..
Export price index (2000=100)	176	110	120	133
Import price index (2000=100)	63	100	104	107
Terms of trade (2000=100)	280	110	115	124



BALANCE of PAYMENTS

(US\$ millions)

	1985	1995	2004	2005
Exports of goods and services	722	1,239	2,546	2,941
Imports of goods and services	807	1,576	2,320	2,693
Resource balance	-86	-337	226	249
Net income	-423	-221	-385	-394
Net current transfers	74	223	444	330
Current account balance	-434	-335	285	185
Financing items (net)	463	459	-147	-148
Changes in net reserves	-29	-123	-138	-37

**Memo:**

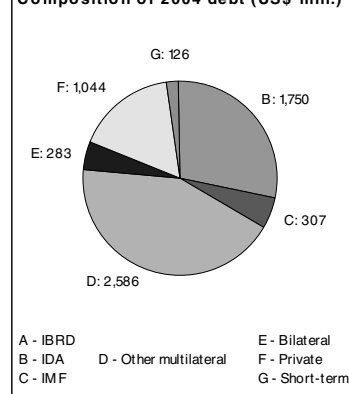
Reserves including gold (US\$ millions)	400	1,320	1,745	1,349
Conversion rate (DEC, local/US\$)	0.8	4.8	7.9	8.1

EXTERNAL DEBT and RESOURCE FLOWS

(US\$ millions)

	1985	1995	2004	2005
Total debt outstanding and disbursed	4,805	5,272	6,096	..
IBRD	207	95	0	0
IDA	94	770	1,750	1,673
Total debt service	366	372	513	..
IBRD	27	36	0	0
IDA	2	8	20	35
Composition of net resource flows				
Official grants	71	328	768	..
Official creditors	-1	281	313	..
Private creditors	-36	41	3	..
Foreign direct investment (net inflows)	19	393	116	..
Portfolio equity (net inflows)	0	0	0	..
World Bank program				
Commitments	0	116	55	..
Disbursements	12	113	124	71
Principal repayments	13	29	8	22
Net flows	-1	84	117	49
Interest payments	16	15	12	13
Net transfers	-17	69	105	35

Composition of 2004 debt (US\$ mill.)



Note: This table was produced from the Development Economics LDB database.

8/12/06

Annex 15: Geographical Area and Beneficiaries

BOLIVIA: Second Participatory Rural Investment

1. Bolivia is divided into nine departments and 327 municipalities. Consistent with project's objective, intended impacts, and equity and efficiency considerations, a five step process was used to select participating municipalities. In the first step, a set of selection criteria, agreed by key stakeholders and approved by the Vice-minister of Decentralization, was applied. Five criteria were used to rank municipalities based on a combined score. The criteria were: a) percentage of population in poverty as defined by the IDH (Human Development Index); b) percentage of indigenous population; c) productive potential of the municipality; (d) net migration (municipalities with a net loss of population being ranked lower); and (e) overall size of the municipality (municipalities with larger populations ranked higher). Each of the five criteria was equally weighted in ranking the municipalities. Based on the results, 218 municipalities were initially selected, with a total population of 2.72 million.
2. The second step was to apply equity considerations, to ensure that the resources of the project did not duplicate investments from other programs. Each municipality was assessed for the level of ongoing or planned development programs from other projects and programs funded by the government and its development partners. Based this analysis, 33 municipalities were dropped from the list because they currently receive other significant development funding.
3. The third step was to apply consideration for the efficiency of the program and likelihood of maximum impact. The remaining 185 municipalities were assessed to ensure that the project interventions will produce maximum impacts. Widely dispersed municipalities and municipalities which have dispersed communities which are not culturally or geographically connected were considered less likely to produce maximum impacts. Using these criteria 112 municipalities are excluded from the project in this stage, leaving 73 municipalities selected to participate in the project.
4. In the fourth step, a further adjustment was made to ensure that all the departments (Prefectures) and PND Territories were represented in the final list of municipalities. In addition, municipalities which were part of *mancomunidades* were also selected if the other members of their *mancomunidad* had been selected. This was done to ensure connectivity and efficiency of project interventions. Thirty-eight municipalities with a total population of 462,590 were selected to fill these gaps, making the total number of 111 municipalities to be covered by the all project components.
5. As a fifth step, an additional 71 municipalities were selected to participate only in the rural transport subcomponent of Component 2 (investment component). In the first PRI project, participating municipalities had been encourage to development comprehensive transport network plans (plan vial). These plans were completed in 112 municipalities and included not only a program of proposed investment but also a plan for operations and maintenance of the municipal road network. Of the 112 municipalities with transport network plans, 41 of them are included in the 111 participating municipalities in the PRI II project. Within the investment component of PRI II (Component 2), the project will finance investment in spot improvement (puntos y tramos) and bridge construction only for municipalities who are successfully implementing their maintenance programs. PRI II will also include rural transport financing for the remaining 71

municipalities as a way to support and provide incentives for the implementation of their transport maintenance programs.

Characteristics of Project Intervention Area

6. Farming is the predominant economic activity in the 182 project municipalities. Production varies by region. Taken as a whole, there is production for self consumption (principally barley, maize and potato), for local markets (principally onions, camellia and cattle), and for external markets (principally rice, soybeans, maize, cattle, sheep and chicken). In addition to farming, sources of income of project beneficiaries include salary from farm work, service industries, commercial/industrial work, mining and transportation.

Table 1: Overview of Project Municipalities

	111 Project Municipalities (all components)	71 Project Municipalities (transport component only)	All 182 Project Municipalities
Departments (Prefectures)	All 9	All 9	All 9
Municipalities	111	71	182
Population	1,160,736	856,795	2,017,531
Rural Population	923,946 (79.6%)	710,711 (82.95%)	1,634,657 (81%)
Indigenous Population	753,000 (65%)	569,509 (66%)	1,322,509 (65.5%)
Poor	885,642 (76.3%)	707,713 (82.6%)	1,593,455 (78.98%)
Extremely Poor	376,543 (32.44%)	316,329 (36.92%)	692,862 (34.3%)
Estimated Direct Beneficiaries	230,000	173,000	403,000

Sistema de Información del Censo Nacional de Población y Vivienda 2001, INE.

Table 2. Detail information, 111 Project Municipalities (participating in all project components)

DEPARTMENT And REGION	Municipality	Population	Percentage Rural	Percentage Indigenous	Net Migration (x 1000)	Human Development Index (IDH)	% with unsatisfied basic needs (NBI)
PANDO -- AMAZONIA - TAHUAMANU	Santa Rosa del Abuná	2,097	100.0%	5%	10.97	0.506	88.7
	Bella Flor	2,305	100.0%	9%	52.24	0.552	99.6
	Ingavi	899	100.0%	5%	13.52	0.551	96.1
	Santos Mercado	509	100.0%	5%	26.86	0.534	95.4
	Bolpebra	1,194	100.0%	18%	0.41	0.565	95.5
	Porvenir	3,713	100.0%	6%	11.05	0.617	68.3
	(Cobija) solo pob. Rural	1,504	6.7%	21%	21.45	0.676	45.9
BENI – AMAZONIA	San Borja	34,363	43.7%	43%	-4.01	0.599	97.4
	Santa Rosa	9,016	55.4%	11%	22.68	0.598	89.8
	Reyes	11,127	44.1%	61%	-27.07	0.599	86.3
	(Guayaramerin) solo pob. Rural	7,349	18.2%	13%	-16.67	0.649	58.6
	(Riberalta) solo pob. Rural	11,466	15.1%	11%	-9.99	0.618	81.5
	Rurrenabaque	13,668	38.1%	43%	6.53	0.615	82.5
LA PAZ – AMAZONIA	Apolo	13,271	84.0%	85%	-9.7	0.536	98.3
	Caranavi	51,153	76.4%	82%	-0.01	0.577	86.6
	Guanay	11,528	77.3%	76%	-13.62	0.555	91.0
	Mapiri	9,633		76%			
	Teoponte	7,109		76%			
	Tipuani	9,321	72.5%	68%	-39.45	0.585	73.3
	Ixiamas	5,625	100.0%	38%	48.51	0.567	83.8
	San Buenaventura	6,203	63.5%	53%	9.19	0.587	84.9
CHUQUISACA – REGION DEL CHACO	Machareti	7,386	100.0%	39%	0.13	0.547	88.8
	Villa Vaca Guzmán	10,748	78.4%	45%	-6.1	0.497	82.1
	Huacareta	10,007	100.0%	42%	-19.76	0.458	80.3
	Huacaya	2,345	100.0%	64%	-10.74	0.480	83.8
	Monteagudo	26,504	72.5%	26%	-15.93	0.538	74.4
SANTA CRUZ – REGION DEL CHACO	Gutiérrez	11,393	100.0%	85%	-6.6	0.510	96.1
	Lagunillas	5,283	100.0%	62%	-7.43	0.510	88.2
	Cabezas	22,296	90.1%	24%	12.95	0.564	72.4
	Charagua	24,427	88.8%	67%	-5.84	0.546	82.9
	Cuevo	3,406	100.0%	49%	2.2	0.588	71.9
	Boyuibe	4,031	27.9%	50%	-18.17	0.603	71.5
	(Camiri) solo pob. Rural	4,392	14.2%	36%	-26.63	0.695	31.2
TARIJA – REGION SUBANDNA	Entre Ríos	19,339	87.5%	21%	-8.29	0.559	90.6
	Villamontes	23,765	32.2%	24%	6.06	0.631	55.0
	(Yacuiba) solo pob. Rural	18,907	22.6%	31%	12.63	0.635	48.7
	Carapari	9,035	100.0%	19%	6.98	0.591	86.7
CHUQUISACA – LOS CINTIS	San Lucas	32,109	100.0%		-10.07	0.424	96.5
	Culpina	17,570	88.0%	37%	-12.97	0.461	89.0
	Incahuasi	23,394	100.0%	83%	-9.44	0.400	94.3
	Camargo	14,009	67.9%	48%	-18.11	0.535	71.4

DEPARTMENT And REGION	Municipality	Population	Percentage Rural	Percentage Indigenous	Net Migration (x 1000)	Human Development Index (IDH)	% with unsatisfied basic needs (NBI)
	Camataqui (VillaAbecia)	3,195	100.0%	22%	-7.24	0.518	82.7
	Las Carreras	3,556	100.0%	14%	-5.78	0.549	85.2
	Cotagaita	24,025	100.0%	91%	-10.68	0.494	93.2
	Villazón	36,266	22.7%	52%	8.75	0.592	57.1
POTOSI – LOS CHICHAS	Vitichi	11,298	100.0%	91%	-9.35	0.480	96.4
	Tupiza	38,337	43.4%	61%	-18.53	0.590	60.2
	Atocha	9,536	52.4%	74%	-16.24	0.572	54.1
	Cairoma	11,338	100.0%	91%	-11.83	0.504	96.2
	Ichoca	6,839	100.0%	96%	-14.16	0.478	99.9
	Inquisivi	16,143	100.0%	96%	-10.82	0.506	98.7
	Cajuata	7,757	100.0%	76%	-1.7	0.559	99.8
	Colquiri	18,351	78.6%	92%	-25.57	0.479	91.1
	Malla	3,733	100.0%	92%	-3.28	0.479	98.7
LA PAZ – VALLES DEL SUR	Quime	7,338	66.8%	90%	-9.67	0.544	95.7
	Sapahaqui	11,790	100.0%	94%	-12.71	0.532	99.1
	Yaco	7,866	100.0%	96%	-11.27	0.516	99.6
	Luribay	9,004	100.0%	92%	-16	0.552	96.5
	Villa Libertad Licoma	2,739	100.0%	85%	-9.84	0.513	87.5
	Ayopaya (V. de Independ.)	26,825	92.5%	96%	-12.92	0.396	97.5
	Morochata	34,134	100.0%	93%	-9.23	0.417	93.0
COCHABAMBA – REGION ANDINA	Tapacarí	25,919	100.0%	95%	-9.29	0.367	99.4
	Arque	11,806	100.0%	95%	-5.65	0.301	99.2
	Bolívar	8,635	100.0%	96%	-7.76	0.361	98.4
	Tacopaya	11,658	100.0%	97%	-9.64	0.354	97.3
	Sipe Sipe	31,337	90.0%	88%	9.18	0.554	81.6
COCHABAMBA – VALLES BAJOS	Capinota	16,945	55.8%	89%	-2.82	0.544	64.1
	Santiváñez	6,402	100.0%	92%	-10.08	0.541	80.5
	Sicaya	2,235	100.0%	96%	-15.66	0.459	92.7
	Carangas	353	100.0%	50%	8	0.501	90.3
	Corque	8,548	100.0%	97%	-6.61	0.510	99.4
	Curahuara de Carangas	5,278	100.0%	93%	2.88	0.554	91.7
	Sabaya	4,684	100.0%	90%	3.41	0.492	97.1
	Todos Santos	387	100.0%	95%	2.89	0.476	99.2
	Choque Cota	1,615	100.0%	97%	-13.71	0.501	65.4
	Cruz de Machacamarca	869	100.0%	97%	5.2	0.536	96.5
	Escara	863	100.0%	99%	-0.74	0.495	96.7
ORURO – KARANGAS	Esmeralda	952	100.0%	96%	-5.37	0.509	85.1
	Huachacalla	1,650	100.0%	89%	43.74	0.547	93.7
	Huayllamarca	5,790	100.0%	94%	-12.29	0.534	100.0
	Yunguyo de Litoral	221	100.0%	94%	9.21	0.515	89.8
	Belén de Andamarca	1,548	100.0%	98%	-14.72	0.537	97.4
	La Rivera	390	100.0%	89%	-4.62	0.544	72.0
	Santiago de Andamarca	4,588	100.0%	96%	-6.39	0.521	96.1
	Totora	4,941	100.0%	97%	-14.31	0.511	87.2
	Turco	4,160	100.0%	97%	-17.46	0.486	91.9
	Coipasa	616	100.0%	98%	-8.18	0.598	98.9
ORURO -- URUCHIPAYA	Chipaya	1,814	100.0%	97%	-4.66	0.506	98.8

DEPARTMENT And REGION	Municipality	Population	Percentage Rural	Percentage Indigenous	Net Migration (x 1000)	Human Development Index (IDH)	% with unsatisfied basic needs (NBI)
	Llica	2,901	100.0%	93%	-19.79	0.603	58.3
	Tahua	2,166	100.0%	97%	-4.69	0.512	99.7
	Uyuni	18,705	43.6%	77%	-15.23	0.603	88.7
	Colcha K	9,645	100.0%	94%	-13.93	0.520	88.8
POTOSI – LIPEZ	San Pedro Quemes	815	100.0%	52%	-27.83	0.567	95.4
	San Agustín	1,640	100.0%	94%	-13.26	0.515	83.7
	San Pablo de López	2,523	100.0%	83%	-15.76	0.470	94.9
	San Antonio de Esmoruco	1,666	100.0%	89%	-4.82	0.461	99.8
	Mojinete	716	100.0%	99%	3.42	0.460	98.3
	San Andrés	10,595	100.0%	46%	29.66	0.598	97.5
	Loreto	3,859	100.0%	60%	0.72	0.562	96.4
BENI – MOJENA	San Ignacio	20,496	58.9%	81%	-1.27	0.579	92.5
	San Javier	2,690	100.0%	35%	28.11	0.603	84.3
	(Trinidad) solo pob. Rural	4,423	5.5%	43%	-5.75	0.671	58.5
	El Puente	8,633	100.0%	58%	42.08	0.539	92.3
SANTA CRUZ – NORTE GUARAYOS	Ascensión de Guarayos	16,984	27.7%	61%	11.47	0.592	87.5
	Urubichá	5,960	45.9%	93%	-0.21	0.577	97.2
	San Julián	38,027	80.2%	58%	19.4	0.543	81.6
	San Ramón. Solo pob. Rural	914	16.2%	48%	10.97	0.618	79.5
SANTA CRUZ – NUFLO DE CHAVEZ	Cuatro Cañadas	17,574		44%			
	San Javier	11,316	51.1%	75%	12.74	0.565	82.9
	Concepción	14,522	61.5%	75%	6.39	0.587	84.6
	San Antonio de Lomerio	6,293	100.0%	89%	-5.73	0.532	91.7
18		1,160,736					

Table 3. Detail Information, 71 Project Municipalities (participating only in rural transport subcomponent)

DEPARTMENT	Municipality	Population	Percentage Rural	Percentage Indigenous	Net Migration (x 1000)	Human Development Index (IDH)	% with unsatisfied basic needs (NBI)
Potosí	Ravelo	20,536	100%	95%	-17.95	0.350	99.22
	Pocoata	20,116	100%	93%	-14.03	0.396	99.22
	Ocuri	18,516	100%	94%	-14.96	0.338	98.35
	Colquechaca	31,037	100%	95%	-13.06	0.321	97.18
	Caripuyo	9,030	100%	97%	-5.53	0.348	98.98
	Villa de sacaca	18,725	100%	95%	-3.32	0.341	95.74
	Llallagua	36,909	21%	85%	-19.34	0.573	54.11
	Uncia	25,180	77%	89%	-14.2	0.404	84.18
	Chayanta	14,165	85%	98%	-9.11	0.403	96.89
	Acasio	5,764	100%	95%	-5.71	0.375	97.75
	San Pedro de Buena Vista	27,639	100%	93%	-7.2	0.340	98.42
	Toro Toro	10,535	100%	96%	-7.75	0.393	98.73
	Arapampa	4,859	100%	91%	-11.22	0.419	98.43
	Porco	5,959	100%	92%	-6.7	0.537	71.14
	Caiza D	9,637	100%	95%	-10.34	0.531	85.55
Chuquisaca	Yamparáez	10,013	100%	97%	-19.24	0.455	93.15
	Tarabuco	19,554	88%	93%	-15.14	0.388	93.70
	Zudáñez	7,423	100%	96%	-10.71	0.438	86.37
	Icla	9,241	100%	95%	-8.31	0.386	99.02
	Tomina	9,060	100%	84%	-5.16	0.395	94.62
	Padilla	12,562	78%	57%	-17.86	0.493	86.93
	Villa Serrano	12,277	77%	37%	-18.1	0.479	83.77
	Sopachuy	7,241	100%	25%	-12.6	0.431	91.03
	Villa Alcalá	4,034	100%	31%	-11.97	0.465	86.02
	El Villar	4,585	100%	57%	-11.35	0.478	95.87
	Tarvita (Villa Arias)	15,166	100%	87%	-11.82	0.399	97.94
	Azurduy	11,349	100%	63%	-16.92	0.408	94.31
Tarija	El Puente	10,663	100%	58%	-11.57	0.527	87.13
	Padcaya	19,260	100%	4%	0.79	0.555	88.05
	San Lorenzo	21,375	87%	3%	-1.95	0.534	75.63
	Uriondo (Concepción)	12,331	100%	4%	-2.07	0.555	79.94
	Yunchará	5,173	100%	7%	-11.43	0.458	98.69
La Paz	Aucapata	4,146	100%	92%	-14.89	0.420	99.83
	Ayata	8,143	100%	91%	-9.32	0.413	99.84
	Chuma	12,874	100%	94%	-9.29	0.477	98.88
	Quiabaya	2,580	100%	94%	-9.18	0.444	99.21
	Sorata	18,932	88%	94%	-18.06	0.508	96.55
	Combaya	2,559	100%	97%	-14.89	0.511	99.64
	Ancoraimenes	15,199	100%	94%	-20.38	0.519	98.40
	Batallas	18,693	100%	96%	-15.22	0.547	95.68
	Pucarani	26,802	100%	93%	-12.08	0.511	97.71
Oruro	Challapata	24,370	68%	90%	-4.62	0.493	90.34

DEPARTMENT	Municipality	Population	Percentage Rural	Percentage Indigenous	Net Migration (x 1000)	Human Development Index (IDH)	% with unsatisfied basic needs (NBI)
	Santiago de Huari	10,221	71%	91%	-9.97	0.508	87.25
	Salinas de Garci Mendoza	8,723	100%	96%	-8.25	0.499	96.73
Cochabamba	Tiquipaya	37,791	29%	93%	8.11	0.658	41.19
	Arbieto	9,438	100%	90%	2.71	0.555	54.36
	Cliza	19,992	56%	95%	-11.15	0.628	46.85
	Vacas	12,511	100%	95%	-13.83	0.438	94.95
	Alalay	4,931	100%	97%	-7.29	0.390	99.51
	Vila vila	4,591	100%	92%	-9.24	0.353	97.33
	Totora	12,961	100%	97%	-20.7	0.511	92.71
Santa Cruz	Mairana	7,747	50%	35%	4.08	0.637	55.81
	Pampa Grande	7,933	67%	24%	18.02	0.568	70.10
	Moro Moro	3,366	100%	4%	-8.7	0.551	84.97
	Porongo	11,085	100%	24%	7.89	0.559	79.41
	Postrer valle	2,545	100%	5%	-8.23	0.514	79.81
	Pucara	2,548	100%	2%	-16.46	0.551	88.85
	Quirusillas	2,028	100%	8%	13.84	0.553	82.80
	Saavedra	16,592	78%	43%	3.44	0.543	70.89
	Saipina	5,350	55%	34%	-5.34	0.575	73.86
	Buena Vista	13,273	71%	38%	0.09	0.588	71.65
	Valle Grande	16,837	54%	8%	-13.23	0.640	53.31
	Trigal	2,133	100%	4%	3.18	0.622	62.65
Beni	San Ramón	5,927	35%	s/d	-4.54	0.637	74.60
	Huacaraje	3,706	100%	s/d	13.02	0.637	88.68
	Magdalena	9,908	35%	s/d	-14.9	0.658	86.70
	Baures	5,264	54%	s/d	1.91	0.612	89.79
	Santa Ana del Yacuma	18,654	31%	s/d	-31.2	0.625	68.26
	Exaltación	9,247	100%	27%	22.36	0.548	94.74
Pando	Puerto Gonzalo Moreno	3,810	100%	29%	10.55	0.586	98.79
	San Lorenzo	3,471	100%	20%	12.42	0.556	99.64
TOTAL		856,795					

Annex 16: Detailed Lessons Learned

BOLIVIA: Second Participatory Rural Investment

1. The design of the PRI II project has been enriched by lessons and recommendations from several initiatives, including the other relevant projects listed in Annex 2 of this document. The project builds most closely on the recently closed Participatory Rural Investment Project (PRI). Although the first PRI experienced a number of issues including incident of corruption that delayed project activities and political and social unrests during project implementation, it provided many lessons that are key in the design and implementation of a successful rural investment projects. Some of them include:

2. *Demand-driven and market-based modality:* The eventual success of the first PRI was attributed to the design of its Institutional Strengthening and Rural Investment components which operated using a demand-driven and market based modality, as compared to a more top-down approach. The success of investments and capacity building and their sustainability depend on whether they are responsive to the actual needs and priorities of the final beneficiaries. The use of a demand-driven model for institutional strengthening activities led to: a) universities designing curriculum specifically for government officials, especially those at municipal levels, providing skills and knowledge relevant to their roles in rural development; and b) NGOs and private sector/actors acquiring set of skills necessary to meet demands from municipal beneficiaries for assistance in technical, economic and financial aspects of sub-project design and implementation.

3. *Maintenance of investments for sustainability of impacts:* For the long term sustainability of rural investments, it is vital that systematic plans are developed to ensure post-completion operation and maintenance. After project closing, a mechanism for continued operation and maintenance of rural roads, irrigation channels and bridges is important to sustain the impacts of the project. Because the project's demand-driven investments yielded tangible benefits in a short period, ownership of those investments was strong and provided much needed political support for dedicating municipal budget to continue operation and maintenance. The design of the project needs to formalize budgetary provisions and institutional arrangements at the municipal level. Lessons from the first PRI project indicate that: i) municipal governments lack municipal policies or programs with respect to community road maintenance; although there are some resources available in the municipalities for road maintenance and improvement, these are not efficiently used; and ii) rural roads maintenance has to be addressed via a systematic approach; for this task regular allocations of funds are needed, from a combination of government and beneficiaries.

4. *Strong institutional capacity:* Strong institutional capacity is vital for achieving the intended project impacts and for smooth implementation of project. One of the key reasons for the unfortunate disruption in the PRI project implementation was institutional weakness, including fiduciary deficiencies, of the original executing agency for the investment component. Weak internal controls, among other things, permitted the inadequate use of credit funds, including fraudulent practices in procurement and disbursement. This situation was worsened by the deficiencies in accounting records and lack of capacity to deliver acceptable audited financial statements.

5. *Participatory processes*: Participatory processes not only strengthen ownership, and thereby sustainability, but also provide a basis for developing a strong local capacity for rural development. For example, the use of participatory processes to develop municipal development plans (PDMs) and rural road plans not only strengthened these plans, but also strengthened the capacities of civil society actors and communities to executive investment activities and monitor public expenditures. Participatory processes have strengthened awareness of and social control over rural investment activities at the municipal level. Participation of community representatives in each phase of the project investment cycle, from contracting, initiation of works, implementation, and project completion,, strengthened the sustainability of these investments.

6. *Strong monitoring and evaluation framework*: The monitoring and evaluation (M&E) system needs to include not only fiduciary and project management monitoring but also impact monitoring. Furthermore, the M&E system needs to have realistic and measurable indicators to assess project progress as well as impacts. One of the key shortcomings of the PRI project is that the objective and indicators were not realistic and were difficult to measure. Many of the indicators were too complicated and referred to 200 municipalities, and thus could not have been obtained from a sample of 30 municipalities planned for M&E system.

7. *Innovations and adaptive management*: One of the key factors leading to project success is the incorporation of learning mechanisms.. It is important that the project executing agency learn from its implementation experiences and modify project activities and implementation practices to gain efficiency and effectiveness. For example, the adoption of the spot improvement approach rather than comprehensive rehabilitation and upgrading of rural roads in PRI project by the executing agency, *Fondo Nacional de Inversion Productiva y Social* (FPS), allowed for a 57 percent drop in unit costs with respect to the rural roads investments by the previous implementing agency, FDC (from US\$ 10,509 to US\$ 4,526 per kilometer). This innovation alone permitted FPS to cofinance a total of 1,744 kilometers of rural roads, with savings of US\$ 10.4 million. Using prior practices, the same amount of money would have allowed for the completion of only 752 kilometers. Besides lowering unit costs, spot improvements were substantially more environmentally sound, and actually proved to be more effective at ensuring year-round access than the previous approach.

8. *Candid risk assessment and mitigation measures*: Candid risk assessments provide opportunities for projects to build in mitigation measures during project design, and increase the likelihood of successful project outcomes. The PRI project design was based on an overly optimistic growth forecast. Furthermore, the presence of a persistent political culture that facilitated corruption was not fully assessed and taken into consideration to devise needed safeguards. This ultimately affected the effectiveness and disbursement of the investment component during its first three years of the project.

Annex 17: Results of Rural Development Programs (1995 to present)

BOLIVIA: Second Participatory Rural Investment

1. In response to the persistent level of poverty in rural areas, a series of IDA-financed projects have been prepared and implemented starting in 1995, including the Rural Communities Development Project (RCDP), the first Participatory Rural Development Project (PRI), the Indigenous LIL, and the Rural Alliances Project. Each of these projects has played a significant role in the sector and is described below. In particular, the proposed project would build on the first PRI Project and its predecessor, the RCDP, which were instrumental in helping the Bolivian government implement its decentralization and poverty alleviation strategies.

2. The Rural Communities Development Project (1995-1999). Bolivia adopted a far reaching economic program in the late 1980s aimed at restoring price stability and restructuring the economy. The modest economic growth achieved in the early 1990s because of new economic policies, however, was not able to significantly reduce poverty levels. Over half of the population remained poor and the poverty gap widened.

3. Through a series of reforms, the Government of Bolivia (GOB) undertook a decentralization program to give municipalities more authority in determining their own development programs. These reforms included the creation of the National Secretariat of Rural Development (Secretaria Nacional de Desarrollo Rural, SNDR) and the issuance of the Popular Participation Law (Ley de Participación Popular). As an initial step, SNDR implemented a pilot project in nine selected provinces to test the participatory approach for rural development. This pilot project was modeled after successful development experiences in the Mizque and Zudanes provinces. To expand the lessons from these successful initiatives, the GOB requested the Rural Communities Development Project (RCDP) in February 1994.

4. The objectives of the RCDP were to: (a) alleviate rural poverty by carrying out rural investments identified and formulated following a participatory planning process; (b) enhance the institutional capacity of the SNDR, the Small-Farmer Development Fund (FDC), and the Secretariat for Popular Participation (SNPP) to carry out the project; (c) improve the capacity of municipalities and rural communities to implement municipal development plans (PDMs); and (d) strengthen non-government organizations (NGOs) assisting municipalities and rural communities in identifying, formulating and implementing rural investments and managing their development plans. The project became effective on December 22, 1995 and closed on August 31, 1999. The project accomplished the following:

- The project operationalized participatory planning processes in a total of 132 municipalities, outstripping its original target of 98 municipalities. Demand for participatory planning in the rest of municipalities had been high due to the demonstration effects of the RCDP and also to the inclusion of municipal participatory planning into the national planning regulations. By the end of the project, an additional 133 municipalities had started or completed participatory planning processes of their own, with the support of other projects or NGOs.
- In the 132 project municipalities, with 1,600,000 inhabitants (23 percent of Bolivian population), there was massive participation in diagnostic and planning activities. Gender techniques were validated and applied in all these processes in order to ensure that the visions and needs of women were represented in the PDMs. In 13 indigenous districts a

new round of participatory planning was implemented, taking into account their particular cultural and social characteristics. All these activities were supported with almost 800 training workshops, 70 of which were dedicated to gender perspectives. In the 1999 municipal elections, for the first time more than 50 percent of elected municipal councilpersons (*concejales*) were of *campesino* or indigenous origin.

- With the support of the Bank, the Viceministry of Popular Participation prepared a comparative evaluation of municipalities which provided solid impact data on participatory planning. In personal interviews mayors and municipal technicians asserted that this support has been fundamental for carrying out their activities. Additionally, 84 municipalities received support in installing the fiscal and administrative systems demanded by SAFCO law. An external evaluation performed by COSUDE in 1999 found that, on a sample of 50 RCDP municipalities, tax and non-tax collections rose from Bolivianos 77,979 in 1996 to Bolivianos 717,463, an 820 percent increase. A comparison of RCDP and non-RCDP municipalities recently carried out by the Viceministry of Popular Participation also found that the project's municipalities had fewer observations in external audits.
- Technical and institutional capacity was strengthened. For example, 114 local consultants received direct training in project preparation, 575 subproject profiles were prepared, and 527 subprojects were fully formulated. The market mechanism supported by the project had an important role in attracting and developing capacity in the rural areas. In 1997, the project had registered a total of 114 executing entities (NGOs and consultants) in the different areas financed by the project. By 1999, when the follow up Participatory Rural Investment Project started implementation, this number had risen to 405.
- Participatory planning in the 132 municipalities resulted in a total of 10,536 prioritized project ideas in all sectors, worth an estimated US\$650 million. Being the product of successive rounds of decision-making by communities, districts and municipalities, these project ideas represented a socially agreed focalization of investments which maximized impact and scope. Not all of these ideas turned out to be feasible investments, but they represented a basis for diminishing top-down discretionality which would increase the quality of the investment portfolio in Bolivia in the future. Of these ideas, 575 were developed as project profiles and another 527 were fully formulated. This allowed FDC (now FPS) to increase its portfolio from US\$ 12.2 in 1996 to US\$ 20 million in 1997, and US\$ 27 million in 1999.

5. The first Participatory Rural Investment (PRI) Project (1998-2006). The first PRI project provided further capacity building assistance for rural municipalities and organizations and investment resources to co-finance the infrastructure and productive subprojects selected and identified in the participatory Municipal Development Plans. With central Government transfers insufficient to satisfy this demand, government turned to the Bank and other external agencies to finance rural development expenditures. When the first PRI project was designed, most municipal investment were going to the social sectors (health, education and water supply) even through the participatory planning processes identified equal, if not greater, demand for economic related investments. To help correct this imbalance and contribute to rural economic development, the PRI project was designed to finance investments in rural roads and bridges, irrigation and other production related investment.

6. The project began in December 1998 and financed the implementation of rural investments by the Fondo de Desarrollo Campesino (FDC) and a broad range of municipal

strengthening training and technical assistance by the Viceministry for Popular Participation. However, during the first years of implementation significant fraud and corruption problems were uncovered related to local procurement of civil works. The discovery of these problems in December 2000 resulted in an in-depth investigation, suspension of disbursements, and finally a change in the implementing institution and procedures. In August 2003 the investment component of the project was restarted based on a restructured project with a new implementing agency (the Fund for Productive and Social Investment, FPS), and the closing date was extended to June 2006. In spite of the severe, earlier problems, the project closed with significant accomplishments, especially in rural transport development, small scale irrigation, and the strengthening of rural municipal administrations. (see Annex 16 for presentation of lessons learned).

7. The first PRI project reached 246 rural Bolivian municipalities and its investment benefited almost 20 percent of Bolivia's rural population directly. The accomplishments of this project included:

- From 1999 to 2006, the project financed 699 municipal-level investment subprojects with a total value of more than US\$ 54 million and directly benefiting about 840,000 people (72 percent of whom were indigenous), corresponding to 20 percent of the population in 80 percent of all Bolivian municipalities. These investments included 388 in bridge and road rehabilitation, 177 in small-scale irrigation, and 134 other projects in agriculture, fishing, handicrafts, and natural resources management. Rural roads, vehicular bridges, pedestrian bridges and irrigation account for nearly 90 percent of total investments. The project introduced the spot improvement approach to rural road development, cutting the average cost per kilometer of rural road investment by 60 percent and in effect eliminating negative environmental impacts. The project evaluation projected that 97 percent of the rural transport investments will have a positive economic rate of return. The introduction of the spot improvement modality for rural roads permitted cost savings of US\$ 10.4 million, while increasing the physical outputs by more than 60 percent (from 1,480 kms to 2,372 kms) in relation to the original project estimates. Based on this experience, FPS has adopted spot improvement as its approach to all rural road improvement, an innovation which has far-reaching, positive effects on the efficiency and sustainability of rural road investments in Bolivia. Unit cost savings in bridge construction and irrigation ranged from 29 percent to 55 percent. Thus, in term of outputs and value, the project exceeded the projections at the time of project approval.
- Another key target exceeded by the project was to raise the number of subprojects with positive economic and financial returns to 80 percent. In 1988, while the project was under preparation, only 50 percent of FDC's subprojects achieved positive returns. According to the impact evaluation of FPS's investments, carried out by an independent firm under the guidance of FAO-CP (FPS. Evaluación de Impacto del Componente de Inversiones Rurales del PDCR II), 91 percent of financed subprojects achieved positive rates of return (economic and financial). Results differed by type of project: 97 percent of rural road improvements and bridge construction subprojects achieved positive rates, while 78 percent of the small-scale irrigation and productive support subprojects showed positive indicators.
- The 311 productive investments benefited 101,359 producers (33,700 families) at a cost of \$14.7 million; the project evaluation projected that 91 percent of these investments will have a positive economic rate of return.

- 246 municipalities benefited from a range of institutional strengthening activities which were provided based on municipal demand. 173 municipalities took advantage of cofinancing (on a sharply declining basis) of individual technical assistants, 44 percent of whom have stayed on as municipal personnel after project closing; 152 took advantage of cofinancing of participatory transportation planning resulting in Municipal Transport Plans and 4 Transport Plans for *Mancomunidades*; and 3,392 people took advantage of an intensive, practically oriented training program for municipal officials and citizen leaders resulting in the rapid expansion of local capacity.
- The project has a target of affecting rural municipalities' overall investment program. The target stated in the PAD was a sustained 5 percent annual increase in economic development investments included in Municipal Development Plans implemented and maintained in 200 poor municipalities starting in the year 2000. In the 156 municipalities that provided data on the execution of their Annual Operative Plans between 2000 and 2005, annual average growth in productive investments was 7.68 percent in real terms, well above target. The project played a key role in this outcome, as activities in the Institutional Strengthening component were geared at formulating and implementing participatory Municipal Development Plans (PDM). Specific lines of action which aimed directly at this outcome were: i) PDM formulation and adjustment; ii) participatory budgeting; iii) municipal road planning; iv) social control activities to ensure correspondence between planning and budgets; v) municipal technical assistants; and vi) elaboration of investment profiles and preinvestment studies.
- The project designed, validated and implemented a range of methodologies to improve participation in local development, including: participatory Municipal Development Plans (PDM), participatory evaluation and adjustment of PDMs, participatory municipal road planning, Indigenous Territorial Planning, social control of budget execution, and community oversight of investment projects. These interventions set the standards for other government and donor-funded projects in Bolivia, and provided instruments for local communities to identify, prioritize and even implement an estimated 60 percent of all municipal investments in rural areas.
- The project also helped municipalities to increase their capacities to respond to participatory demand generation, by improving capacities to implement annual operating plans. The target established in the PAD for this indicator was an increase from 63 percent to 80 percent in the 200 project municipalities. By 2005, the average reached 76 percent, a small shortfall vis-à-vis the PAD target, but still a significant improvement, especially considering the fact that total municipal incomes grew by 30.25 percent in real terms in the period under consideration. The project also played an important role in achieving this outcome. Key project interventions that increased municipal government capacities include: (i) implementation of municipal administrative systems; (ii) formal training of mayors, councilmen, and local technicians in municipal management; (iii) non-formal training in municipal administration, project management and financing; and (iv) co-financing technical assistants in administration, planning and project management.
- The project enshrined the requirement that all investments co-financed under the National Compensation Policy be identified through participatory PDMs. This had an impact over all FPS investments, regardless of the source of financing, and adding to close to US\$ 200 million.
- The project had foreseen providing formal training for 2,500 people, of which 500 were women. At project closing this target had been surpassed. Of a total of 3,392 people

participating in formal training, 993 were women. With respect to informal training in municipalities and communities, the project programmed 150 events, of which 15 were specifically targeted for women. At project closing 483 informal training events had been carried out, of which 184 were on gender issues.

- The formal training given by Bolivian universities within the context of the project reached further results than those originally expected. The project was instrumental in creating a previously non-existent link between the universities and the municipalities. The universities found new areas to incorporate in their curricula, and new audience for their courses, degree programs and public outreach. For the "new" students, mostly rural and indigenous, the fact of having access to higher level education was not only highly relevant from the point of view of knowledge acquisition, but it also had positive effects on their confidence and self-esteem.

8. The Indigenous Learning and Innovation Project (LIL, 2001–2005). With decades of social inequalities and poverty which have been deeply rooted in Bolivian society, indigenous peoples have long been underrepresented in high-level positions in government, the private sector and NGOs. Economic and socio-cultural barriers still prevent them from gaining access to public and private services, ranging from health and education to credit. As a result, poverty levels among the indigenous communities are extremely high - 74 percent of all indigenous people are poor (53.5 percent of non-indigenous) and 53 percent find themselves in extreme poverty (27 percent of non-indigenous). To remove these barriers and to devise inclusive policies and programs, the Government of Bolivia requested the Indigenous LIL project. The objective of the LIL was to pilot and learn about how to support community-identified economic initiatives that were economically, socially and environmentally viable and sustainable.

9. The project was expected to finance a number of demand-driven, community initiatives on a pilot basis, aimed at improving access to markets. In addition, the project was expected to reduce barriers arising from contradictory sectoral policies and limited access to credit by indigenous people. However, due to political instability, institutional discontinuity and managerial inexperience, the implementation of the project was delayed and progress was unsatisfactory. The project was restructured in the last quarter of 2004. As a result the scope of the project was reduced substantially from 120 to 51 pilot subprojects and the IDA credit was partially cancelled. Although the achievement of objectives and outputs was unsatisfactory and the sustainability of impacts was rated unlikely, the project provided some important lessons:

- Proper technical assistance is very important as success of the project depended on the quality of the design of the pilot subprojects. Given the limitations of indigenous organizations, funds were allocated for pre-investment studies. The quality of these studies, however, was weak as the consultants hired to draft them were inexperienced and the indigenous producer organizations themselves were new and inexperienced as well.
- Culturally based productive initiatives of indigenous producer groups can constitute a financial and economic valid alternative for improving their incomes and for poverty reduction. Immediate follow-up actions or expanded programs with acceptable levels of risk could be undertaken applying the lessons learned. For example, the Rural Alliances Project has assimilated into its design the importance of financing market opportunities rather than producers' needs. Market opportunities need to be demonstrated through concrete linkages with potential buyers ("alliances").
- Though support of culturally-based productive initiatives can play an important role in helping to promote culturally-appropriate development, indigenous peoples can improve

their incomes by accessing markets through the provision of products and services that are not necessarily “indigenous.” For example, producer groups may identify an agricultural product that is not part of the indigenous tradition but which could improve their income beyond any traditional activity.

- It is useful to differentiate support for productive initiatives from support for local development plans. Productive initiatives are best undertaken by producer groups with similar interests and who are willing to pool risks in order to enter a new market or gain market share. Local development plans rely on community-wide consensus over public goods and require the intervention of political authorities.
- Project Directorates involving social organizations need to reflect the specific composition of the intended beneficiaries. In this project, producer organizations did not feel represented in the Directorate because it was chosen on the basis of national-level political organizations whose interests did not necessarily reflect those of producer groups.

10. Rural Alliances Project (2005–2011). Inequalities and lack of economic opportunities have contributed to social unrest and conflicts in the rural areas of Bolivia. Policy factors that restricted economic opportunities include: (a) conflicting incentives in the policies on municipal transfers, which did not provide for a clear differentiation between the equalization measures supporting social programs and the competition-based measures associated to economic promotion; (b) the emphasis of rural production investment programs on supporting “the needs” instead of “market opportunities” (tending to crowd-out private investments); and (c) the failure of not taking into account spatial differences in the government’s policies and programs, and therefore not reflecting local realities and opportunities.

11. The project’s objective is to test a model to improve accessibility to markets for poor rural producers in selected sub-regions of the country. To achieve this, the project will a) promote productive alliances between different economic players at the local level; b) empower rural producers through the strengthening of self-managed grass-root organizations; c) increase access to productive assets and technology; and d) promote more effective, responsive and accountable service organizations at the local level. The project is a pilot that will test the methodological model proposed in three geographical areas (one for each major eco-region of the country) before its replication in other areas. Its design includes a spatial analysis, undertaken as a response to the principle that rural strategies for poverty reduction need to incorporate geographically differentiated models, reflecting local realities and opportunities. Three areas were selected by this analysis: (a) the northern expansion zone of Santa Cruz; (b) the Cochabamba valleys; and (c) the area around the Uyuni Salt Lake in Oruro and Potosi.

12. The project has two main activities: technical assistance and training to provide the institutional and organizational support needed for the creation of productive alliances at the local level; and the implementation of productive alliances. The main output of the first activity is the formation of rural productive alliances and the preparation of viable alliance plans. The main outputs of the second activity are: a) to have producers and their marketing partners working together efficiently and effectively in long term relations; b) an improved production by the rural poor producers to meet their new market requirements; c) adapted systems in the markets to work with the alliances’ small producers; and d) the ensured co-participation in alliance plans of service providers and local governments.

Annex 18: Productive and Social Investment Fund (FPS) Operational Action Plan

BOLIVIA: Second Participatory Rural Investment

I. INSTITUTIONAL STRENGTHENING OF THE FPS

OBJECTIVES				
Nº	Principal objectives	Responsibility	Period for execution	Priority
1	Strengthening of the operational and project cycle control processes	FPS	2007	1
2	Technological and computer system modernization	FPS	2007 2008	1
3	Organizational strengthening of the FPS	FPS	2007 2008	1

1. STRENGTHENING OF THE OPERATIONAL AND CONTROL PROCESSES – PROJECT CYCLE – CONTROL

P	Intervention Logic			Responsible Institutions			Period		Financing (in Bs)		
	Objectives	Activities	Results	Institution	Institution	Respon- sible party	Start	End	FPS	PPF- PDCR	Loan
Project Cycle	Improve the programming process in the Project Cycle	1. Preparation of a proposal to define the conceptual framework of the informatics component (SAP), for design and implementation of the programming component in the SAP	Approval for implementation of the component	FPS		GAS - System manager	8/30/2007	9/21/2007			
		2. Develop a coordination procedure to facilitate timely advance programming in the framework of procedures set by Planning and Treasury	Computer system operational SHORT TERM PLAN	FPS			9/24/2007	12/31/2007		124,800	
			Procedure approved by sectors and operational	FPS			10/1/2007	11/30/2007			
	Optimization of the Project Cycle	1. Define differentiated project cycles by type, size, and complexity	Application of differentiated cycles for efficient processing	FPS		GON – Operations	9/24/2007	11/16/2007			
		2. Define cycle plans		FPS			9/24/2007	11/16/2007			

P	Intervention Logic			Responsible Institutions			Period		Financing (in Bs)		
	Objectives	Activities	Results	Institution	Institution	Respon- sible party	Start	End	FPS	PPF- PDCR	Loan
		3. Develop instruments for the cycles		FPS			9/24/2007	11/16/2007			
Project Cycle	Optimization of the preinvestment stage	1. As a result of the evaluation of the project ideas, the FPS will prepare a project profile form (equivalent to an EI).	Greater efficiency in the preinvestment stage and faster and less expensive evaluation	FPS	VIPFE		9/24/2007	11/16/2007			
		2. For projects with a favorable evaluation, the municipality will supplement the design with technical specifications or engineering drawings.									
		3. This procedure will conform to the public investment regulations.	Have compatible regulations and procedures for optimization of periods.	FPS		GON – Legal Services	10/1/2007	11/16/2007			
		4. Develop the evaluation instruments (EI and TESA), taking into account the complexity of the projects, guaranteeing the participation of the municipal governments.	Facilitate the technical evaluation of the projects				10/1/2007	11/16/2007			
Project Cycle	Approval and allocation of resources, formalizing the loan	Approval of the instruments by the Vice-Ministry of Decentralization		FPS	VMD	GON	10/1/2007	11/16/2007			
		1. Propose an alternative transfer and financing contract, taking into account the participation of the FPS, municipal governments, and city government (Tripartite), incorporating the new structure of cofinancing (currently under review).	Clarification of the legal obligations of the participants in the financing and the consequences of noncompliance.	FPS		GON GF Legal Services	10/1/2007	11/16/2007			

P	Intervention Logic			Responsible Institutions			Period		Financing (in Bs)			
	Objectives	Activities	Results	Institution	Institution	Respon- sible party	Start	End	FPS	PPF- PDCR	Loan	
		2. Revise the financial transfer contract to include the monitoring role of the FPS with control authority and fines for noncompliance with the contract.	Application of sanctions to contractors that fail to comply with their contractual obligations.	FPS			10/1/2007	11/16/2007				
			Approval of model contract									
		3. Propose and include a new payment mechanism for counterparts.	Prevent interruptions in projects caused by current procedure of annual counterpart contributions.	FPS				10/1/2007	10/31/2007			
		Project Cycle	Optimize contracting procedures	1. Assign full responsibility for contracting procedures to the municipal governments.	Clearly defined procedures for delegation of contract authority, without direct intervention by the FPS	FPS		GON	10/1/2007	10/31/2007		
2. Define a procurement management system, assigned personnel, duties and responsibilities, training processes and controls.	Improved contracting procedures, with efficient, agile, and transparent contracting procedures			FPS		GAS	10/1/2007	11/16/2007				
3. Periodically update the reference price database	Have an instrument for project evaluation.			FPS		GON	10/1/2007	2/28/2008				
4. Change the current no-objection internal regulations so the FPS shall only approve procedures that exceed an amount to be established.	Faster and simpler no-objection procedures.			FPS - BM		GON	10/1/2007	11/16/2007				

P	Intervention Logic			Responsible Institutions			Period		Financing (in Bs)		
	Objectives	Activities	Results	Institution	Institution	Respon- sible party	Start	End	FPS	PPF- PDCR	Loan
Project Cycle	Improve the stage of project execution and payments.	5. Prepare a register of contractors for purposes of risk assessment.	Noninterference in the contracting process, to implement better control and supervision, requiring legal and contractual compliance	FPS		GON	10/1/2007	12/31/2007			
		6. Provide long lists of companies and professionals for invitations to bid for project supervision.	Timely reduction of risk exposure from bad contracts with companies and supervisors.	FPS		GON	10/1/2007	2/28/2008			
		7. Include information on project cycle operators on the web site.		FPS		GON - GAS - Systems	10/1/2007	11/30/2008			
		1. Define the FPS role in the execution phase as a monitor of the loan contract.	The monitoring role of the FPS is established.	FPS		GON GF Legal Services	10/1/2007	11/16/2007			
		2. Include the FPS monitoring role in the contracts (works, goods and services), requiring guarantees to the FPS and the authority to enforce fines.	Contracts include monitoring and authority for execution of guarantees.	FPS		Legal Services - GON	10/1/2007	12/31/2007			
		3. Define responsibilities for supervisory tasks in manuals and contract management.	More effective and controlled supervision.	FPS		GON	10/1/2007	12/31/2007			
		4. Present a proposal for training and accreditation of supervisors	More efficient supervision of works.	FPS	VMD	GON -GAS	10/1/2007	12/31/2007			

P	Intervention Logic			Responsible Institutions			Period		Financing (in Bs)		
	Objectives	Activities	Results	Institution	Institution	Respon- sible party	Start	End	FPS	PPF- PDCR	Loan
		5. Present a new procedure for authorization of change orders and extensions	Fewer budget changes and change orders, greater control and institutional transparency	FPS		GON	10/1/2007	10/31/2007			
		6. Include social control in this stage, through a record book maintained in accordance with a procedure to be established by the FPS	Greater participation by beneficiaries and better control of execution	FPS		GON	10/1/2007	12/31/2007			
		7. Require departmental offices' compliance with regulations on necessary documentation for payments, with penalties for noncompliance, and application of a verification procedure with sampling by the monitoring team.	Compliance and greater efficiency in departmental offices following the regulations.	FPS		GON - GF	10/15/2007	11/15/2007			
		8. Include in the SAP design a mechanism for scanning and transmission of documents or electronic document file	Computer system with electronic file	FPS		GF - GAS	1/2/2008	11/28/2008			
Project Cycle	End of project	Present the proposal for regulation on ending projects by stages, with corresponding file of supporting documentation	End all projects on time with corresponding documentation	FPS			11/1/2007	11/30/2007			
			Centralization of all project documents in the central office								
Project Cycle	Ex-post evaluation	Prepare a general procedure for ex-post	Closed and evaluated projects	FPS	VMD	Operations - Contracts	10/15/2007	12/31/2007			

P	Intervention Logic			Responsible Institutions			Period		Financing (in Bs)		
	Objectives	Activities	Results	Institution	Institution	Respon- sible party	Start	End	FPS	PPF- PDCR	Loan
		evaluation for quality control and verification, including sectoral indicators.	Streamlining and reduction of online or in-process control in favor of posterior control, speeding up execution with greater transparency			Office					
Control and Monitoring	Monitoring and control system	1. Design a general control and monitoring system to include risk analysis in the Project Cycle	Strengthening of the capacity for control, increased institutional transparency.	FPS		GON	10/15/2007	1/15/2008			
		2. Identify indicators of capacity, efficiency, and transparency in the municipalities.	Measure the efficiency of the institution.								
		3. Develop a procedure for control and monitoring by the Executive Office	Fewer discrepancies for irregular acts by the public officials and companies involved								
		4. Develop a unit in the SAP for follow-up and monitoring	Computerized and more efficient controls								
Control and Monitoring	Register of companies, supervisors, and contracts	1. Control and monitoring of contracts not subject to prior review for feedback on risk criteria 2. Identification of risk criteria.	Effective follow-up of companies and supervisors	FPS		GON	1/2/2008	4/30/2008			

2. TECHNOLOGICAL AND COMPUTER SYSTEM MODERNIZATION

P	Intervention logic			Responsible institutions			Period		Financing (in Bs)		
	OBJECTIVES	Activities	Results	Institution	Institution	Responsible party	Start	End	FPS	PPF	Loan
Systems	Have a technologically updated computer system with capability for efficient and transparent monitoring, with a management control system including units for programming, procurement, execution, follow-up and monitoring, general reports	1. Prepare a proposal for the conceptual definition of each unit of the computer system	Have a new computer system with the required capabilities to replace the SAP	FPS		GAS - Systems	8/30/2007	9/10/2007			
		2. Develop a proposal and timeline for development of the system		FPS		GAS - Systems	8/30/2007	9/21/2007			
		3. With assistance of a systems expert, review the technical viability of the proposal or alternatives		FPS	BM	GAS - Systems	9/17/2007	9/21/2007			
Systems	Complete the reporting and management information units (SAP)	1. Present a standard format for generation of reports (financial, procurement, follow-up etc.)	Standardized financial reports for cooperation	FPS		GF	8/31/2007	9/28/2007			
		2. Consider adding a unit or system capability for automatic generation of financial reports with clear indication of uses and sources	Replace manual financial reports with computer-generated ones	FPS		GF - GAS	1/2/2007	11/28/2008			

3. ORGANIZATIONAL STRENGTHENING

P	Intervention logic			Responsible Institutions			Period		Financing (in Bs)		
	OBJECTIVES	Activities	Results	Institution	Institution	Responsible party	Start	End	FPS	PPF	Loan
Financing of the FPS	Define the institutional income mechanism with a sustainability approach.	Do a study to determine the percentage of “recovery of administrative expenses of the FPS” and break it down by each step with collection based on completed phases of the project cycle	A financially sound institution with efficient services	FPS		GF	8/31/2007	9/11/2007			
Organizational Development	Incorporation of new units in the Organization	1. Formation of the Control and Monitoring Unit under the Executive Office of the FPS	A complete organization with required capabilities	FPS		GAS	9/24/2007	4/30/2008	1,113,091		1,360,445
		2. Formation of the Environmental Unit		FPS		GAS	9/24/2007	4/30/2008	278,273		340,111
		3. Formation of the Procurement Monitoring Unit		FPS		GAS	9/24/2007	4/30/2008	428,112		523,248
		4. Implementation of a monitoring role for project follow-up		FPS		GON	7/1/2008	6/29/2012	771,552		943,008
		5. Proposal for general functions and their assignment to minimal staff		FPS		GAS	9/3/2007	9/10/2007			
Organizational Development	Contracting of specialized or qualified staff in contracting, environment	Present a timeline of activities for contracting specialized personnel, and terms of reference for their hiring	Complete the incorporation of personnel required for the programs	FPS	BM	GAS	9/24/2007	4/30/2008			
Organizational Development	Improve the	Develop and present a	Improved	FPS	BM	GAS	10/1/2007	11/16/2007			

P	Intervention logic			Responsible Institutions			Period		Financing (in Bs)		
	OBJECTIVES	Activities	Results	Institution	Institution	Responsible party	Start	End	FPS	PPF	Loan
	knowledge and skills of the technical staff of the FPS	program for training at the national level for personnel in areas such as contracting, and others, with assistance from the WB	performance and efficiency by trained personnel.								
Audits	Conduct more audits of the internal and external processes of the FPS	Define terms of reference for the audits, including field visits	Contribution and feedback for follow-up and control of processes and results	FPS			9/24/2007	11/16/2007			
Development of the Institutional Image	Clarify for the institution its functions and the importance of its development	Develop a plan for reaffirming the institution's image and prestige, and continuous information on the services delivered and results obtained, considering also needs for budgetary resources.	A trustworthy and reaffirmed institution.		VMD						
	Recover a positive image.										

CONSULTING SERVICES BY PRODUCT

Title of Consulting Services		Description of Consulting Services	Total Cost \$US	Total Cost Bs
Consulting Services on Control and Monitoring		Strengthening and redesign of the organization of a new strategic framework and application of the Plan for Strengthening	20,000	160,000
Environmental Consulting Services		Design of Processes, Procedures, and System (individual)	10,000	80,000
Operational Processes Consulting Services		Design of Processes, Procedures, and Project Cycle (individual)	7,000	56,000
Consulting Services on Cost Basis		Updating of the Cost Basis and System (firm) 9 departments	40,000	320,000
Consulting Services to Develop the Plan for Image Rebuilding and Periodic Information		Services delivered and results achieved	50,000	400,000
Equipment for Departmental Offices		Equipment procurement	200,000	1,600,000
TOTAL COST BS.			327,000	2,616,000

UNIT FOR MONITORING AND CONTROL, ENVIRONMENTAL SPECIALIST, PROCUREMENT UNIT

Place	Consultant title	Description of the Consulting Services	Annual Cost for Consulting Services Bs.	Total Cost for Consulting Services Bs.
Central Office	Coordinator in Monitoring and Control	1 person for Bs. 12,883.-		340,111
		1st year-100%	154,596	
		2nd year-70%	108,217	
		3rd year-50%	77,298	
		4th year 0%	0	
	Professional in Control and Monitoring Infrastructure	3 persons for Bs. 12,883.-		1,020,334
		1st year-100%	463,788	
		2nd year-70%	324,652	
		3rd year-50%	231,894	
		4th year 0%	0	
	Environmental Specialist	1 person for Bs. 12,883.-		340,111
		1st year-100%	154,596	
		2nd year-70%	108,217	
		3rd year-50%	77,298	
		4th year 0%	0	
	Professional in Control and Monitoring of Procurement	2 persons for Bs. 9,910.-		523,248
		1st year-100%	237,840	
		2nd year-70%	166,488	
		3rd year-50%	118,920	
		4 th year 0%		
	Auditing Expert	1 person for Bs. 7,144.-		188,602
		1st year-100%	85,728	
		2nd year-70%	60,010	
		3rd year-50%	42,864	
		4th year 0%		
Auditing Expert	4 persons for Bs. 7,144.-		754,406	
	1st year-100%	342,912		
	2nd year-70%	240,038		
	3rd year-50%	171,456		
	4th year 0%			
Regional Offices	Specialized Consulting Services by Product to be Defined			400,000
TOTAL COST BS.				3,566,812
TOTAL COST \$US.				445,852

ANNUAL INSTITUTIONAL TRAINING PLAN (PACI)

OBJECTIVE OF THE PLAN: Productive training is the set of procedures through which civil servants acquire new knowledge, develop skills, and change attitudes in order to improve their performance and results within the institution. The objectives sought are:

- To improve employees' contribution to attainment of the objectives of the FPS.
- To contribute to employees' personal development and prepare them for advancement in the administrative service.

No.	EVENTS	ORGANIZA-TIONAL AREA	LEVEL OF DEPTH*	TYPE	NATURE OF TRAINING	DATE (SPECIFY MONTH OF EXECUTION)**	NUMBER OF PARTICI-PANTS	DURA-TION (Hrs)	TOTAL HOURS TO EXECUTE	COST \$US (approximate)
1	Presentation of New Procedures	All employees	Advanced	In-person	Mandatory	January - December	276	16	4416	19,320
2	Basics of Law 1178	DE, GF, GAS, LP	A, M, B	In-person	Mandatory	April - December	15	10	150	NO COST
3	Law 1178	GF, BN, CH, OR, PN, PT, SC	A, M, B	In-person	Mandatory	April - December	15	12.5	187.5	NO COST
4	Responsibility for public service	DE, GF, GAS, BN, CBBA, CH, OR, PN, PT, SC	A, M, B	In-person	Mandatory	April - December	30	10	300	NO COST
5	System for Administration of Goods and Services	DE, GAS, CBBA, CH, OR, PN, PT, SC	A, M, B	In-person	Mandatory	April - December	23	20	460	NO COST
6	System for Personnel Administration	DE, GAS, CBBA, OR, PT, SC	A, M, B	In-person	Mandatory	April - December	7	10	70	NO COST
7	System for Integrated Accounting	GF, GAS, CH, OR, PT	A, M, B	In-person	Mandatory	April - December	8	10	80	NO COST
8	System for Governmental Control	DE, CHQ, SC	A, M, B	In-person	Mandatory	April - December	5	15	75	NO COST
9	System for Administrative Organization	DE, PTS	A, M, B	In-person	Mandatory	April - December	5	15	75	NO COST
10	Budget System	GF, GB, CH, OR, PN	A, M, B	In-person	Mandatory	April - December	10	10	100	NO COST
11	System for Programming and Operations	DE, GAS, OR, PN, PT, SC	A, M, B	In-person	Mandatory	April - December	8	10	80	NO COST
12	System for Treasury and Public Debt	GF	A, M, B	In-person	Mandatory	April - December	4	10	40	NO COST
13	Procurement Procedures	GON., GAS, BN, SC	A, M, B	In-person	Mandatory	3 rd and 4 th quarter	90	20	1800	2,700
14	Occupational Safety	GAS	M	In-person	Optional	3 rd and 4 th quarter	2	10	20	100
15	SIA	BN, LPZ, SCZ	Advanced	In-person	Optional	4 th quarter	22	8	176	NO COST
16	SIGMA	GF, GAS, LP, BN OR, PT, CBBA	A, M	In-person	Optional	3 rd and 4 th quarter	200	20	4000	3,500
17	SISIN	All employees	A, M	In-person	Mandatory	3 rd and 4 th quarter	200	20	4000	3,500
18	Project Mgt. Syst. SAP - Project Cycle	All employees	A, M	In-person	Mandatory	3 rd and 4 th quarter	200	20	4000	3,500

No.	EVENTS	ORGANIZA- TIONAL AREA	LEVEL OF DEPTH*	TYPE	NATURE OF TRAINING	DATE (SPECIFY MONTH OF EXECUTION)**	NUMBER OF PARTICI- PANTS	DURA- TION (Hrs)	TOTAL HOURS TO EXECUTE	COST \$US (approximate)
19	Updating of Word - Excel - Access - Power Point software	DE, GF, GAS, LP, BN, CH, OR, SC, PT, CBBA	A, M, B	In-person / Distance	Optional	2 nd , 3 rd and 4 th quarter	95	15	1425	NO COST
20	Secretarial Updating	GAS, GF, SC	A, M	In-person	Optional	3 rd and 4 th quarter	5	10	50	95
21	Files	CBBA, CH, LP	A, M	In-person	Optional	3 rd and 4 th quarter	5	10	50	95
22	Management Assistant	DE, GAS, GF, GON	Medium	In-person	Optional	3 rd and 4 th quarter	4	15	60	200
23	NET Point	GAS	High	In-person	Mandatory	3 rd and 4 th quarter	11	39	429	1,100
24	Results-based Monitoring	DE, GF, GAS, GON	A, M	In-person	Optional	3 rd and 4 th quarter	50	10	500	7,500
25	Control and Monitoring	GON	A	In-person	Mandatory	1 st and 3 rd quarter	90	20	1800	9,000
26	Transportation infrastructure, risks, etc.	GON	A	In-person	Mandatory	1 st and 3 rd quarter	90	20	1800	9,000
27	Negotiation and conflict resolution	DE, GF, GAS, GON	A, M	In-person	Optional	3 rd and 4 th quarter	6	10	60	NO COST
28	First aid	GAS, LP, BN, OR, CBBA	Medium	In-person	Optional	3 rd and 4 th quarter	10	10	100	270
29	Public and Human Relations	DE, GON, GAS, CBBA	A, M	In-person	Optional	3 rd and 4 th quarter	3	10	30	NO COST
30	SNAP – Technical Training	DE, GON, GAS, CBBA	A, M	In-person / Distance	Optional	3 rd and 4 th quarter	50	10	500	NO COST
TOTAL									26,834	59,880

* A: Advanced M: Medium B: Basic

** Dates for training are subject to availability in CENCAP, SNAP and the market.

II. FPS – Project Management System (SAP)

1. **Systems for Information, Management, Monitoring, and Evaluation.** We have reviewed the operations and scope of the current FPS information system, especially the subsystem to support the management and monitoring of the FPS project cycle (SAP-Project Management System) and the proposed redesign submitted by the FPS. Financial and accounting audits are done by the unified national system of the Ministry of the Treasury (SIGMA).

2. Although the system (SAP) is operational for management of all FPS projects and its database provides information for operational and management control of the investments executed by the FPS, we have identified weakness that need to be corrected, as well as new functions and controls that must be incorporated in the system in order to have a new operation consistent with the controls and operational adjustments being made in the institution and the project cycle.

3. It was agreed to expand, integrate, and improve the SAP, consistent with a new operation and new role for the strengthened FPS, particularly in the areas of project cycle control and management control. There was agreement on general lines for execution of a plan for improvement in two phases: **a first phase**, for 3 months (from October to December 2007) to guarantee the quality of data on projects funded with resources from new agreements and adaptations to the specific requirements of the new operation; and a **second phase**, for 14 months (October 2007 to November 2008) for more specific and no less critical functions important for management of procedures and information for monitoring and evaluation of the program in the medium and long term. This includes redesign of the system with a more dynamic and flexible application in web technology for better management of a plan for decentralized execution. Next week a detailed action plan will be presented and approved, including a description of the capabilities assigned priority in the first phase.

4. In order to move ahead with the project for improvement and updating of the project cycle system of the FPS, in the first and second phase it was agreed to finance hiring a team of consultants that would work under the coordination, follow-up, and supervision of a Leader-Consultant of the “Project for revision, improvement, and expansion of the project management system of the FPS” dedicated exclusively to this task, under the Office for Management of Administration and Systems [*Gerencia de Administración y Sistemas GAS*].

5. In the event that it is decided to hire a company, the work of the second phase shall be divided into two sub products: (i) a document with the functional prototype and detailed technical specifications of the duties, links, and databases needed for the system. This document, which includes a functional prototype of the screens, links, and functions in graphic form, will be the basis for the contract developing it; and (ii) a computer application operating as provided in the detailed specifications of the first product.

6. The FPS will transmit to the Bank: i) the detailed plan for the first phase by September 28; ii) the terms of reference of the Leader-Consultant of the “Project for revision, improvement, and expansion of the project management system of the FPS” by October 15 with a progress report by December 2007; iii) a first set of reports produced by the SAP adapted in the first

phase by January 15, 2008; iv) the detailed plan of the second phase by December 31, 2007; and v) quarterly reports on execution of the second phase plan as part of the quarterly loan progress report until the system developed in the second phase is operational.

General Action Plan – Strengthening of the project management system of the FPS

	Activities and principal products	Date	Responsible FPS
	TO BEGIN EXECUTION OF THE SHORT-TERM PLAN		
1	Detailed breakdown of functions for improvements in the SAP-current application of the plan in the FIRST PHASE and detailed timeline	September 20-30	Systems Management
2	TORs for SHORT TERM consultants	September 20-30	Systems Management
3	Specifications of SHORT TERM changes	October 5	Systems Management and Operations Management
4	Consultants hired and development team installed	October 1	Systems Management
5	Development and implementation of improvements tested and operational	October 1-December 20	Systems Management
6	Database cleared and unified for all regions for new agreements	October 1-31	Systems Management
	TO BEGIN EXECUTION OF THE MEDIUM-TERM PLAN		
1	Specification of the new capabilities for the updated SAP- (SAP-Web) – Changes in current functions. (Requirement: Manual of Operations developed with content for forms needed for the new cycle).	November 15-30	Systems Management, Operations Management, Financial Management, and Standards Unit, with leader-consultant
2	Specification of the new capabilities for the updated SAP- (SAP-Web) – New functions. (Requirement: New procedures defined)	December 1-31	Systems Management, Operations Management, Financial Management, and Standards Unit, with leader-consultant
3	Work plan and detailed timeline prepared	December 15-30	Systems Management with leader-consultant
4	TORs of MEDIUM-TERM consultants	November 15-30	Systems Management
5	Specifications for equipment and communications		
5	Consultants (programmers-analysts) hired and development begun	January 2	Office for Management of Administration and Systems
6	Development and implementation tested and operational – basic cycle	January 2-October 31	Consultant team under the supervision of the leader-consultant in coordination with the Office for Management of Administration and Systems
7	Development and implementation tested and operational – new functions	January 2-November 30	Consultant team under the supervision of the leader-consultant in coordination with the Office for Management of Administration and Systems

Preliminary Budget in US\$

	SHORT-TERM	<i>MEDIUM-TERM</i>		
	October - December 2007	November - December 2007	January - December 2008	Maintenance and Operation (3 years)
Equipment and communications (15 offices – 150 users)	3,600	33,400	49,100	2,700 per month \$97,200 - 36 months
Basic Software (includes database drivers)		22,000		
Consulting Services (software)	12,000	3,600	129,600	
Totals	15,600	59,000	178,700	97,200

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